NOTICE ACCOMPANYING THE ELECTRONIC PROSPECTUS OF FIBROMAT (M) BERHAD ("FIBROMAT" OR THE "COMPANY") DATED 11 APRIL 2025 ("ELECTRONIC PROSPECTUS")

(Unless otherwise indicated, specified or defined in this notice, the definitions in the Prospectus shall apply throughout this notice)

Website

The Electronic Prospectus can be viewed or downloaded from Bursa Malaysia Securities Berhad's ("**Bursa Securities**") website at www.bursamalaysia.com ("**Website**").

Availability and Location of Paper/Printed Prospectus

Any applicant in doubt concerning the validity or integrity of the Electronic Prospectus should immediately request a paper/printed copy of the Prospectus directly from the Company, M & A Securities Sdn Bhd ("**M&A Securities**"), or Malaysian Issuing House Sdn Bhd. Alternatively, the applicant may obtain a copy of the Prospectus from participating organisations of Bursa Securities, members of the Association of Banks in Malaysia and members of the Malaysian Investment Banking Association.

Prospective investors should note that the Application Form is not available in electronic format.

Jurisdictional Disclaimer

This distribution of the Electronic Prospectus and the sale of the units are subject to Malaysian law. Bursa Securities, M&A Securities and Fibromat take no responsibility for the distribution of the Electronic Prospectus and/or the sale of the units outside Malaysia, which may be restricted by law in other jurisdictions. The Electronic Prospectus does not constitute and may not be used for the purpose of an offer to sell or an invitation of an offer to buy any units, to any person outside Malaysia or in any jurisdiction in which such offer or invitation is not authorised or lawful or to any person to whom it is unlawful to make such offer or invitation.

Close of Application

Applications will be accepted from 10.00 a.m. on 11 April 2025 and will close at 5.00 p.m. on 25 April 2025.

In the event the Closing Date is extended, Fibromat will advertise the notice of the extension in a widely circulated English and Bahasa Malaysia daily newspaper in Malaysia prior to the original Closing Date, and make an announcement on Bursa Securities' website.

The Electronic Prospectus made available on the Website after the closing of the application period is made available solely for informational and archiving purposes. No securities will be allotted or issued on the basis of the Electronic Prospectus after the closing of the application period.

Persons Responsible for the Internet Site in which the Electronic Prospectus is Posted

The Electronic Prospectus which is accessible at the Website is owned by Bursa Securities. Users' access to the website and the use of the contents of the Website and/or any information in whatsoever form arising from the Website shall be conditional upon acceptance of the terms and conditions of use as contained in the Website.

The contents of the Electronic Prospectus are for informational and archiving purposes only and are not intended to provide investment advice of any form or kind, and shall not at any time be relied upon as such.

fibromat®

EROSION CONTROL | GEOSYNTHETIC



GEOTECHNICAL SOLUTIONS SPECIALIST



FIBROMAT (M) BERHAD
(Registration No. 201201037651 (1022133-V))
(Incorporated in Malaysia)

Headquater :
No. 573 & 574, Jalan Samudra Utara 1, Taman Samudra,
68100 Batu Caves, Selangor Darul Ehsan, Malaysia.

Telephone :
+603-6189 9999/
+603-6188 4300

Facsimile :
+603-6189 7559/
+603-6187 9775

Website :
www.fibromatberhad.com.my

PROSPECTUS

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FIBROMAT (M) BERHAD
(Registration No. 201201037651 (1022133-V))
(Incorporated in Malaysia)

P R O S P E C T U S

THIS PROSPECTUS IS DATED 11 APRIL 2025

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EROSION CONTROL | GEOSYNTHETIC

FIBROMAT (M) BERHAD

(Registration No. 201201037651 (1022133-V))
(Incorporated in Malaysia)

INITIAL PUBLIC OFFERING IN CONJUNCTION WITH OUR TRANSFER OF LISTING FROM THE LEAP MARKET OF BURSA MALAYSIA SECURITIES BERHAD ("BURSA SECURITIES") TO THE ACE MARKET OF BURSA SECURITIES COMPRISING:

(I) PUBLIC ISSUE OF 32,276,000 NEW ORDINARY SHARES IN OUR COMPANY ("SHARES") IN THE FOLLOWING MANNER:

- **12,414,000 NEW SHARES AVAILABLE FOR APPLICATION BY THE MALAYSIAN PUBLIC;**
- **6,207,000 NEW SHARES AVAILABLE FOR APPLICATION BY OUR ELIGIBLE DIRECTORS AND EMPLOYEES; AND**
- **13,655,000 NEW SHARES BY WAY OF PRIVATE PLACEMENT TO BUMIPUTERA INVESTORS APPROVED BY THE MINISTRY OF INVESTMENT, TRADE AND INDUSTRY;**

AND

(II) OFFER FOR SALE OF 24,827,000 EXISTING SHARES IN THE FOLLOWING MANNER:

- **17,379,000 EXISTING SHARES BY WAY OF PRIVATE PLACEMENT TO BUMIPUTERA INVESTORS APPROVED BY THE MINISTRY OF INVESTMENT, TRADE AND INDUSTRY; AND**
- **7,448,000 EXISTING SHARES BY WAY OF PRIVATE PLACEMENT TO SELECTED INVESTORS,**

AT AN ISSUE/OFFER PRICE OF RM0.55 PER SHARE, PAYABLE IN FULL UPON APPLICATION.

Adviser, Sponsor, Underwriter and Placement Agent

M&A

M & A SECURITIES SDN BHD
(Registration No. 197301001503 (15017-H))
(A Participating Organisation of Bursa Malaysia Securities Berhad)

Bursa Securities has approved our admission to the Official List of the ACE Market of Bursa Securities and the listing of and quotation for our entire enlarged issued share capital on the ACE Market of Bursa Securities. This Prospectus has been registered by Bursa Securities. The approval of the listing of and quotation for our entire enlarged issued share capital on the ACE Market of Bursa Securities and registration of this Prospectus, should not be taken to indicate that Bursa Securities recommends the offering or assumes responsibility for the correctness of any statement made, opinion expressed or report contained in this Prospectus. Bursa Securities has not, in any way, considered the merits of the securities being offered for investment. Bursa Securities is not liable for any non-disclosure on the part of the company and takes no responsibility for the contents of this document, makes no representation as to its accuracy or completeness, and expressly disclaims any liability for any loss you may suffer arising from or in reliance upon the whole or any part of the contents of this Prospectus. No securities will be allotted or issued based on this Prospectus after 6 months from the date of this Prospectus.

YOU ARE ADVISED TO READ AND UNDERSTAND THE CONTENTS OF THIS PROSPECTUS. IF IN DOUBT, PLEASE CONSULT A PROFESSIONAL ADVISER.

FOR INFORMATION CONCERNING RISK FACTORS WHICH SHOULD BE CONSIDERED BY PROSPECTIVE INVESTORS, SEE "RISK FACTORS" COMMENCING ON PAGE 202.

THE ACE MARKET IS AN ALTERNATIVE MARKET DESIGNED PRIMARILY FOR EMERGING CORPORATIONS THAT MAY CARRY HIGHER INVESTMENT RISK WHEN COMPARED WITH LARGER OR MORE ESTABLISHED CORPORATIONS LISTED ON THE MAIN MARKET. THERE IS ALSO NO ASSURANCE THAT THERE WILL BE A LIQUID MARKET IN THE SHARES OR UNITS OF SHARES TRADED ON THE ACE MARKET. YOU SHOULD BE AWARE OF THE RISKS OF INVESTING IN SUCH CORPORATIONS AND SHOULD MAKE THE DECISION TO INVEST ONLY AFTER CAREFUL CONSIDERATION.

THE ISSUE, OFFER OR INVITATION FOR THE OFFERING IS A PROPOSAL NOT REQUIRING APPROVAL, AUTHORISATION OR RECOGNITION OF THE SECURITIES COMMISSION MALAYSIA UNDER SECTION 212(8) OF THE CAPITAL MARKETS AND SERVICES ACT 2007.

Registration No. 201201037651 (1022133-V)

Our Directors, Promoters and Selling Shareholder (as defined herein) have seen and approved this Prospectus. They collectively and individually accept full responsibility for the accuracy of the information contained in this Prospectus. Having made all reasonable enquiries, and to the best of their knowledge and belief, they confirm there is no false or misleading statement or other facts which if omitted, would make any statement in the Prospectus false or misleading.

M & A Securities Sdn Bhd, being our Adviser, Sponsor, Underwriter and Placement Agent to our Transfer of Listing (as defined herein), acknowledges that, based on all available information, and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning our IPO and Transfer of Listing.

This Prospectus, together with the Application Form (as defined herein), has also been lodged with the ROC (as defined herein), who takes no responsibility for its contents.

You should note that you may seek recourse under Sections 248, 249 and 357 of the CMSA (as defined herein) for breaches of securities laws including any statement in the Prospectus that is false, misleading, or from which there is a material omission; or for any misleading or deceptive act in relation to the Prospectus or the conduct of any other person in relation to our Group (as defined herein).

Our Shares are offered to the public premised on full and accurate disclosure of all material information concerning our IPO, for which any person set out in Section 236 of the CMSA, is responsible.

Approval has been obtained from Bursa Securities for the listing of and quotation for our IPO Shares (as defined herein) on 7 January 2025. Our admission to the Official List of Bursa Securities is not to be taken as an indication of the merits of our IPO, our Company or our Shares. Bursa Securities shall not be liable for any non-disclosure on our part and takes no responsibility for the contents of this Prospectus, makes no representation as to its accuracy or completeness and expressly disclaims any liability whatsoever for any loss howsoever arising from or in reliance upon the whole or any part of the contents of this Prospectus.

The SC (as defined herein) had on 13 January 2025 approved our application under the Bumiputera equity requirement for public listed companies pursuant to our Listing (as defined herein), which is part of our Transfer of Listing.

Our Shares are classified as Shariah compliant by the Shariah Advisory Council of the SC. This classification remains valid from the date of issue of this Prospectus until the next Shariah compliance review is undertaken by the Shariah Advisory Council of the SC. The new status is released in the updated list of Shariah compliant securities, on the last Friday of May and November.

This Prospectus has not been and will not be made to comply with the laws of any jurisdiction other than Malaysia, and has not been and will not be lodged, registered or approved pursuant to or under any applicable securities or equivalent legislation or by any regulatory authority or other relevant body of any jurisdiction other than Malaysia.

We will not, prior to acting on any acceptance in respect of our IPO, make or be bound to make any enquiry as to whether you have a registered address in Malaysia and will not accept or be deemed to accept any liability in relation thereto whether or not any enquiry or investigation is made in connection therewith.

It shall be your sole responsibility if you are or may be subject to the laws of countries or jurisdictions other than Malaysia, to consult your legal and/ or other professional advisers as to whether our IPO and Transfer of Listing would result in the contravention of any law of such countries or jurisdictions.

Further, it shall also be your sole responsibility to ensure that your application for our IPO Shares would be in compliance with the terms of our IPO as stated in our Prospectus and the Application Form and would not be in contravention of any laws of countries or jurisdictions other than Malaysia to which you may be subjected. We will further assume that you had accepted our IPO in Malaysia and will be subjected only to the laws of Malaysia in connection therewith.

However, we reserve the right, in our absolute discretion to treat any acceptance as invalid if we believe that such acceptance may violate any law or applicable legal or regulatory requirements.

No action has been or will be taken to ensure that this Prospectus complies with the laws of any country or jurisdiction other than the laws of Malaysia. It shall be your sole responsibility to consult your legal and/ or other professional adviser on the laws to which our IPO and Transfer of Listing or you are or might be subjected to. Neither us nor our Adviser nor any other advisers in relation to our IPO and Transfer of Listing shall accept any responsibility or liability in the event that any application made by you shall become illegal, unenforceable, avoidable or void in any country or jurisdiction.

ELECTRONIC PROSPECTUS

This Prospectus can also be viewed or downloaded from Bursa Securities' website at www.bursamalaysia.com. The contents of the Electronic Prospectus and the copy of this Prospectus registered with Bursa Securities are the same.

You are advised that the internet is not a fully secured medium and that your Internet Share Application (as defined herein) may be subject to risks of problems occurring during data transmission, computer security threats such as viruses, hackers and crackers, faults with computer software and other events beyond the control of the Internet Participating Financial Institutions or Participating Securities Firms (as defined herein). These risks cannot be borne by the Internet Participating Financial Institutions or Participating Securities Firms.

If you are in doubt of the validity or integrity of an Electronic Prospectus, you should immediately request from us, our Adviser or Issuing House (as defined herein), a paper printed copy of this Prospectus.

In the event of any discrepancies arising between the contents of the electronic and the contents of the paper printed copy of this Prospectus for any reason whatsoever, the contents of the paper printed copy of this Prospectus which are identical to the copy of the Prospectus registered with Bursa Securities, shall prevail.

In relation to any reference in this Prospectus to third-party internet sites (referred to as "**Third-Party Internet Sites**"), whether by way of hyperlinks or by way of description of the Third Party Internet Sites, you acknowledge and agree that:

(a) We and our Adviser do not endorse and are not affiliated in any way with the Third-Party Internet Sites and are not responsible for the availability of, or the contents or any data, information, files or other material provided on the Third-Party Internet Sites. You shall bear all risks associated with the access to or use of the Third-Party Internet Sites;

(b) We and our Adviser are not responsible for the quality of products or services in the Third-Party Internet Sites, for fulfilling any of the terms of your agreements with the Third-Party Internet Sites. We and our Adviser are also not responsible for any loss or damage or costs that you may suffer or incur in connection with or as a result of dealing with the Third-Party Internet Sites or the use of or reliance of any data, information, files or other material provided by such parties; and

(c) Any data, information, files or other material downloaded from Third-Party Internet Sites is done at your own discretion and risk. We and our Adviser are not responsible, liable or under obligation for any damage to your computer system or loss of data resulting from the downloading of any such data, information, files or other material.

Where an Electronic Prospectus is hosted on the website of the Internet Participating Financial Institutions or Participating Securities Firms, you are advised that:

(a) The Internet Participating Financial Institutions or Participating Securities Firms are only liable in respect of the integrity of the contents of an Electronic Prospectus, to the extent of the contents of the Electronic Prospectus situated on the web server of the Internet Participating Financial Institutions or Participating Securities Firms and shall not be responsible in any way for the integrity of the contents of an Electronic Prospectus which has been downloaded or otherwise obtained from the web server of the Internet Participating Financial Institutions or Participating Securities Firms and thereafter communicated or disseminated in any manner to you or other parties; and

(b) While all reasonable measures have been taken to ensure the accuracy and reliability of the information provided in an Electronic Prospectus, the accuracy and reliability of an Electronic Prospectus cannot be guaranteed as the internet is not a fully secured medium.

The Internet Participating Financial Institutions or Participating Securities Firms shall not be liable (whether in tort or contract or otherwise) for any loss, damage or cost, you or any other person may suffer or incur due to, as a consequence of or in connection with any inaccuracies, changes, alterations, deletions or omissions in respect of the information provided in an Electronic Prospectus which may arise in connection with or as a result of any fault or faults with web browsers or other relevant software, any fault or faults on your or any third-party's personal computer, operating system or other software, viruses or other security threats, unauthorised access to information or systems in relation to the website of the Internet Participating Financial Institutions or Participating Securities Firms, and/ or problems occurring during data transmission, which may result in inaccurate or incomplete copies of information being downloaded or displayed on your personal computer.

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INDICATIVE TIMETABLE

All terms used are defined under "Definitions" commencing from page vii.

The indicative timing of events leading to our Listing is set out below:

Events	Indicative date
Issuance of this Prospectus/ Opening of Application	11 April 2025
Closing of Application	25 April 2025
Balloting of Application	30 April 2025
Allotment of IPO Shares to successful applicants	6 May 2025
Date of Listing	8 May 2025

If there is any change to the indicative timetable, we will advertise the notice of such change in a widely circulated English and Bahasa Malaysia daily newspapers in Malaysia, and make an announcement on Bursa Securities' website.

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PRESENTATION OF FINANCIAL AND OTHER INFORMATION

All terms used in this section are defined under "Definitions" commencing from page vii.

All references to "Fibromat" and "Company" in this Prospectus are to Fibromat (M) Berhad (201201037651 (1022133-V)). Unless otherwise stated, references to "Group" are to our Company and our subsidiary taken as a whole; and references to "we", "us", "our" and "ourselves" are to our Company, and, save where the context otherwise requires, our subsidiary. Unless the context otherwise requires, references to "Management" are to our Directors and key senior management as at the date of this Prospectus, and statements as to our beliefs, expectations, estimates and opinions are those of our Management.

The word "approximately" used in this Prospectus is to indicate that a number is not an exact one, but that number is usually rounded off to the nearest thousand or million or one decimal place (for percentages) or one sen (for currency). Any discrepancies in the tables included herein between the amounts listed and the totals thereof are due to rounding.

Certain abbreviations, acronyms and technical terms used are defined in the "Definitions" and "Technical Glossary" appearing after this section. Words denoting singular shall include plural and vice versa and words denoting the masculine gender shall, where applicable, include the feminine gender and vice versa. Reference to persons shall include companies and corporations.

All reference to dates and times are references to dates and times in Malaysia.

Any reference in this Prospectus to any enactment is a reference to that enactment as for the time being amended or re-enacted.

This Prospectus includes statistical data provided by our management and various third-parties and cites third-party projections regarding growth and performance of the industry in which our Group operates. This data is taken or derived from information published by industry sources and from the internal data. In each such case, the source is stated in this Prospectus. Where no source is stated, such information can be assumed to originate from us. In particular, certain information in this Prospectus is extracted or derived from report(s) prepared by the Independent Market Researcher. We believe that the statistical data and projections cited in this Prospectus are useful in helping you to understand the major trends in the industry in which we operate.

The information on our website, or any website directly or indirectly linked to such websites do not form part of this Prospectus.

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FORWARD-LOOKING STATEMENTS

All terms used are defined under "Definitions" commencing from page vii.

This Prospectus contains forward-looking statements. All statements other than statements of historical facts included in this Prospectus, including, without limitation, those regarding our financial position, business strategies, plans and objectives for future operations, are forward-looking statements. Such forward-looking statements involve known and unknown risks, uncertainties, contingencies and other factors which may cause our actual results, our performance or achievements, or industry results, to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Such forward-looking statements are based on numerous assumptions regarding our present and future business strategies and the environment in which we will operate in the future. Such forward-looking statements reflect our Management's current view with respect to future events and are not a guarantee of future performance.

Forward-looking statements can be identified by the use of forward-looking terminology such as "may", "will", "would", "could", "believe", "expect", "anticipate", "intend", "estimate", "aim", "plan", "forecast", "project", "propose" or similar expressions and include all statements that are not historical facts.

Such forward-looking statements include, without limitations, statements relating to:

(a) demand for our products and services;

(b) our business strategies;

(c) our future plans;

(d) our future earnings, cash flows and liquidity; and

(e) our ability to pay future dividends.

Our actual results may differ materially from information contained in such forward-looking statements as a result of a number of factors beyond our control, including, without limitation:

(a) the economic, political and investment environment in the countries which we operate; and

(b) Government policy, legislation or regulation of the countries which we operate in.

Additional factors that could cause our actual results, performance or achievements to differ materially include, but are not limited to, those discussed in Section 9 – "Risk Factors" and Section 12 – "Financial Information". We cannot give any assurance that the forward-looking statements made in this Prospectus will be realised. Such forward-looking statements are made only as at the date of this Prospectus.

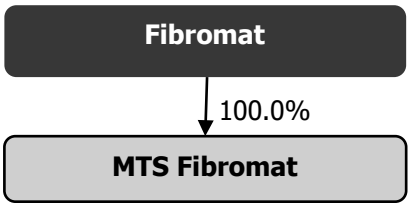
Should we become aware of any subsequent material change or development affecting matters disclosed in this Prospectus arising from the date of registration of this Prospectus but before the date of allotment/ transfer of our IPO Shares, we shall further issue a supplemental or replacement prospectus, as the case may be, in accordance with the provisions of Section 238(1) of the CMSA and Paragraph 1.02, Chapter 1 of Part ll (Division 6) of the Prospectus Guidelines (Supplementary and Replacement Prospectus).

DEFINITIONS

The following terms in this Prospectus bear the same meanings as set out below unless otherwise defined or the context requires otherwise:

COMPANIES WITHIN OUR GROUP:

"Fibromat" or "Company"	:	Fibromat (M) Berhad (201201037651 (1022133-V))
"Fibromat Group" or "Group"	:	Fibromat and its subsidiary, collectively
"MTS Fibromat"	:	MTS Fibromat (M) Sdn Bhd (199901016602 (491502-K))



GENERAL:

"ACE Market"	:	ACE Market of Bursa Securities
"Acquisition of MTS Fibromat"	:	Acquisition by our Company of the entire equity interest of MTS Fibromat for a purchase consideration of RM38.4 million which was wholly satisfied by the issuance of 194,399,985 Shares at an issue price of approximately RM0.20 per Share, which was completed on 11 April 2019
"Act"	:	Companies Act 2016
"ADA"	:	Authorised Depository Agent
"AGM"	:	Annual general meeting
"Adviser" or "Sponsor" or "Underwriter" or "Placement Agent"	:	M&A Securities
"AMLR"	:	ACE Market Listing Requirements of Bursa Securities
"Application(s)"	:	Application(s) for IPO Shares by way of Application Form(s), Electronic Share Application(s) or Internet Share Application(s)
"Application Form(s)"	:	Printed application form(s) for the application of our IPO Shares accompanying this Prospectus
"ATM"	:	Automated teller machine
"Batu Caves HQ"	:	Our Group's headquarters located at 573-B, 573-C, 574, 574-A, 574-B and 574-C, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor
"Board"	:	Board of Directors of Fibromat
"Bursa Depository" or "Depository"	:	Bursa Malaysia Depository Sdn Bhd (198701006854 (165570-W))

DEFINITIONS *(Cont'd)*

"Bursa Securities"	:	Bursa Malaysia Securities Berhad (200301033577 (635998-W))
"CAGR"	:	Compound annual growth rate
"CCC"	:	Certificate of completion and compliance
"CCM"	:	Companies Commission of Malaysia
"CDS"	:	Central Depository System
"CDS Account"	:	Account established by Bursa Depository for a depositor for the recording and dealing in securities by the depositor
"Central Depositories Act" or "SICDA"	:	Securities Industry (Central Depositories) Act 1991
"CIDB"	:	Construction Industry Development Board
"CMSA"	:	Capital Markets and Services Act 2007
"Constitution"	:	Our constitution
"COVID-19"	:	Novel coronavirus disease 2019, an infectious respiratory disease which first broke out in 2019
"Director(s)"	:	An executive director or a non-executive director of our Company within the meaning of Section 2 of the Act
"DOSH"	:	Department of Occupational Safety and Health Malaysia
"EBIT"	:	Earnings before interest and tax
"EBITDA"	:	Earnings before interest, tax, depreciation and amortisation
"EGM"	:	Extraordinary general meeting
"Electronic Prospectus"	:	Copy of this Prospectus that is issued, circulated or disseminated via the internet and/ or an electronic storage medium
"Electronic Share Application(s)"	:	Application(s) for IPO Shares through a Participating Financial Institution's ATM
"Eligible Person(s)"	:	Eligible Director(s) and employee(s) who are eligible to participate in the Pink Form Allocations, collectively
"EPS"	:	Earnings per share
"FYE"	:	Financial year(s) ended/ ending 31 December, as the case may be
"Government"	:	Government of Malaysia
"GP"	:	Gross profit
"HR"	:	Human resource
"IFRS"	:	International Financial Reporting Standards

DEFINITIONS *(Cont'd)*

"IMR" or "SMITH ZANDER"	:	Smith Zander International Sdn Bhd (201301028298 (1058128-V)), our Independent Market Researcher
"IMR Report"	:	Independent Market Research Report titled "Geotechnical Solutions Industry in Malaysia" dated 19 March 2025
"Information Memorandum"	:	Information memorandum dated 12 April 2019 pursuant to our Company's listing on the LEAP Market
"Internet Participating Financial Institution(s)" or "Participating Securities Firm(s)"	:	Participating financial institution(s) or participating securities firm(s) for Internet Share Application as listed in Section 16.6
"Internet Share Application(s)"	:	Application(s) for IPO Shares through an online share application service provided by Internet Participating Financial Institution(s) or Participating Securities Firm(s)
"Initial Public Offering" or "IPO"	:	Our initial public offering comprising the Public Issue and Offer for Sale
"IPO Price"	:	Issue price/ offer price of RM0.55 per Share under our IPO
"IPO Share(s)"	:	Issue Share(s) and Offer Share(s), collectively
"Issue Share(s)"	:	New Share(s) to be issued under our Public Issue
"Issuing House"	:	Malaysian Issuing House Sdn Bhd (199301003608 (258345-X))
"LEAP Market"	:	LEAP Market of Bursa Securities
"Listing"	:	Listing of and quotation for our entire enlarged share capital of RM62,451,800 comprising 248,276,000 Shares on the ACE Market
"Listing Scheme"	:	Comprising the Public Issue, Offer for Sale and Listing, collectively
"LMLR"	:	LEAP Market Listing Requirements of Bursa Securities
"LOA"	:	Letter of award
"LPD"	:	12 March 2025, being the latest practicable date for ascertaining certain information contained in this Prospectus
"M&A Securities"	:	M & A Securities Sdn Bhd (197301001503 (15017-H))
"MAICSA"	:	Malaysian Institute of Chartered Secretaries and Administrators
"Main Market"	:	Main Market of Bursa Securities
"Malaysian Public"	:	Malaysian citizens and companies, co-operatives, societies and institutions incorporated or organised under the laws of Malaysia
"Market Day"	:	Any day between Monday to Friday (both days inclusive) which is not a public holiday and on which Bursa Securities is open for the trading of securities. This may include a day that is declared as a public holiday in the Federal Territory of Kuala Lumpur that has not been gazetted as a public holiday at the beginning of the calendar year

DEFINITIONS *(Cont'd)*

"MCCG"	:	Malaysian Code on Corporate Governance
"MCO"	:	The nationwide Movement Control Order imposed by the Government under the Prevention and Control of Infectious Diseases Act 1988 and the Police Act 1967
"MFRS"	:	Malaysian Financial Reporting Standards
"MIA"	:	Malaysian Institute of Accountants
"Minority Shareholder(s)"	:	The 20 minority shareholder(s) of our Company who collectively hold 33,132,902 Shares, representing 15.3% of our total number of issued Shares prior to the Public Issue
"MITI"	:	Ministry of Investment, Trade and Industry
"MyIPO"	:	Intellectual Property Corporation of Malaysia
"NA"	:	Net assets
"NBV"	:	Net book value
"Offer for Sale"	:	Offer for sale of 24,827,000 Offer Shares by our Selling Shareholder at our IPO Price
"Offer Share(s)"	:	Existing Share(s) to be offered under the Offer for Sale
"Official List"	:	A list specifying all securities which have been admitted for listing on the ACE Market
"OSHA"	:	Occupational Safety and Health Act 1994
"Participating Financial Institution(s)"	:	Participating financial institution(s) for Electronic Share Application(s) as listed in Section 16.5
"PAT"	:	Profit after tax
"PBT"	:	Profit before tax
"PE Multiple"	:	Price-to-earnings multiple
"Pink Form Allocations"	:	Allocation of 6,207,000 Issue Shares to Eligible Person(s), which forms part of our Public Issue
"Promoter(s)"	:	Ng Kian Boon and Mohd Tarmim Bin Sidek, collectively
"Proposal Letter"	:	The proposal letter dated 10 May 2024 from the Proposer to the Board proposing the Transfer of Listing
"Proposer" or "Selling Shareholder"	:	Ng Kian Boon
"Prospectus"	:	This prospectus dated 11 April 2025 in relation to our IPO in conjunction with our Transfer of Listing
"Prospectus Guidelines"	:	Prospectus Guidelines issued by the SC
"Public Issue"	:	Public issue of 32,276,000 Issue Shares at our IPO Price

DEFINITIONS *(Cont'd)*

"QC"	:	Quality control
"R&D"	:	Research and development
"Rasa Factory"	:	Our Group's factory, warehouse and office located at Lot 2 and 4, Jalan Zurah 4, Kawasan Perindustrian Zurah, 44200 Rasa, Selangor
"ROC"	:	Registrar of Companies
"Rules of Bursa Depository" or "Depository Rules"	:	Rules of Bursa Depository and any appendices thereto
"SC"	:	Securities Commission Malaysia
"Share(s)"	:	Ordinary share(s) in Fibromat
"SOP"	:	Standard operating procedures
"Specified Shareholders"	:	Ng Kian Boon, Ng Chun Hou and Ng Chun Yew, collectively
"Transfer of Listing"	:	Withdrawal and Listing, collectively
"UK"	:	United Kingdom
"Underwriting Agreement"	:	Underwriting agreement dated 19 March 2025 entered into between our Company and M&A Securities for the purpose of our IPO
"USA"	:	United States of America
"Withdrawal"	:	Voluntary withdrawal of our Company's listing from the LEAP Market pursuant to Rules 8.05 and 8.06 of the LMLR

CURRENCIES:

"AUD"	:	Australian Dollar
"EUR"	:	Euro Dollar
"RM" and "sen"	:	Ringgit Malaysia and sen respectively
"RMB"	:	Chinese Renminbi or Chinese Yuan
"SGD"	:	Singapore Dollar
"USD"	:	United States Dollar

DEFINITIONS *(Cont'd)*

UNIT OF MEASUREMENTS:

"g"	:	Gram
"kg"	:	Kilogram
"L"	:	Litre
"m"	:	Metre
"MT"	:	Metric ton
"sqm"	:	Square metre
"sq ft"	:	Square feet

CUSTOMERS OF OUR GROUP:

"Customer A"	:	A private limited company incorporated in Malaysia, which is principally involved in construction of road works, serving the Malaysian market. It is not listed on any stock exchange nor is part of a listed group. We are unable to disclose the identity of Customer A as consent was not granted by Customer A by virtue of their company policy imposed on all of their customers and suppliers
"Customer M"	:	A private limited company incorporated in Malaysia, which is principally involved in specialised engineering and construction works, serving the Malaysian market. It is not listed on any stock exchange nor is part of a listed group. We are unable to disclose the identity of Customer M as consent was not granted by Customer M by virtue of confidentiality obligations signed between the parties

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TECHNICAL GLOSSARY

This glossary contains an explanation of certain terms used throughout this Prospectus in connection with our Group's business. The terminologies and their meanings may not correspond to the standard industry usage of these terms:

"Ballast"	:	Heavy substance that is used to improve stability
"Bill of Quantity"	:	A document detailing the qualitative and quantitative information of a proposed construction project. It is used for cost estimation and as part of tender and contract document
"Biodegradable"	:	Characteristic of a material that subjects the material to be broken down naturally by the action of micro-organisms
"Breakwaters"	:	A large wall that is built from the coast out into the sea to protect beaches or harbours from big waves
"Geosynthetics"	:	Products made from synthetic materials such as polypropylene, polyester, polyethylene and polyvinyl chloride which are polymers or hydrocarbon chains that are derived from petrochemicals
"HDPE"	:	High-density polyethylene, a thermoplastic polymer made from petroleum
"Hydraulic excavator"	:	A machine that uses pressurised water to break up the soil, and industrial vacuums to remove the soil
"Hydrocarbon chain"	:	Hydrocarbons are organic chemical compound comprising carbon and hydrogen atoms which are connected to each other via chemical bonds. Hydrocarbon chain is an organic molecule consisting of carbon and hydrogen atoms arranged in a chain
"Hydromulching"	:	A planting process that is applied to bare slopes containing hard material and/ or oxidised soil where there is no proper medium for growth
"Hydroseeding"	:	A planting process that is applied to newly cut slopes or to repair soil
"IEC"	:	International Electrotechnical Commission
"ISO"	:	International Organisation for Standardisation
"MS"	:	Malaysian Standards
"MSE"	:	Mechanically stabilised earth, a construction technique where soil is reinforced with geogrids or geotextiles
"Mulch"	:	A layer of a material that is spread on top of the soil to control weeds, prevent soil loss, enrich the soil and retain moisture. Mulches can be organic such as grass clippings, straw and bark chips, or inorganic such as stones, brick chips, and plastics
"OEM"	:	Original equipment manufacturer, a manufacturer that manufactures products according to the specifications provided by product owners

TECHNICAL GLOSSARY *(Cont'd)*

"Permeability"	:	Ability of a substance to allow liquids to pass through it
"PET"	:	Polyethylene terephthalate, a type of synthetic polymer used in the production of geosynthetics
"Photodegradable"	:	Characteristic of a material that subjects the material to decomposition when exposed to sunlight for a prolonged period of time
"Polyester"	:	A type of synthetic polymer used in the production of geosynthetics
"Polyethylene"	:	A type of synthetic polymer used in the production of nettings and geosynthetics
"Polymer"	:	A chemical compound comprising repetitively interlinked large molecules which are derived from petrochemicals, the byproducts of crude oil refining. Different polymers have different physical characteristics and properties due to the difference in molecules and structures
"Polypropylene"	:	A type of synthetic polymer used in the production of nettings and geosynthetics
"PVC"	:	Polyvinyl chloride, a type of synthetic polymer used in the production of geosynthetics as well as for products coating
"PVD"	:	Prefabricated vertical drain, a geosynthetics that are installed in soft ground for ground improvement purposes
"Rammer"	:	A tool that is used to compact sand through repeated impacts
"Resins"	:	Solid granules that are made from synthetic polymers. Resins are the base material used in the production of plastic products
"Scour apron"	:	A barrier that surrounds and extends out a short way from a pier to protect against water from directly eroding the foundation
"Sodium bentonite"	:	A type of mineral clay with high water absorbent properties
"Soil nailing"	:	A technique used to stabilise slopes by inserting steel reinforcement bars into the soil and anchoring them to the soil
"Slope terrace"	:	A piece of slope plane that has been cut into a series of successively receding flat surfaces or platforms which resemble steps
"Tensile strength"	:	The maximum stress a material can bear before breaking when it is stretched or pulled
"UV"	:	Ultraviolet, a type of light that is invisible to the human eye which can cause sunburn and cellular damage in living organisms. Some products use UV stabilisers to protect them from degradation caused by UV radiation
"Variation order"	:	Formal document issued during the course of a project that authorises changes to the original scope of works
"Webbing"	:	A strong and closely woven fabric designed for bearing weight and used especially for straps

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1. CORPORATE DIRECTORY

BOARD OF DIRECTORS

Name	Designation	Residential address	Nationality/ Profession	Gender
Dr. Fauziah Binti Ahmad	Independent Non-Executive Chairperson	12, Persiaran Bukit Jawi 4 Bukit Jawi Golf Villas 14200 Sungai Jawi Seberang Perai Selatan Pulau Pinang	Malaysian/ Professor	Female
Ng Kian Boon	Managing Director and Chief Executive Officer	96, Jalan 2/27C Seksyen 5, Wangsa Maju Setapak 53300 Kuala Lumpur	Malaysian/ Director	Male
Mohd Tarmim Bin Sidek	Executive Director	54, Jalan SG 9/21 Taman Sri Gombak 68100 Batu Caves Selangor	Malaysian/ Director	Male
Ng Chun Hou	Executive Director	A-35-5, Seri Riana Residence Jalan Wangsa Delima 7 Seksyen 5, Wangsa Maju 53300 Kuala Lumpur	Malaysian/ Director	Male
Chao Kar Po	Independent Non-Executive Director	A-37-05, Sunway Geolake Persiaran Tasik Timur Sunway South Quay Bandar Sunway 47500 Subang Jaya Selangor	Malaysian/ Chartered Accountant	Female
Loo Pak Soon	Independent Non-Executive Director	20, Jalan USJ 5/1J UEP Subang Jaya 47610 Subang Jaya Selangor	Malaysian/ Director	Male
Ilham Binti Umar Thabii	Independent Non-Executive Director	C-10-01 Villa Orkid Condominium 2, Jalan Prima Pelangi 7 Bukit Prima Pelangi 51200 Kuala Lumpur	Malaysian/ Lawyer	Female

AUDIT AND RISK MANAGEMENT COMMITTEE

Name	Designation	Directorship
Chao Kar Po	Chairperson	Independent Non-Executive Director
Loo Pak Soon	Member	Independent Non-Executive Director
Ilham Binti Umar Thabii	Member	Independent Non-Executive Director

NOMINATING COMMITTEE

Name	Designation	Directorship
Loo Pak Soon	Chairperson	Independent Non-Executive Director
Chao Kar Po	Member	Independent Non-Executive Director
Ilham Binti Umar Thabii	Member	Independent Non-Executive Director

REMUNERATION COMMITTEE

Name	Designation	Directorship
Ilham Binti Umar Thabii	Chairperson	Independent Non-Executive Director
Chao Kar Po	Member	Independent Non-Executive Director
Loo Pak Soon	Member	Independent Non-Executive Director

1. CORPORATE DIRECTORY *(Cont'd)*

COMPANY SECRETARIES	:	Tai Yit Chan (SSM Practising Certificate No. 202008001023) (MAICSA 7009143) 12th Floor, Menara Symphony 5, Jalan Prof. Khoo Kay Kim Seksyen 13 46200 Petaling Jaya Selangor Telephone number: +603-7890 4800 Chen Bee Ling (SSM Practising Certificate No. 202008001623) (MAICSA 7046517) 12th Floor, Menara Symphony 5, Jalan Prof. Khoo Kay Kim Seksyen 13 46200 Petaling Jaya Selangor Telephone number: +603-7890 4800
REGISTERED OFFICE	:	12th Floor, Menara Symphony 5, Jalan Prof. Khoo Kay Kim Seksyen 13 46200 Petaling Jaya Selangor Telephone number: +603-7890 4800
HEAD OFFICE	:	Wisma Fibromat 574, Jalan Samudra Utara 1 Taman Samudra 68100 Batu Caves Selangor Telephone number: +603-6189 9999
EMAIL ADDRESS AND WEBSITE	:	Website: www.fibromatberhad.com.my Email address: enquiry@fibromat.com.my
AUDITORS AND REPORTING ACCOUNTANTS FOR OUR LISTING	:	**Baker Tilly Monteiro Heng PLT** (201906000600 (LLP0019411–LCA)) & AF 0117 Baker Tilly Tower Level 10, Tower 1, Avenue 5 Bangsar South City 59200 Kuala Lumpur Partner-in-charge: Paul Tan Hong Approval number: 03459/11/2025 J *(Chartered Accountant of MIA and Fellow Member of the Association of Chartered Certified Accountants)* Telephone number: +603-2297 1000

1. CORPORATE DIRECTORY *(Cont'd)*

ADVISER, SPONSOR, UNDERWRITER AND PLACEMENT AGENT	:	**M & A Securities Sdn Bhd** (197301001503 (15017-H)) 45 & 47, Levels 3 and 7 The Boulevard Mid Valley City Lingkaran Syed Putra 59200 Kuala Lumpur Telephone number: +603-2284 2911
SOLICITORS FOR OUR LISTING	:	**Olivia Lim & Co** 41-3, Plaza Damansara Jalan Medan Setia 1 Bukit Damansara 50490 Kuala Lumpur Telephone number: +603-2011 1386
ISSUING HOUSE	:	**Malaysian Issuing House Sdn Bhd** (199301003608 (258345-X)) 11th Floor, Menara Symphony 5, Jalan Prof. Khoo Kay Kim Seksyen 13 46200 Petaling Jaya Selangor Telephone number: +603-7890 4700
SHARE REGISTRAR	:	**Boardroom Share Registrars Sdn Bhd** (199601006647 (378993-D)) 11th Floor, Menara Symphony 5, Jalan Prof. Khoo Kay Kim Seksyen 13 46200 Petaling Jaya Selangor Telephone number: +603-7890 4700
INDEPENDENT MARKET RESEARCHER	:	**Smith Zander International Sdn Bhd** (201301028298 (1058128-V)) 15-01, Level 15 Menara MBMR 1, Jalan Syed Putra 58000 Kuala Lumpur Managing Partner: Dennis Tan Tze Wen *(Bachelor of Science (major in Computer Science and minor in Business Administration) from Memorial University of Newfoundland, Canada)* Telephone number: +603-2732 7537
LISTING SOUGHT	:	ACE Market
SHARIAH STATUS	:	Approved by Shariah Advisory Council of SC

2. PROSPECTUS SUMMARY

This Prospectus Summary only highlights the key information from other parts of this Prospectus. It does not contain all the information that may be important to you. You should read and understand the contents of the whole Prospectus prior to deciding on whether to invest in our Shares.

2.1 PRINCIPAL DETAILS OF OUR IPO

The following details relating to our IPO are derived from the full text of this Prospectus and should be read in conjunction with that text.

	Public Issue		Offer for Sale		Total	
	No. of Shares	%	No. of Shares	%	No. of Shares	%
Malaysian Public	12,414,000	5.0	-	-	12,414,000	5.0
Pink Form Allocations	6,207,000	2.5	-	-	6,207,000	2.5
Private placement to MITI approved Bumiputera investors	13,655,000	5.5	17,379,000	7.0	31,034,000	12.5
Private placement to selected investors	-	-	7,448,000	3.0	7,448,000	3.0
32,276,000	**13.0**	**24,827,000**	**10.0**	**57,103,000**	**23.0**	

Enlarged number of Shares upon Listing	248,276,000
IPO Price per Share	RM0.55
Market capitalisation (calculated based on our IPO Price and enlarged number of Shares upon Listing)	RM136,551,800

Further details of our IPO are set out in Section 4.

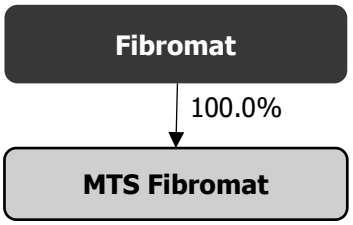
Our Specified Shareholders' entire shareholdings after our IPO will be held under moratorium for 6 months from the date of our admission to the ACE Market. Thereafter, the shareholdings of Ng Kian Boon amounting to 45.0% of our share capital will remain under moratorium for another 6 months. Ng Kian Boon may sell, transfer or assign up to a maximum of one-third per annum (on a straight-line basis) of his shares held under moratorium upon expiry of the second 6-month period.

Our Specified Shareholders have provided written undertakings that they will not sell, transfer or assign their shareholdings under moratorium during their moratorium periods respectively. Further details on the moratorium on our Shares are set out in Section 3.2.

2.2 GROUP STRUCTURE, BUSINESS MODEL AND OPERATIONAL HIGHLIGHTS

Our Company was incorporated in Malaysia under the Companies Act 1965 on 24 October 2012 as a public limited company under the name of Fibromat (M) Berhad and is deemed registered under the Act. Our Company has been listed on the LEAP Market since 30 May 2019.

Our Group structure as at LPD is as follows:



2. PROSPECTUS SUMMARY *(Cont'd)*

Our Company is principally an investment holding company. Through our subsidiary, we are principally involved in the provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining. Our Group's geotechnical solutions comprise design, manufacturing and installation of geotechnical solutions using geosynthetics, erosion control and/ or biomass products. We are also involved in the trading of geosynthetics and erosion control products.

Our Group's business model is depicted in the diagram below:

Principal business activities	Provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining		
Business segments	Design and installation of geotechnical solutions	Manufacturing and sale of in-house products	Trading of geosynthetics and erosion control products
	Project design works • Assess, propose and plan optimal and cost-effective geotechnical solutions, comprising the integration of suitable geosynthetics, erosion control and/or biomass products for customers. Project installation works • Monitor and supervise the installation of geotechnical solutions at project sites.	• Erosion control blanket • Turf reinforcement mattress • PVD • Coir log • Sand filled mattress • Geobag • Silt fence • Silt curtain • Gabion and green gabion mattress • MSE gabion wall • Composite weed control mat	• Omega retaining wall • Tenax T-block retaining wall • Signal grass seeds • Geocell • Soil retaining system panel • Wire-mesh container • Soil stabilising agent • Woven geotextile • Non-woven geotextile • Geotextile tubes • Geogrid • High strength geo-composite • HDPE geomembrane • Geosynthetic clay liner • Erosion control mat • PVC sheet pile • Grass paver • Drainage cell • Modular tank
Our customers and project type	**Customers**: Contractors and project owners **Project type**: Residential and commercial development, infrastructure development, land reclamation, road construction, railway construction, soil stabilisation, landscaping, and river and coastal protection		
Our operating locations	• Batu Caves HQ - Headquarters • Rasa Factory - Factory, warehouse and office		

Further details of our Group and business model are set out in Sections 6 and 7 respectively.

The breakdown of our revenue by business activities for FYE 2021 to 2024 is as follows:

	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
Business activities	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Design and installation of geotechnical solutions	18,324	40.0	18,801	39.2	34,185	50.0	36,755	48.7
Trading of geosynthetics and erosion control products	17,522	38.3	17,788	37.1	25,325	37.1	25,557	33.9
Manufacturing and sale of in-house products	9,941	21.7	11,364	23.7	8,790	12.9	13,151	17.4
	45,787	**100.0**	**47,953**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**

2. PROSPECTUS SUMMARY *(Cont'd)*

The breakdown of our revenue by principal markets for FYE 2021 to 2024 are as follows:

Principal markets	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Malaysia	**43,411**	**94.8**	**46,142**	**96.2**	**65,864**	**96.5**	**72,633**	**96.2**
Overseas[1]								
Singapore	1,089	2.4	1,211	2.5	1,787	2.6	2,780	3.7
South Korea	1,200	2.6	3	<0.1	221	0.3	44	<0.1
Others[2]	87	0.2	597	1.3	428	0.6	6	<0.1
	2,376	**5.2**	**1,811**	**3.8**	**2,436**	**3.5**	**2,830**	**3.8**
	45,787	**100.0**	**47,953**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**

Notes:

(1) The revenue generated from overseas was derived from the trading of geosynthetics and erosion control products and the manufacturing and sale of in-house products.

(2) Comprises mainly Hong Kong, India, UK, Solomon Islands and Thailand.

Further details on the breakdown of our revenue are set out in Section 12.2.3.

Since the commencement of our business in 1999, we have successfully grown and evolved from a geosynthetics and erosion control-based manufacturing company to a Group that provides geotechnical solutions comprising design, manufacturing and installation of geotechnical solutions using geosynthetics, erosion control and/or biomass products, as well as trading of geosynthetics and erosion control products. As at LPD, our Group has 42 on-going projects with total contract value of RM70.5 million. Out of this total contract value, RM49.9 million remains unbilled as at LPD. Further details on our on-going and completed projects are set out in Section 7.2.3.

2.3 COMPETITIVE STRENGTHS

Our Directors believe that our business sustainability and future growth is built on the following competitive strengths:

(a) Our Group manufactures and trades a wide range of products which allows us to serve the different needs of customers and provides us with the flexibility to alter our product mix based on project requirements. We are able to supply different products for a similar type of application and geotechnical solutions. Each product has a different design and different technical specifications that can cater to specific conditions and requirements of a site or project. Our diversified capabilities and wide range of product offerings allow us to target a large customer base and to participate in a wide range of projects, reducing our dependency on any particular product and/ or customer. It also enables our Group to be flexible in adapting our geotechnical solutions to customers' changing needs and demands;

(b) We offer our geotechnical solutions to multiple segments of the construction industry. We have undertaken projects and supplied our products to all of the aforementioned segments. The expertise and experience gained from the wide range of projects undertaken will continue to provide our Group with the credentials to participate in a wide range of projects in the future, and at the same time, give us the flexibility to be selective in bidding for projects that yield higher profitability. Further, our versatility also reduces the risk of reliance on the performance of any one particular construction segment;

2. PROSPECTUS SUMMARY *(Cont'd)*

(c) With 26 years of experience in the geotechnical solutions industry in Malaysia, our Group has also developed in-depth understanding and knowledge of local project requirements, industry standards and regulations, and ground and soil conditions throughout Malaysia. This experience has been critical in helping our Group secure more projects as well as product orders for the on-going expansion of our Group;

(d) We have an experienced and technically strong management team which possesses in-depth industry knowledge and capabilities as a result of the number of years of experience in their respective fields. Their hands-on involvement in our Group demonstrates their strong commitment to our growth as we continue to expand;

(e) We have various certifications and accreditations which demonstrate our commitment to product quality as well as QC. Our compliance to internationally recognised quality and standards, as well as continuous commitment towards enhancing our technical and QC competencies have been instrumental in strengthening our reputation within the industry and will continue to support our Group's future growth and expansion; and

(f) We have proven manufacturing capability which we are able to carry out in-house manufacturing of geosynthetics and erosion control products. These products were manufactured to cater to their respective applications based on the different ground and soil conditions as well as project requirements.

Further details of our competitive strengths are set out in Section 7.14.

2.4 BUSINESS STRATEGIES

Our business objectives are to maintain sustainable growth and create long-term shareholder value. To achieve our business objectives, we will implement the following business strategies:

(a) We intend to expand our offering of erosion control blanket by purchasing 2 units of stitching machines that can produce jute-based erosion control blanket and 4 units of multi-filter bags dust collectors with ducting which can be connected to the erosion control blanket stitching machine at our Rasa Factory;

(b) We intend to expand our in-house capabilities to include PVD installation through setting up a PVD installation team and purchasing 5 units of hydraulic excavators; and

(c) We intend to expand our market presence in East Malaysia where we have successfully penetrated into the market in East Malaysia when we secured our first contract for design and installation works in Sabah in 2017.

Further details of our business strategies are set out in Section 7.15.

2. PROSPECTUS SUMMARY *(Cont'd)*

2.5 RISK FACTORS

Before investing in our Shares, you should carefully consider, along with other matters in this Prospectus, the risk factors as set out in Section 9. Some of the more important risk factors are summarised below:

(a) We are required to maintain and regularly renew various licences, permits and approvals issued by various governmental authorities and regulatory agencies, and these licences, permits and approvals are essential for the conduct of our business and operations. Any failure to maintain or renew our major licences, permits and approvals in the future could materially and adversely affect our business operations and financial performance;

(b) Our Group's continued success, future business growth and expansion are, to a significant extent, dependent on our management team's experience, expertise and continuous efforts. Any loss of our Executive Directors and/ or key senior management simultaneously or within a short time span without suitable and timely replacement, or our inability to attract and retain qualified and competent personnel or to integrate new personnel, could adversely affect the business operations, financial performance and the future growth of our Group;

(c) We do not enter into any long-term contracts with our customers. The absence of long-term contracts is an industry practice due to the nature of our business and the prevailing customer practices where the demand for our products is subject to our customers' needs as and when required. The project-based nature of our design and installation of geotechnical solutions business, as well as the absence of long-term contracts for the sale of our geosynthetics and erosion control products may result in fluctuations in our Group's sales and overall financial performance;

(d) We are exposed to project management risk for our projects. Any under-estimation of project costs, unanticipated cost overruns and/ or any delays in the implementation of projects may adversely affect our operating cash flow and financial performance. We also engage third-party subcontractors to carry out installation works. Any failure of our subcontractors to fulfil their contractual obligations may lead to damages and penalties against our Group if we are unable to handover the projects to our customers according to the pre-agreed schedule in the contracts;

(e) We are exposed to risks arising from defects liability periods. Any occurrence of product defects and installation defects within the defect liability period will be reflected as a cost to us in the form of repair and/ or replacement costs, which may in turn adversely affect our financial performance;

(f) We may, from time to time, be involved in disputes with various parties such as suppliers, main contractors, subcontractors, consultants and/ or project owners in the course of carrying out our business. Costs, time and management resources would have to be diverted towards defending such claims should they arise. Such disputes and claims may lead to legal and other proceedings, administrative proceedings against our Group, and unfavourable decrees issued against our Group may cause us to suffer additional costs, delays and/ or financial losses;

2. PROSPECTUS SUMMARY *(Cont'd)*

(g) Our business operations is contingent on the availability of materials and supplies. In the event that we are unable to obtain our materials or supplies in timely manner, our business operations may be adversely affected where we may not be able to carry out our manufacturing activities, supply products to customers, or to commence installation works at project sites. Consequently, this may adversely affect our financial performance;

(h) We are exposed to competition within the geotechnical solutions industry. Failure to remain competitive in the industry may lead to reduced sales, as well as to attract new customers, which will adversely impact our Group's financial performance; and

(i) The growth of our Group is highly correlated to the growth of the infrastructure construction industry. Any political uncertainties or changes in government policies may adversely affect public spending whereby the government may review major infrastructure projects in terms of benefits and cost-effectiveness for the nation as a whole, or may reduce spending on infrastructure development. Consequently, this may adversely affect the construction industry and subsequently the geotechnical solutions industry. Hence, the business prospects and growth of our Group may also be affected should there be a decline in the growth of the overall infrastructure construction industry.

2.6 DIRECTORS AND KEY SENIOR MANAGEMENT

Our Directors and key senior management are as follows:

Name	Designation
Directors	
Dr. Fauziah Binti Ahmad	Independent Non-Executive Chairperson
Ng Kian Boon	Managing Director and Chief Executive Officer
Mohd Tarmim Bin Sidek	Executive Director
Ng Chun Hou	Executive Director
Chao Kar Po	Independent Non-Executive Director
Loo Pak Soon	Independent Non-Executive Director
Ilham Binti Umar Thabii	Independent Non-Executive Director
Key senior management	
Nadiah Firdaus Binti Mohd Firdaus	Chief Financial Officer
Ng Chun Yew	Senior Operation Manager
Prem Kamil Bin Ali	Senior Factory Manager

Further details of our Directors and key senior management are set out in Section 5.

2. PROSPECTUS SUMMARY *(Cont'd)*

2.7 PROMOTERS AND/ OR SUBSTANTIAL SHAREHOLDER

The shareholdings of our Promoters and/ or substantial shareholder in our Company before and after our IPO are set out below:

		[1]Before IPO				[2]After IPO			
		Direct		Indirect		Direct		Indirect	
Name	**Nationality**	**No. of Shares**	**%**	**No. of Shares**	**%**	**No. of Shares**	**%**	**No. of Shares**	**%**
Promoter and substantial shareholder									
Ng Kian Boon	Malaysian	182,867,098	84.7	-	-	158,040,098	63.7	[3]400,000	0.2
Promoter									
Mohd Tarmim Bin Sidek	Malaysian	2,916,002	1.3	-	-	3,316,002	1.3	-	-

Notes:

(1) Based on the share capital of 216,000,000 Shares after our listing on the LEAP Market but before our IPO.

(2) Based on the enlarged share capital of 248,276,000 Shares after our IPO.

(3) By virtue of the Shares held by Ng Chun Yew, his son and our Group's Senior Operation Manager, pursuant to Section 59(11)(c) of the Act.

Further details of our Promoters and substantial shareholder are set out in Section 5.

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2. PROSPECTUS SUMMARY *(Cont'd)*

2.8 UTILISATION OF PROCEEDS

The estimated gross proceeds from our Public Issue of RM17.8 million will accrue entirely to us and are planned to be utilised in the following manner:

Utilisation of proceeds	RM'000	%	[1]Estimated timeframe for utilisation
Purchase of machinery	7,560	42.6	Within 12 months
Working capital	6,712	37.8	Within 12 months
Estimated listing expenses	3,480	19.6	Within 1 month
Total	**17,752**	**100.0**	

Note:

(1) From the date of our Listing.

There is no minimum subscription to be raised from our IPO.

Detailed information on our utilisation of proceeds is set out in Section 4.9.1.

2.9 FINANCIAL HIGHLIGHTS

2.9.1 Consolidated statements of profit or loss and other comprehensive income

The following table sets out the financial highlights based on our consolidated statements of profit or loss and other comprehensive income for FYE 2021 to 2024:

	Audited			
	FYE 2021	FYE 2022	FYE 2023	FYE 2024
	RM'000	RM'000	RM'000	RM'000
Revenue	45,787	47,953	68,300	75,463
GP	11,798	10,535	17,136	20,707
PBT	7,848	5,434	11,229	13,431
PAT/ Total comprehensive income for the financial years	5,753	3,537	8,490	9,974
PAT/ Total comprehensive income attributable to the owners of our Group	5,753	3,537	8,490	9,974
GP margin (%)[1]	25.8	22.0	25.1	27.4
PAT margin (%)[2]	12.6	7.4	12.4	13.2
Basic EPS (sen)[3]	2.7	1.6	3.9	4.6
Diluted EPS (sen)[4]	2.3	1.4	3.4	4.0

Notes:

(1) Calculated based on GP divided by revenue.

(2) Calculated based on PAT divided by revenue.

(3) Calculated based on PAT divided by our existing share capital of 216,000,000 Shares.

(4) Calculated based on PAT divided by our enlarged share capital of 248,276,000 Shares after our IPO.

There were no exceptional items during FYE 2021 to 2024. Our audited consolidated financial statements for FYE 2021 to 2024 were not subject to any audit qualifications. Further details on the financial information are set out in Sections 12 and 13.

2. PROSPECTUS SUMMARY *(Cont'd)*

2.9.2 Pro forma consolidated statements of financial position

The following table sets out a summary of the pro forma consolidated statements of financial position of our Group to show the effects of the Public Issue and utilisation of proceeds. It is presented for illustrative purposes only and should be read together with the pro forma consolidated statements of financial position as set out in Section 14.

		I	II	III
	As at 31 December 2024	**(1)After subsequent event**	**After I and Public Issue**	**After II and utilisation of proceeds**
	RM'000	**RM'000**	**RM'000**	**RM'000**
ASSETS				
Total non-current assets	21,505	21,505	21,505	21,505
Total current assets	59,229	64,229	81,981	79,621
TOTAL ASSETS	**80,734**	**85,734**	**103,486**	**101,126**
EQUITY AND LIABILITIES				
Share capital	44,700	44,700	62,452	62,000
Merger reserve	(31,936)	(31,936)	(31,936)	(31,936)
Retained earnings	41,909	41,909	41,909	40,001
TOTAL EQUITY	**54,673**	**54,673**	**72,425**	**70,065**
Total non-current liabilities	6,556	11,556	11,556	11,556
Total current liabilities	19,505	19,505	19,505	19,505
TOTAL LIABILITIES	**26,061**	**31,061**	**31,061**	**31,061**
TOTAL EQUITY AND LIABILITIES	**80,734**	**85,734**	**103,486**	**101,126**
No. of Shares in issue ('000)	216,000	216,000	248,276	248,276
NA per Share (RM)	0.25	0.25	0.29	0.28
Borrowings[2]	11,552	16,552	16,552	16,552
Gearing (times)	0.21	0.30	0.23	0.24

Notes:

(1) Subsequent event relates to the Debt Fundraising as set out in Sections 6.5(g) and 12.2.1(i)(iv).

(2) Comprise total interest-bearing borrowings (excluding lease liabilities for the rental of office space).

2. PROSPECTUS SUMMARY *(Cont'd)*

2.10 DIVIDEND POLICY

Our Company presently does not have any formal dividend policy and the declaration of dividends and other distributions are subject to the discretion of our Board. It is our Board's policy to recommend dividends to allow our shareholders to participate in the profits of our Group. However, our ability to pay dividends or make other distributions to our shareholders in the future years is subject to various factors such as having profits and excess funds, which are not required to be retained to fund our business.

During FYE 2021 to 2024 and up to LPD, we declared and paid the following dividends:

	FYE 2021	FYE 2022	FYE 2023	FYE 2024	1 January 2025 up to LPD
	RM'000	RM'000	RM'000	RM'000	RM'000
Dividends declared and paid	5,000	3,024	2,160	2,160	-

The dividends declared and paid in FYE 2021 to 2024 were funded via internally generated profit. From 1 January 2025 up to LPD, we did not declare any dividends and have no intention to declare any dividends prior to our Listing.

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3. APPROVALS AND CONDITIONS

3.1 APPROVALS AND CONDITIONS

3.1.1 Bursa Securities approval

Bursa Securities had, vide its letter dated 7 January 2025, approved the following:

(a) our admission to the Official List of the ACE Market; and

(b) the listing of and quotation for our entire enlarged share capital of 248,276,000 Shares on the ACE Market.

The approval from Bursa Securities is subject to the following conditions:

No.	Details of conditions imposed	Status of compliance
(a)	Submit the following information with respect to the moratorium on the shareholdings of the Specified Shareholders to Bursa Depository: (i) Name of shareholders; (ii) Number of Shares; and (iii) Date of expiry of the moratorium for each block of Shares.	To be complied
(b)	Confirm that approvals from other relevant authorities have been obtained for implementation of the Transfer of Listing;	Complied
(c)	The Bumiputera equity requirements for public listed companies as approved/ exempted by the SC including any conditions imposed thereon;	Complied
(d)	Make the relevant announcements pursuant to paragraphs 8.1 and 8.2 of Guidance Note 15 of the AMLR;	To be complied
(e)	Furnish to Bursa Securities a copy of the schedule of distribution showing compliance with the public shareholding spread requirements based on the entire issued share capital of Fibromat on the first day of listing on the ACE Market;	To be complied
(f)	In relation to the public offering to be undertaken by Fibromat, to announce at least 2 market days prior to the listing date, the result of the offering including the following: (i) Level of subscription of public balloting and placement; (ii) Basis of allotment/ allocation; (iii) A table showing the distribution for placement tranche; and (iv) Disclosure of placees who become substantial shareholders of Fibromat arising from the public offering, if any;	To be complied

3. APPROVALS AND CONDITIONS *(Cont'd)*

No.	Details of conditions imposed	Status of compliance
(g)	Fibromat/ M&A Securities to furnish Bursa Securities with a written confirmation of its compliance with the terms and conditions of Bursa Securities' approval upon the admission of Fibromat to the Official List of the ACE Market.	To be complied

Bursa Securities had also, vide its letter dated 11 March 2025, approved the withdrawal of listing of our Company from the LEAP Market.

The approval from Bursa Securities is subject to the following conditions:

No.	Details of conditions imposed	Status of compliance
(a)	M&A Securities is required to furnish Bursa Securities with a letter ("**M&A Securities' Confirmation Letter**") confirming the following: (i) That all subsisting undertaking letters provided by the shareholders of Fibromat remain valid and enforceable as at the date of M&A Securities' Confirmation Letter until the completion of the Transfer of Listing; (ii) That the requirements of Rule 8.06(1) of the LMLR have been complied with or waived by Bursa Securities, as the case may be; (iii) That all conditions, including conditions imposed by the relevant authorities which are required to be met prior to the delisting have been met; and (iv) That there are no circumstances or facts which have the effect of preventing or prohibiting the delisting including any order, injunction or any other directive issued by any court of law.	Complied
(b)	Fibromat is required to announce, 5 clear markets days before the effective date of suspension, the following: (i) The trading in Fibromat's shares on the LEAP Market will be suspended 1 Market Day before the date of allotment of the new Fibromat shares to be issued pursuant to the Listing until the completion of the Listing; and (ii) The effective date of suspension.	To be complied

3. APPROVALS AND CONDITIONS *(Cont'd)*

3.1.2 SC approval

Our Listing is an exempt transaction under Section 212(8) of the CMSA and is therefore not subject to the approval of the SC.

The SC had, vide its letter dated 13 January 2025, approved our application under the Bumiputera equity requirement for public listed companies pursuant to our Listing, which is part of our Transfer of Listing. The approval from the SC is subject to the following conditions:

No.	Details of conditions imposed	Status of compliance
(a)	Fibromat to allocate 12.5% of its enlarged number of issued shares at the point of Listing to Bumiputera investors to be approved by MITI in conjunction with our Listing; and	To be complied
(b)	Fibromat to make available at least 50.0% of the Shares offered to the Malaysian public investors via balloting to Bumiputera public investors.	To be complied

In addition, the Shariah Advisory Council of the SC had on 14 November 2024, classified our Shares as Shariah-compliant.

3.1.3 MITI approval

The MITI had, vide its letter dated 19 November 2024, taken note and has no objection to our Listing.

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3. APPROVALS AND CONDITIONS *(Cont'd)*

3.2 MORATORIUM ON OUR SHARES

In accordance with Rule 3.19(1) of the AMLR, a moratorium will be imposed on the sale, transfer or assignment of those Shares held by our Specified Shareholders as follows:

(a) The moratorium applies to the entire shareholding of our Specified Shareholders for a period of 6 months from the date of our admission to the ACE Market ("**First 6-Month Moratorium**");

(b) Upon the expiry of the First 6-Month Moratorium, our Company must ensure that our Specified Shareholders' shareholding amounting to at least 45.0% of the total number of issued Shares remain under moratorium for another period of 6 months ("**Second 6-Month Moratorium**"); and

(c) On the expiry of the Second 6-Month Moratorium, our Specified Shareholders may sell, transfer or assign up to a maximum of 1/3 per annum (on a straight-line basis) of those Shares held under moratorium.

Details of our Shares which will be subject to the abovesaid moratorium, are set out below:

	Year 1				**Year 2**		**Year 3**	
	Moratorium shares during the First 6-Month Moratorium		**Moratorium shares during the Second 6-Month Moratorium**		**Moratorium shares**		**Moratorium shares**	
Specified Shareholders	**No. of Shares**	**(1)%**	**No. of Shares**	**(1)%**	**No. of Shares**	**(1)%**	**No. of Shares**	**(1)%**
Ng Kian Boon	158,040,098	63.7	111,724,200	45.0	74,482,800	30.0	37,241,400	15.0
Ng Chun Hou	(2)1,200,000	0.5	-	-	-	-	-	-
Ng Chun Yew	(2)400,000	0.2	-	-	-	-	-	-
Total	**159,640,098**	**64.4**	**111,724,200**	**45.0**	**74,482,800**	**30.0**	**37,241,400**	**15.0**

Notes:

(1) Based on our enlarged share capital of 248,276,000 Shares after our IPO.

(2) Assuming that they will fully subscribe for their respective entitlements under the Pink Form Allocations.

The moratorium has been fully accepted by our Specified Shareholders, who has provided written undertakings that they will not sell, transfer or assign their shareholdings in our Company under moratorium during the abovementioned moratorium period.

The moratorium restrictions are specifically endorsed on the share certificate representing the Shares under moratorium held by our Specified Shareholders to ensure that our Share Registrar does not register any sale, transfer and assignment that contravenes with such restrictions.

4. DETAILS OF OUR IPO

4.1 OPENING AND CLOSING OF APPLICATION PERIOD

The Application period will open at 10.00 a.m. on 11 April 2025 and will remain open until 5.00 p.m. on 25 April 2025. **LATE APPLICATIONS WILL NOT BE ACCEPTED.**

4.2 INDICATIVE TIMETABLE

Events	Indicative date
Issuance of this Prospectus/ Opening of Application	11 April 2025
Closing of Application	25 April 2025
Balloting of Application	30 April 2025
Allotment of IPO Shares to successful applicants	6 May 2025
Date of Listing	8 May 2025

In the event there is any change to the indicative timetable, we will advertise the notice of change in a widely circulated English and Bahasa Malaysia daily newspaper in Malaysia, and make an announcement on Bursa Securities' website.

4.3 DETAILS OF OUR IPO

4.3.1 Listing scheme

(a) Public Issue

A total of 32,276,000 Issue Shares, representing 13.0% of our enlarged share capital are offered at our IPO Price. The Issue Shares shall be allocated in the following manner:

(i) Malaysian Public

12,414,000 Issue Shares, representing 5.0% of our enlarged share capital, are reserved for application by the Malaysian Public, to be allocated via balloting process as follows:

(aa) 6,207,000 Issue Shares, representing 2.5% of our enlarged share capital, made available to public investors; and

(bb) 6,207,000 Issue Shares, representing 2.5% of our enlarged share capital, made available to Bumiputera public investors.

(ii) Eligible Persons

6,207,000 Issue Shares, representing 2.5% of our enlarged share capital, are reserved for our Eligible Persons under the Pink Form Allocations. Further details of our Pink Form Allocations are set out in Section 4.3.2.

(iii) Private placement to Bumiputera investors approved by MITI

13,655,000 Issue Shares, representing 5.5% of our enlarged share capital, are reserved for private placement to Bumiputera investors approved by MITI.

4. DETAILS OF OUR IPO *(Cont'd)*

The basis of allocation of the Issue Shares shall take into account our Board's intention to distribute the Issue Shares to a reasonable number of applicants to broaden our Company's shareholding base to meet the public spread requirements, and to establish a liquid and adequate market for our Shares. Applicants will be selected in a fair and equitable manner to be determined by our Board.

Upon completion of our Public Issue, our share capital will increase from RM44,700,000 comprising 216,000,000 Shares to RM62,451,800 comprising 248,276,000 Shares. There is no over-allotment or 'greenshoe' option that will increase the number of our IPO Shares.

Our Public Issue is subject to the terms and conditions of this Prospectus.

(b) Offer for Sale

A total of 24,827,000 Offer Shares, representing 10.0% of our enlarged share capital are offered by our Selling Shareholder at our IPO Price. The Offer Shares shall be allocated in the following manner:

(i) Private placement to Bumiputera investors approved by MITI

17,379,000 Offer Shares, representing 7.0% of our enlarged share capital, are made available to Bumiputera investors approved by MITI by way of private placement.

(ii) Private placement to selected investors

7,448,000 Offer Shares, representing 3.0% of our enlarged share capital, are made available to selected investors by way of private placement.

Our Offer for Sale is subject to the terms and conditions of this Prospectus.

The details of our Selling Shareholder and his relationship with our Group are as follows:

Name/ Residential address	Material relationship with our Group	Before IPO		Offer Shares offered			After IPO	
		No. of Shares	(1)%	No. of Shares	(1)%	(2)%	No. of Shares	(2)%
Ng Kian Boon/ 96, Jalan 2/27C Seksyen 5, Wangsa Maju Setapak 53300 Kuala Lumpur	Promoter, Managing Director and Chief Executive Officer, Specified Shareholder and substantial shareholder	182,867,098	84.7	24,827,000	11.5	10.0	158,040,098	63.7

Notes:

(1) Based on our existing share capital of 216,000,000 Shares before our IPO.

(2) Based on our enlarged share capital of 248,276,000 Shares after our IPO.

Further details of our Selling Shareholder, who is also our Promoter, substantial shareholder and Managing Director and Chief Executive Officer are as set out in Section 5.

4. DETAILS OF OUR IPO *(Cont'd)*

(c) Listing

Upon completion of our IPO, our Company's entire enlarged share capital of RM62,451,800 comprising 248,276,000 Shares shall be listed on the ACE Market.

4.3.2 Pink Form Allocations

We have allocated 6,207,000 Issue Shares under the Pink Form Allocations to our Eligible Persons as follows:

Category	No. of Eligible Persons	Aggregate no. of Issue Shares allocated
Eligible Directors	6	1,940,000
Eligible employees	65	4,267,000
	71	**6,207,000**

Entitlements which are not accepted by certain Eligible Persons will be re-allocated among the Eligible Persons at the discretion of our Board.

(a) Allocation to eligible Directors

The criteria for allocation to our eligible Directors are based on amongst others their present and anticipated contribution to our Group.

Ng Kian Boon (our Managing Director and Chief Executive Officer) has opted not to participate in the Pink Form Allocations as he will be undertaking the Offer for Sale.

Details of the proposed allocation to our other Directors are as follows:

Name	Designation	No. of Issue Shares allocated
Dr. Fauziah Binti Ahmad	Independent Non-Executive Chairperson	150,000
Mohd Tarmim Bin Sidek	Executive Director	400,000
Ng Chun Hou	Executive Director	1,200,000
Chao Kar Po	Independent Non-Executive Director	20,000
Loo Pak Soon	Independent Non-Executive Director	150,000
Ilham Binti Umar Thabii	Independent Non-Executive Director	20,000
		1,940,000

4. DETAILS OF OUR IPO *(Cont'd)*

(b) Allocation to our eligible employees

The criteria of allocation to our eligible employees (as approved by our Board) are based on, inter-alia, the following factors:

(i) Our employees must be an eligible and confirmed employee and on the payroll of our Group;

(ii) The number of shares allocated to our eligible employees are based on their seniority, position, length of service and respective contribution made to our Group as well as other factors deemed relevant to our Board; and

(iii) Full time employee of at least 18 years of age.

Details of the proposed allocation to our key senior management are as follows:

Name	Designation	No. of Issue Shares allocated
Nadiah Firdaus Binti Mohd Firdaus	Chief Financial Officer	1,000,000
Ng Chun Yew	Senior Operation Manager	400,000
Prem Kamil Bin Ali	Senior Factory Manager	200,000

4.3.3 Placement and underwriting arrangement

Our Underwriter will underwrite 18,621,000 Issue Shares made available for application by the Malaysian Public and Pink Form Allocations. The balance 13,655,000 Issue Shares and 24,827,000 Offer Shares available for application by Bumiputera investors approved by MITI and selected investors will not be underwritten and will be placed out by our Placement Agent.

Any of our Issue Shares not subscribed by the Malaysian Public and Pink Form Allocations shall be subject to the following clawback and reallocation provisions:

(a) If any Issue Shares allocated to the Malaysian Public are undersubscribed, the balance portion will be allocated for excess application by the Eligible Persons (subject always that public spread requirements are met). Likewise, any Issue Shares which are not taken up by the Eligible Persons, will be allocated to the Malaysian Public in the event of an oversubscription.

(b) After (a) above, the remaining portion will be made available for application by way of private placement to selected investors to be identified.

(c) Thereafter, any remaining Issue Shares that are not subscribed for will be subscribed by our Underwriter based on the terms and conditions of the Underwriting Agreement.

The allocation of IPO Shares to identified Bumiputera investors shall be subject to the allocation as approved by MITI. Such IPO Shares shall be subject to the following clawback and reallocation provisions:

(a) Any unsubscribed IPO Shares allocated to Bumiputera investors approved by MITI shall firstly be reallocated to Bumiputera public investors via public balloting. If after the above reallocation, there are still IPO Shares not taken up, the said unsubscribed IPO Shares shall then be offered to Malaysian institutional investors.

4. DETAILS OF OUR IPO *(Cont'd)*

(b) After (a) above, the remaining portion will be made available for:

(i) Malaysian Public, in the event of an oversubscription; or

(ii) application by way of private placement to selected investors to be identified,

the proportion of which will be determined by our Board and Placement Agent.

The clawback and reallocation shall not apply in the event of oversubscription of the IPO Shares allocated to the Malaysian Public, Pink Form Allocations and private placement to Bumiputera investors approved by MITI. Our Board will ensure that any excess IPO Shares will be allocated in a fair and equitable manner.

4.3.4 Minimum and oversubscription

There is no minimum subscription to be raised from our IPO. However, in order to comply with the public spread requirements of Bursa Securities, the minimum subscription in terms of the number of IPO Shares will be the number of IPO Shares required to be held by public shareholders to comply with the public spread requirements as set out in the AMLR or as approved by Bursa Securities.

In the event of an oversubscription, acceptance of Applications by the Malaysian Public shall be subject to balloting to be conducted in a manner approved by our Directors. Our Board will ensure that any excess IPO Shares will be allocated on a fair and equitable manner.

Under the AMLR, at least 25.0% of our enlarged share capital for which listing is sought must be in the hands of a minimum of 200 public shareholders, each holding not less than 100 Shares upon our admission to the ACE Market. We expect to meet the public shareholding requirement at the point of our Listing. If we fail to meet the said requirement, we may not be allowed to proceed with our Listing on the ACE Market. In such an event, we will return in full, without interest, all monies paid in respect of all applications. If any such monies are not repaid within 14 days after we become liable to do so, the provision of sub-section 243(2) of the CMSA shall apply accordingly.

As at LPD, save as disclosed in Section 4.3.2, to the extent known to our Company:

(a) there are no substantial shareholder, Directors or key senior management of our Group who have indicated to our Company that they intend to subscribe for the IPO Shares; and

(b) there are no person(s) who have indicated to our Company that they intend to subscribe for more than 5.0% of the IPO Shares.

4. DETAILS OF OUR IPO *(Cont'd)*

4.4 SHARE CAPITAL, CLASSES OF SHARES AND RANKINGS

Upon completion of our IPO, our share capital would be as follows:

Details	No. of Shares	RM
Share capital		
As at date of this Prospectus	216,000,000	44,700,000
To be issued under our Public Issue	32,276,000	(1)17,751,800
Enlarged share capital upon our Listing	**248,276,000**	**62,451,800**

Note:

(1) Prior to the capitalisation of estimated listing expenses of approximately RM0.5 million, being the listing expenses that are directly attributable to new issuance of Shares, which will be capitalised against the share capital of our Group.

Our Offer for Sale will not have any effect on our share capital.

As at date of this Prospectus, we have only one class of shares, being ordinary shares, all of which rank equally amongst one another.

Our Issue Shares will, upon allotment and issuance, rank equally in all respects with our existing ordinary shares including voting rights and will be entitled to all rights and dividends and other distributions that may be declared subsequent to the date of allotment of our Issue Shares.

Our Offer Shares rank equally in all respects with our existing ordinary shares including voting rights and will be entitled to all rights and dividends and other distributions that may be declared subsequent to the date of transfer of the Offer Shares.

Subject to any special rights attaching to any Shares which may be issued by us in the future, our shareholders shall, in proportion to the amount paid-up on the Shares held by them, be entitled to share in the whole of the profits paid out by us as dividends and other distributions and any surplus if our Company is liquidated in accordance with our Constitution.

Each of our shareholders shall be entitled to vote at any of our general meetings in person or by proxy or by other duly authorised representative. On a poll, every shareholder present in person or by proxy or other duly authorised representative shall have one vote for each ordinary share held.

4.5 PURPOSES OF OUR IPO

The purposes of our IPO are as follows:

(a) To enable our Group to raise funds for the purposes specified in Section 4.9.1 herein;

(b) To gain recognition through our listing status to enhance our reputation in terms of marketing our products and services and to retain and attract new and skilled employees;

(c) To provide an opportunity for the Malaysian Public, including our Eligible Persons to participate in our equity; and

(d) To enable us to tap into the equity capital market for future fund raising and to provide us the financial flexibility to pursue future growth opportunities as and when they arise.

4. DETAILS OF OUR IPO *(Cont'd)*

4.6 BASIS OF ARRIVING AT OUR IPO PRICE

Our IPO Price was determined and agreed upon by us and M&A Securities, as our Adviser, Sponsor, Underwriter and Placement Agent, after taking into consideration the following factors:

(a) The PE Multiple of our IPO Price of 13.70 times, calculated based on our PAT for FYE 2024 of RM9.97 million and market capitalisation of RM136.55 million upon Listing.

There is no public listed company in Malaysia and on regional exchanges which is identical to our Company in respect of, amongst others, the composition of business activities, geographical markets, scale of business operations and financial positions.

The comparable companies were selected from Bursa Malaysia Construction Index, after excluding outliers, mainly with reference to the comparable companies' involvement in construction and construction-related activities. Such selection is premised on the fact that the business activities of our Group, being a geotechnical solutions provider offering design, manufacturing and installation services to construction players, are primarily considered as construction-related activities and our growth is tied to the construction industry in general. It should be noted that any comparison made with respect to the comparable companies is merely to provide an indicative current market expectation with regards to the implied valuation range of our Group.

The following valuation ratio has been used to arrive at the valuation statistics:

Valuation multiple	**General description**
PE Multiple	PE Multiple is a valuation metric which compares a company's share price against its earnings per share. It is useful to compare the PE Multiple of a company to that of its peers to gauge the company's value relative to its peers. A higher PE Multiple indicates that investors are willing to pay more for a dollar's worth of earnings from the company. PE Multiple reflects the market's view of the likely future growth in earnings and the quality of these earnings.

PE Multiple is deemed as the most appropriate reference to value our Company in view of the following:

(i) earnings are considered to be a key determinant of the value of our Company. Our Group has been operating profitably and has been in the same business operations for the financial years under review; and

(ii) price-to-book multiple is not a suitable reference as (i) our Company is not predominantly an asset-based company; and (ii) it may not accurately reflect the potential of our Group as the value of our Group is more likely to be derived from our future business operations instead of our assets.

4. DETAILS OF OUR IPO *(Cont'd)*

The valuation statistics of the comparable companies using PE Multiple are set out below:

Selected comparable companies[1]	Principal activities	Latest available financial year	Market capitalisation	Last price as at LPD	[2]Last trailing 12-month EPS	[3]PE Multiple
			RM'million	RM	RM	Times
GDB Holdings Berhad	GDB Holdings Berhad is principally involved in building construction for residential, commercial, infrastructure and mixed development projects	31 December 2023	281.2	0.300	0.02860	10.49
Bina Puri Holdings Berhad	Bina Puri Holdings Berhad is principally involved in earthworks and building, project management services and investment holding	30 June 2024	266.0	0.330	0.02011	16.41
Pintaras Jaya Berhad	Pintaras Jaya Berhad is principally involved in investment holding, undertaking of piling contracts, civil engineering and building construction works and rental of plant and machinery	30 June 2024	238.9	1.440	0.09400	15.32
Mitrajaya Holdings Berhad	Mitrajaya Holdings Berhad is principally involved in civil engineering, building and road construction works and property development	31 December 2023	228.7	0.305	0.02890	10.55
Gadang Holdings Berhad	Gadang Holdings Berhad is principally involved in engineering and construction, property development, utilities and mechanical and electrical services	31 May 2024	208.2	0.260	0.01340	19.40
TRC Synergy Berhad	TRC Synergy Berhad is principally involved in construction works, trading of construction materials and property development. The company also hires and services vehicles and manufactures concrete piles and ready-mixed concrete	31 December 2023	146.1	0.310	0.02690	11.52

4. DETAILS OF OUR IPO *(Cont'd)*

Selected comparable companies[1]	Principal activities	Latest available financial year	Market capitalisation	Last price as at LPD	[2]Last trailing 12-month EPS	[3]PE Multiple
			RM'million	RM	RM	Times
Epicon Berhad	Epicon Berhad is principally involved in construction of residential housing and commercial properties and the operation of public bus transportation services	31 December 2023	109.8	0.175	0.01580	11.08
Crest Builder Holdings Berhad	Crest Builder Holdings Berhad is principally involved in property investment and property development, mechanical and electrical engineering services, investment holding, construction and concession holder	31 December 2023	89.2	0.550	0.03500	15.71
Tuju Setia Berhad	Tuju Setia Berhad is principally involved in provision of construction services	31 December 2023	76.7	0.220	0.01350	16.30
OCR Group Berhad	OCR Group Berhad is principally involved in construction of residential and commercial properties, property development, property investment, investment holding, property and real estate management and leasing of temporary structure space to tenants	31 December 2023	116.9	0.035	0.00291	12.03
TSR Capital Berhad	TSR Capital Berhad is principally involved in construction and civil engineering works, manufacturing and marketing of pre-cast concrete products, trading of building and construction materials and property development	30 Jun 2024	37.5	0.215	0.02082	10.33
					Average	**13.56**
					High	**19.40**
					Low	**10.33**

(Source: Bloomberg as at LPD)

4. DETAILS OF OUR IPO *(Cont'd)*

Notes:

(1) Companies in Bursa Malaysia Construction Index, excluding outliers which are being (i) loss making companies; (ii) companies with market capitalisation above RM500.0 million; or (iii) companies with PE Multiple above 25.00 times or below 10.00 times.

(2) Computed based on the trailing 12-month PAT of the respective comparable companies over the weighted average number of shares of the respective comparable companies.

(3) Computed based on the share price divided by the trailing 12-month EPS of the respective comparable companies as at LPD.

Based on market capitalisation of RM136.55 million of our Company (as computed with reference to our IPO Price of RM0.55 and enlarged share capital of 248,276,000 Shares) over our PAT for FYE 2024 of RM9.97 million, our IPO Price translates to a PE Multiple of 13.70 times.

(b) Our pro forma NA per Share of RM0.28, calculated based on our pro forma NA after our IPO and utilisation of proceeds as at 31 December 2024 of approximately RM70.1 million and enlarged share capital of 248,276,000 Shares upon Listing;

(c) Our historical financial track record as follows:

	FYE 2021	FYE 2022	FYE 2023	FYE 2024
	RM'000	RM'000	RM'000	RM'000
Revenue	45,787	47,953	68,300	75,463
GP	11,798	10,535	17,136	20,707
PAT	5,753	3,537	8,490	9,974

(d) Our competitive strengths as set out in Section 7.14; and

(e) Our business strategies and prospects as set out in Section 7.15.

To substantiate the reasonableness of our IPO Price, peer analysis has been carried out to benchmark the PE Multiple of our IPO Price as set out in Section 4.6(a) above against the PE Multiple of comparable companies in the construction industry and/ or with primary involvement in construction-related activities as our Group's prospects are correlated with the construction industry in general. None of the comparable companies have similar business activities as our Group, and there is presently no public listed company in Malaysia and other regional exchanges that is identical to our Group.

Our PE Multiple of 13.70 times falls within the range of PE Multiples of 10.33 times to 19.40 times, of the selected comparable companies and approximates the average PE Multiple of the selected comparable companies of 13.56 times. As such, our Board is of the view that the IPO Price is reasonable after taking into consideration the above peer analysis carried out to substantiate the reasonableness of our IPO Price.

4. DETAILS OF OUR IPO *(Cont'd)*

Notwithstanding the above analysis on the reasonableness of our PE Multiple and other factors as set out above in the determination of our IPO Price, you should note that our market price upon Listing is subject to the vagaries of market forces and other uncertainties that may affect the price of our Shares. You should form your own views on the valuation of our IPO Shares before deciding to invest in them. You are reminded to carefully consider the risk factors as set out in Section 9 before deciding to invest in our Shares.

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4. DETAILS OF OUR IPO *(Cont'd)*

4.7 TOTAL MARKET CAPITALISATION UPON LISTING

Based on our IPO Price and enlarged share capital of 248,276,000 Shares upon Listing, our total market capitalisation will be RM136.6 million.

4.8 DILUTION

Dilution is the amount by which our IPO Price exceeds our pro forma NA per Share immediately after our IPO. The following table illustrates such dilution on a per Share basis:

	RM
IPO Price	0.55
Pro forma NA per Share as at 31 December 2024 after the completion of Debt Fundraising of RM5.0 million (as set out in Section 6.5(g)) but before Public Issue	0.25
Pro forma NA per Share as at 31 December 2024 after Public Issue and utilisation of proceeds	0.28
Increase in pro forma NA per Share attributable to existing shareholders	0.03
Dilution in pro forma NA per Share to our new public investors pursuant to our IPO	0.27
Dilution in pro forma NA per Share as a percentage of our IPO Price	49.1%

Further details of our pro forma NA per Share as at 31 December 2024 is set out in Section 14.

Save as disclosed below and the Pink Form Allocations to our eligible Directors and key senior management, there has been no acquisition or dealing of any of our Shares by our Promoters, Directors, substantial shareholder or key senior management or persons connected with them, or any transaction entered into by them which grants them the right to acquire any of our existing Shares, since our incorporation up to the date of this Prospectus:

Shareholders	**No. of Shares held before our IPO**	**Total consideration**	**Average effective cost per Share**
		RM	**RM**
Ng Kian Boon[(1)]	182,867,098	37,254,634	0.20
Mohd Tarmim Bin Sidek[(1)]	2,916,002	141,080	0.05

4. DETAILS OF OUR IPO *(Cont'd)*

Notes:

(1) Details on the dealing of our Shares by Ng Kian Boon and Mohd Tarmim Bin Sidek since our incorporation up to the date of this Prospectus are as follows:

(a) Ng Kian Boon

Date	Details of transaction	No. of Shares acquired/ (disposed)	Consideration
			RM
October 2012	Subscriber's Share	1	1
April 2019	Subdivision of Shares	4	-
April 2019	Consideration shares received pursuant to the Acquisition of MTS Fibromat	169,127,986	33,439,317
March 2020	Acquisition of Shares via off-market	8,999,900	2,879,968
June 2020	Disposal of Shares via off-market	(1,000,000)	(300,000)
June 2020	Acquisitions of Shares via off-market	14,002,000	4,900,700
December 2020	Disposals of Shares via off-market	(4,783,000)	(1,405,900)
May 2021	Acquisition of Shares via off-market	300,000	91,500
December 2021	Acquisitions of Shares via off-market	1,400,000	434,000
May 2022	Acquisition of Shares via off-market	1,084,003	379,401
October 2022	Acquisition of Shares via off-market	750,000	247,500
May 2023	Acquisitions of Shares via off-market	9,720,002	1,992,600
June 2023	Disposals of Shares via off-market	(4,280,000)	(1,198,400)
July 2023	Disposals of Shares via off-market	(2,200,000)	(726,000)
July 2023	Acquisition of Shares via off-market	9,720,002	2,727,433
September 2023	Disposal of Shares via off-market	(3,200,000)	(992,000)
October 2023	Disposals of Shares via off-market	(15,213,000)	(4,716,030)
January 2024	Disposals of Shares via off-market	(1,560,800)	(499,456)
		182,867,098	**37,254,634**

4. DETAILS OF OUR IPO *(Cont'd)*

(b) Mohd Tarmim Bin Sidek

Date	Details of transaction	No. of Shares acquired/ (disposed)	Consideration
			RM
October 2012	Subscriber's Share	1	1
April 2019	Subdivision of Shares	4	-
April 2019	Consideration shares received pursuant to the Acquisition of MTS Fibromat	5,832,000	1,153,080
June 2020	Disposals of Shares via off-market	(1,402,000)	(490,700)
July 2020	Disposals of Shares via off-market	(430,000)	(141,900)
May 2022	Disposal of Shares via off-market	(1,084,003)	(379,401)
		2,916,002	**141,080**

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4. DETAILS OF OUR IPO *(Cont'd)*

4.9 UTILISATION OF PROCEEDS

4.9.1 Public Issue

The estimated gross proceeds from our Public Issue of RM17.8 million will accrue entirely to us and are planned to be utilised in the following manner:

Utilisation of proceeds	Notes	RM'000	%	[(1)]Estimated timeframe for utilisation
Purchase of machinery	(a)	7,560	42.6	Within 12 months
Working capital	(b)	6,712	37.8	Within 12 months
Estimated listing expenses	(c)	3,480	19.6	Within 1 month
		17,752	**100.0**	

Pending the deployment of the proceeds raised from our Public Issue as aforementioned, the funds will be placed in short-term deposits with financial institutions. The interest, income and/ or dividend to be received from placement of the proceeds in short-term deposits with financial institutions shall be utilised for our Group's working capital requirements.

Notes:

(1) From the date of our Listing.

(a) Purchase of machinery

We intend to allocate RM7.6 million, representing approximately 42.6% of our gross proceeds from the Public Issue, to supplement our existing machinery fleet and scale up our existing operations to facilitate the anticipated growth in our Group's operations:

Machinery[(1)]	Description	No. of units	[(2)]Total estimated cost
			RM'000
Erosion control blanket stitching machines	To establish an additional production line of jute-based erosion control blankets	2	[(3)]3,955
Multi-filter bags dust collector with ducting connecting machine	Dust collection system for the erosion control blanket stitching machines	4	[(3)]415
Hydraulic excavator	Machinery to be used by our in-house PVD installation team to be established	5	3,190
			7,560

Notes:

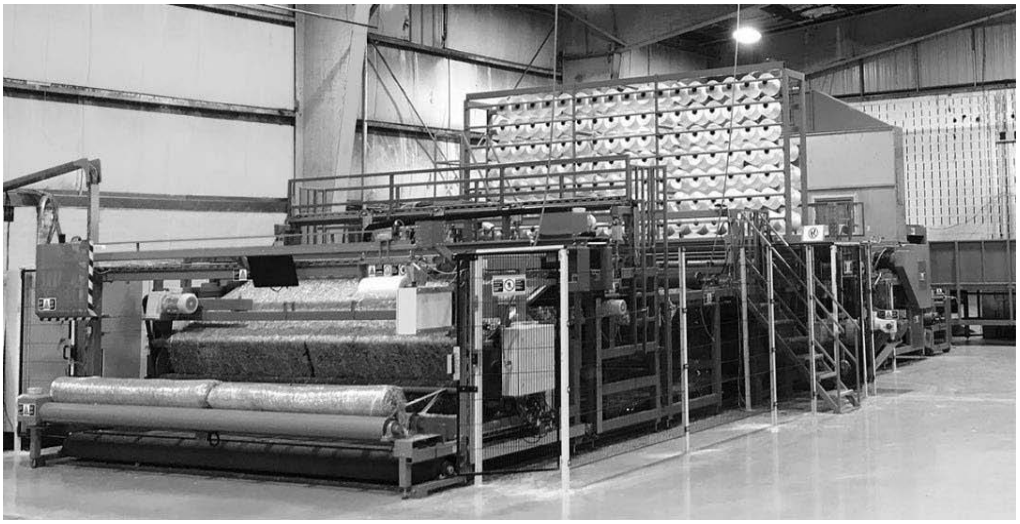
(1) For avoidance of doubt, save for the in-house PVD installation team to be assembled to operate the new hydraulic excavators, our Group does not require any additional resources to operate the other new machinery.

4. DETAILS OF OUR IPO *(Cont'd)*

(2) Total estimated cost is based on quotations secured from machinery suppliers. As at LPD, we have not entered into any definitive agreements or issued purchase orders for the purchase of the abovementioned machinery.

(3) Including the installation cost of approximately RM0.2 million for the 2 units of erosion control blanket stitching machines and 4 units of multi-filter bags dust collector with ducting connecting machine.

Erosion control blanket stitching machine



We intend to purchase 2 additional units of erosion control blanket stitching machines for our Rasa Factory, which has an estimated annual manufacturing capacity of 25,920 rolls each. This will increase our total manufacturing capacity of erosion control blanket to 101,340 rolls annually, which is an increase of 104.7% from our current manufacturing capacity of erosion control blanket of 49,500 rolls in FYE 2024. Further details on our annual manufacturing capacity for FYE 2021 to 2024 are as set out in Section 7.11. The new erosion control blanket stitching machines will primarily be used for the manufacturing of erosion control blankets using jute netting, which cannot be manufactured using our existing type of erosion control blankets. Notwithstanding that, the new machines can also be used to manufacture our existing type of erosion control blankets (using photodegradable polypropylene netting) as and when required, depending on the demand for such erosion control blankets.

Please refer to Section 7.15.1 for further details.

4. DETAILS OF OUR IPO *(Cont'd)*

Multi-filter bags dust collector with ducting connecting machine



We intend to purchase 4 units of multi-filter bags dust collector with ducting which can be connected to the erosion control blanket stitching machine at our Rasa Factory. The multi-filter bags dust collector acts as a dust collection system, filtering particle-laden air and turning the dirty air into clean air. Please refer to Section 7.15.1 for further details.

Hydraulic excavator



4. DETAILS OF OUR IPO *(Cont'd)*

We intend to expand our in-house capabilities to include PVD installation through setting up a PVD installation team and purchasing 5 units of hydraulic excavators. Our Group has been manufacturing PVDs since 2018 and as at 31 December 2024, we have 6 units of plastic extrusion machines to manufacture PVDs. Nevertheless, we have been engaging subcontractors to carry out PVD installation works at project sites while we are responsible for the overall project management and overseeing the installation works. The 5 units of hydraulic excavators will be deployed to our project sites in various states in Peninsular Malaysia where we are involved in the design and installation of geotechnical solutions for PVD.

We intend to purchase the abovementioned machinery within 12 months upon our Listing. If the actual cost exceeds the amount allocated, the deficit will be funded from our internally generated funds and/ or bank borrowings. Conversely, if the actual cost is lower than the amount allocated, the excess will be allocated for our working capital requirements.

Please refer to Section 7.15.2 for further details.

(b) Working capital

Our Group's working capital requirements are expected to increase in tandem with the expected growth in the scale of our business. We have allocated approximately RM6.7 million, representing approximately 37.8% of our gross proceeds from the Public Issue for the purchase of materials and supplies for the manufacturing of geosynthetics and erosion control products such as geogrids, non-woven geotextiles, woven geotextiles and recycled resins. For FYE 2021 to 2024, our purchase of materials and supplies accounted for 84.8%, 82.7%, 70.1% and 74.3% of our Group's total purchases respectively.

(c) Estimated listing expenses

An amount of RM3.5 million, representing approximately 19.6% of our gross proceeds from the Public Issue, is allocated to meet the estimated cost of our Listing. The following summarises the estimated expenses incidental to our Listing to be borne by us:

Estimated listing expenses	**RM'000**
Professional fees[(1)]	2,300
Underwriting, placement and brokerage fees	887
Fees payable to the authorities	71
Printing and contingencies[(2)]	222
	3,480

Notes:

(1) Includes advisory/ professional fees for, amongst others, our Adviser, solicitors, reporting accountants, IMR, internal control reviewer and Issuing House.

(2) Other incidental or related expenses in connection with our IPO.

Any variations from the amounts budgeted above shall be adjusted towards or against, as the case may be, the proceeds allocated for working capital requirements as set out in item (b) above. Any further shortfall of the planned utilisation above will be funded via our internally generated funds and/ or bank borrowings. Where applicable and required under Rule 8.24 of the AMLR, we will seek shareholders' approval for any material variation to the intended utilisation of proceeds.

4. DETAILS OF OUR IPO *(Cont'd)*

4.9.2 Offer for Sale

The Offer for Sale is expected to raise gross proceeds of approximately RM13.7 million which will accrue entirely to the Selling Shareholder and we will not receive any of the proceeds.

The Selling Shareholder shall bear all of the expenses relating to the Offer Shares, the aggregate of which is estimated to be approximately RM0.3 million.

4.10 BROKERAGE FEES, PLACEMENT FEES AND UNDERWRITING COMMISSION

4.10.1 Brokerage fees

Brokerage is payable in respect of the Issue Shares at the rate of 1.0% of our IPO Price in respect of successful applicants which bear the stamp of member companies of Bursa Securities, member of the Association of Banks in Malaysia, members of the Malaysian Investment Banking Association or Issuing House.

4.10.2 Placement fees

Our Placement Agent will place out a total of 38,482,000 IPO Shares to Bumiputera investors approved by MITI and selected investors.

We will pay our Placement Agent a placement fee of 2.5% of our IPO Price multiplied by the number of IPO Shares placed out by our Placement Agent.

4.10.3 Underwriting commission

Our Underwriter has agreed to underwrite 18,621,000 Issue Shares made available for application by the Malaysian Public and Pink Form Allocations. We will pay our Underwriter an underwriting commission of 3.0% of our IPO Price multiplied by the number of Shares underwritten.

4.11 SALIENT TERMS OF THE UNDERWRITING AGREEMENT

We have entered into the Underwriting Agreement with M&A Securities, to underwrite 18,621,000 Issue Shares ("**Underwritten Shares**") as set out in Section 4.3.3.

The salient terms in the Underwriting Agreement are as follows:

4.11.1 Conditions precedent

(a) The obligations of our Underwriter under the Underwriting Agreement are conditional upon:

(i) the Underwriting Agreement having been duly executed by all the parties to the Underwriting Agreement and duly stamped;

(ii) there has been on or prior to the last date for acceptance and receipt of an application for the subscription of the Issue Shares or such other later date as our Company and our Underwriter may agree upon ("**Closing Date**"), non-occurrence of any events that are likely to result in any material adverse change in the condition (financial or otherwise) of our Company or our subsidiary, which is material in the context of our IPO and Transfer of Listing from that set forth in this Prospectus, nor the occurrence of any event or the discovery of any fact which is inaccurate, untrue or incorrect to any extent which is or will be material

4. DETAILS OF OUR IPO *(Cont'd)*

in the reasonable opinion of our Underwriter, which makes any of the representations and warranties contained in the Underwriting Agreement untrue and incorrect in any material respect as though they had been given and made on such date with reference to the facts and circumstances then subsisting, nor the occurrence of any breach of the undertakings contained in the Underwriting Agreement;

(iii) the delivery to our Underwriter:

(aa) prior to the date of the registration of this Prospectus, a copy certified as a true copy by an authorised officer of our Company of all the resolutions of our Board and our shareholders in general meeting (if required) approving and/ or authorising our IPO, Transfer of Listing, the content and execution of the Underwriting Agreement and the content and issuance of this Prospectus; and

(bb) a certificate under our Company's letterhead, in the form or substantially in the form contained in the Underwriting Agreement, dated the date of this Prospectus signed by duly authorised officers of our Company stating that, to the best of their knowledge and belief, having made all reasonable enquiries, there has been no such change, development or occurrence as is referred to in Section 4.11.1(a)(ii) of this Prospectus;

(iv) this Prospectus being in the form and substance satisfactory to our Underwriter;

(v) the delivery to our Underwriter on the Closing Date of such reports and confirmations dated the Closing Date from our Board as our Underwriter may reasonably require to ascertain that there is no material change subsequent to the date of the Underwriting Agreement that will adversely affect the performance or financial position of our Group;

(vi) our Underwriter having been satisfied that arrangements have been made by our Company to ensure payment of the expenses referred to in the Underwriting Agreement;

(vii) our IPO and Transfer of Listing not being prohibited by any statute, order, rule, regulation or directive promulgated or issued by any legislative, executive or regulatory body or authority in Malaysia;

(viii) there is no investigation, directions or actions by any judicial, governmental or regulatory authority in relation to our IPO and Transfer of Listing or in connection with our Group which is still subsisting or unresolved to the satisfaction of our Underwriter;

(ix) our Company having complied and that our IPO and Transfer of Listing are in compliance with the policies, guidelines and requirements of Bursa Securities and/ or the SC and all revisions, amendments and/ or supplements thereto;

(x) our Company having fully complied with all the conditions which are required to be complied with prior to the issuance of this Prospectus or the Closing Date imposed by Bursa Securities in respect of our Public Issue, our IPO and Transfer of Listing;

(xi) the acceptance for registration by Bursa Securities of this Prospectus and such other documents as may be required in accordance with the CMSA in relation to our IPO and the lodgement of this Prospectus with the CCM on or before its release;

4. DETAILS OF OUR IPO *(Cont'd)*

(xii) Bursa Securities has agreed and approved in principle on or prior to the Closing Date to the admission to the Official List of the ACE Market and the listing and quotation for the entire enlarged issued share capital of our Company on the ACE Market and having approved this Prospectus and if such approvals shall be conditional, all conditions thereto being in terms acceptable to our Underwriter on or prior to the Closing Date being reasonably satisfied and such approval not being withdrawn, revoked, suspended, terminated or lapsed and that such listing and quotation shall be granted after the submission to Bursa Securities of the relevant documents including the receipt of confirmation from the Bursa Depository confirming that the securities accounts of all successful applicants have been duly credited and our Issuing House has confirmed that the notices of allotment have been despatched to entitled holders;

(xiii) this Prospectus having been issued within 3 months of the date of the Underwriting Agreement or within such extended period as may be determined by our Underwriter;

(xiv) the issue of our Issue Shares having been approved by Bursa Securities and any other relevant authorities and our shareholders in a general meeting and such authorisation has not been withdrawn, revoked, suspended, terminated or lapsed; and

(xv) all necessary approvals and authorisations required in relation to our Issue Shares including but not limited to governmental approvals have been obtained and are in full force and effect.

(b) If any of the conditions set out in Section 4.11.1(a) of this Prospectus is not satisfied by the Closing Date, our Underwriter shall be entitled to terminate the Underwriting Agreement and in that event, except for the liability of our Company for the payment of costs and expenses as provided in the Underwriting Agreement incurred prior to the termination and any claims pursuant to the Underwriting Agreement, there shall be no further claims by our Underwriter against our Company, and the parties shall be released and discharged from their respective obligations under the Underwriting Agreement provided that our Underwriter may at its discretion with respect to its obligations waive compliance with any of the provisions of Section 4.11.1(a) of this Prospectus.

4.11.2 Termination/ lapse of the Underwriting Agreement

(a) Notwithstanding anything contained in the Underwriting Agreement, our Underwriter may by notice in writing to our Company given at any time before the Closing Date, terminate, cancel or withdraw its commitment to underwrite the Underwritten Shares if:

(i) there is any breach by our Company of any of the representations, warranties or undertakings contained in the Underwriting Agreement, which is not capable of remedy or, if capable of remedy, is not remedied to the satisfaction of our Underwriter within such number of days as stipulated by our Underwriter in writing to our Company or as stipulated in the notice informing our Company of such breach or by the Closing Date, whichever is earlier; or

4. DETAILS OF OUR IPO *(Cont'd)*

(ii) there is withholding of information which is required to be disclosed to our Underwriter, which is required to be disclosed pursuant to the Underwriting Agreement, and if capable of remedy, is not remedied within such number of days as stipulated by our Underwriter in writing to our Company or as stipulated in the notice informing our Company of such breach which, in the opinion of our Underwriter, would have or can reasonably be expected to have, a material adverse effect on the business or operations of our Group, the success of our IPO and Transfer of Listing, or the distribution or sale of the Issue Shares; or

(iii) there shall have occurred, happened or come into effect any material and adverse change to the business or financial condition of our Company or our Group which is not made known or without the knowledge of our Underwriter; or

(iv) there shall have occurred, happened or come into effect any of the following circumstances:

(aa) any material change, or any development involving a prospective change, in national or international monetary, financial, economic or political conditions (including but not limited to conditions on the stock market, in Malaysia or overseas, foreign exchange market or money market or with regard to inter-bank offer or interest rates both in Malaysia and overseas) or foreign exchange controls or the occurrence of any combination of any of the foregoing; or

(bb) any change in law, regulation, directive, policy or ruling in any jurisdiction or any event or series of events beyond the reasonable control of our Underwriter (including without limitation, acts of God, acts of terrorism, strikes, lock-outs, fire, explosion, flooding, civil commotion, sabotage, acts of war or accidents);

which, in the reasonable opinion of our Underwriter, would have or can reasonably be expected to have, a material adverse effect on and/ or materially prejudice the business or the operations of our Company or our Group, the success of our IPO and Transfer of Listing, or the distribution or sale of our Issue Shares, or which has or is likely to have the effect of making any material part of the Underwriting Agreement incapable of performance in accordance with its terms; or

(v) there is failure on the part of our Company to perform any of our obligations contained in the Underwriting Agreement which is not capable of remedy or, if capable of remedy, is not remedied to the satisfaction of our Underwriter within such number of days as stipulated by our Underwriter in writing to our Company or as stipulated in the notice informing our Company of such breach or by the Closing Date, whichever is earlier; or

(vi) any approvals, orders, consents, authorisations, registrations and/ or permissions required in relation to our IPO and Transfer of Listing is revoked, suspended, withdrawn or ceases to have any effect whatsoever, or is varied or supplemented upon terms that would have or its reasonably likely to have material adverse effect; or

(vii) our IPO and Transfer of Listing do not take place within 3 months from the date of the Underwriting Agreement or such other extended date as may be agreed by our Company and our Underwriter; or

4. DETAILS OF OUR IPO *(Cont'd)*

(viii) any commencement of legal proceedings or action against any companies within our Group or any of our Directors, which in the opinion of our Underwriter, would have or is reasonably likely to have a material adverse effect or make it impracticable to market our IPO or to enforce contracts to allot and issue the Issue Shares and/ or transfer our Shares; or

(ix) any material statements contained in this Prospectus has become or been discovered to be untrue, inaccurate or misleading in any respect; or

(x) the imposition of any moratorium, suspension or material restriction on trading in our securities generally on the ACE Market due to exceptional financial circumstances which, in the reasonable opinion of our Underwriter, would have or can reasonably be expected to have, a material adverse effect on the business or operations of our Group, the success of our IPO and Transfer of Listing, or the distribution or sale of our Issue Shares.

(b) In the event of termination pursuant to Section 4.11.2 of this Prospectus (save for Section 4.11.2(a)(iv)), the respective parties to the Underwriting Agreement shall, save and except for any antecedent breach, be released and discharged from their obligations under the Underwriting Agreement whereupon the Underwriting Agreement shall be of no further force or effect subject to the following:

(i) the liability of our Company for the payment of costs and expenses as provided in the Underwriting Agreement incurred prior to or in connection with such termination shall remain;

(ii) the liability of our Company for the payment of the underwriting commission as provided in the Underwriting Agreement shall remain; and

(iii) subject thereto, if applicable, our Company shall return any monies paid without interest thereon to our Underwriter within 3 Market Days of the receipt of such notice of termination from our Underwriter,

provided that our Underwriter may at its discretion waive compliance with or modify any of the provisions of this section without prejudice to its powers, rights and remedies under the Underwriting Agreement.

(c) If the Underwriting Agreement is terminated pursuant to Section 4.11.2(a)(iv) of this Prospectus, our Underwriter and our Company may confer with a view to defer our IPO and Transfer of Listing by amending its terms or the terms of the Underwriting Agreement and may enter into a supplemental underwriting agreement accordingly, but neither our Underwriter nor our Company shall be under any obligation to enter into a new or fresh agreement.

4.11.3 Force Majeure

(a) Notwithstanding anything herein contained, it will be an event of force majeure if one of the following occurs:

(i) any material change in any law, regulation, directive, policy or ruling in any jurisdiction which seriously affects or will seriously affect the business of our Company and/ or any of our subsidiary;

4. DETAILS OF OUR IPO *(Cont'd)*

(ii) any change in national or international monetary, financial, political or economic conditions (including but not limited to conditions on the stock market, in Malaysia or overseas, foreign exchange market or money market or with regard to inter-bank offer or interest rates both in Malaysia or overseas) or currency exchange rates or an occurrence as a result of an act or acts of God or in the event of national disorder, armed conflict or serious threat of the same, hostilities, embargo, severe economic dislocation, natural catastrophe, earthquake, typhoon, outbreak of war, outbreak of disease, acts of terrorism, pandemic, epidemic or the declaration of a state of national emergency;

(iii) the FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI Index) ("**Index**") is, at the close of normal trading on Bursa Securities, on any Market Day:

(aa) on or after the date of the Underwriting Agreement; and

(bb) prior to the Closing Date;

lower than 90.00% of the level of Index at the close of normal trading on Bursa Securities on the Market Day immediately prior to the date of the Underwriting Agreement and remains at or below that level for at least 3 consecutive Market Days;

(iv) the imposition of any moratorium, suspension or material restriction on trading in all securities generally on Bursa Securities for 3 consecutive Market Days.

(b) In the event of a force majeure pursuant to Section 4.11.3(a) of this Prospectus, our Underwriter may, subject to prior consultation with our Company, at any time prior to or on the Closing Date:

(i) terminate the Underwriting Agreement by giving notice to our Company in the manner as set out in Underwriting Agreement; or

(ii) request for the Closing Date to be extended to such reasonable date as our Underwriter may decide.

4.12 TRADING AND SETTLEMENT IN SECONDARY MARKET

Our Shares will be admitted to the Official List of the ACE Market and an official quotation will commence after, among others, the receipt of confirmation from Bursa Depository that all of our IPO Shares have been duly credited into the respective CDS Accounts of the successful applicants and the notices of allotment have been issued and despatched to all the successful applicants.

Pursuant to Section 14(1) of the SICDA, Bursa Securities has prescribed our Shares as securities to be deposited into the CDS. Following this, we will deposit our Shares directly with Bursa Depository and any dealings in our Shares will be carried out in accordance with the SICDA and Depository Rules. We will not issue any share certificates to successful applicants.

Upon our Listing, transactions in our Shares under the book-entry settlement system will be reflected by the seller's CDS Account being debited with the number of Shares sold and the buyer's CDS Account being credited with the number of Shares acquired.

Trading of shares of companies listed on Bursa Securities is normally done in "board lots" of 100 shares. Investors who desire to trade less than 100 shares will trade under the odd lot board. Settlement of trades done on a "ready" basis on Bursa Securities generally takes place on the second Market Day following the transaction date, and payment for the securities is generally settled on the second Market Day following the transaction date.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT

5.1 PROMOTERS AND/ OR SUBSTANTIAL SHAREHOLDER

5.1.1 Promoters' and/ or substantial shareholder's shareholdings

The shareholdings of our Promoters and/ or substantial shareholder in our Company before and after our IPO are set out below:

		[1]As at LPD/ Before IPO				[2]After IPO			
		Direct		Indirect		Direct		Indirect	
Name	**Nationality**	**No. of Shares**	**%**	**No. of Shares**	**%**	**No. of Shares**	**%**	**No. of Shares**	**%**
Promoter and substantial shareholder									
Ng Kian Boon	Malaysian	182,867,098	84.7	-	-	158,040,098	63.7	[3]400,000	0.2
Promoter									
Mohd Tarmim Bin Sidek	Malaysian	2,916,002	1.3	-	-	3,316,002	1.3	-	-

Notes:

(1) Based on our existing share capital of 216,000,000 Shares.

(2) Based on our enlarged share capital of 248,276,000 Shares after our IPO.

(3) By virtue of the Shares held by Ng Chun Yew, his son and our Group's Senior Operation Manager, pursuant to Section 59(11)(c) of the Act.

Our Promoters and/ or substantial shareholder do not have different voting rights from other shareholders of our Group.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.1.2 Profile of Promoters and/ or substantial shareholder

The profile of our Promoters and/ or substantial shareholder is set out below:

(a) Ng Kian Boon

Ng Kian Boon, a Malaysian, aged 63, is our Promoter, substantial shareholder and Managing Director and Chief Executive Officer. He was appointed to our Board on 24 October 2012 and is responsible for overseeing the overall strategic business planning, development and operations of our Group.

He graduated with a Diploma in Mechanical Engineering from Federal Institute of Technology, Malaysia, in 1983. In 2008, he obtained a Master of Business Administration (Entrepreneurial Management) from Entrepreneurship Institute Australia (now known as the Australian Institute of Business), Australia.

He is currently Vice President of Malaysia Biomass Industries Confederation, executive member of The Malaysian Chapter of the International Geosynthetics Society as well as a council member of Federation of Malaysian Manufacturers.

He began his career as a Technical Sales Executive of Tai Hoe Trading Sdn Bhd in 1984, a company involved in trading of building materials, where he was responsible for the company's sales and marketing of building materials, installation works and project management.

In 1987, he resigned from Tai Hoe Trading Sdn Bhd to commence his venture into the trading and installation of containment lining and water tanks where he co-founded Linetech (M) Sdn Bhd ("**Linetech**") in 1988. He held the position of Managing Director of Linetech from 1988 to 1994 where he managed the company's daily business operations.

In 1994, he also co-founded Westbury Tubular (M) Sdn Bhd to venture into the design, fabrication and installation of steel structures and roofing where he was appointed as a director to oversee the daily operation of the company. He also held the position of Business Development Director in the company where he was responsible for identifying and establishing relationships with customers and suppliers, managing sales and marketing activities, overseeing the project executions for construction of steel structures and roofing. He resigned as director of Westbury Tubular (M) Sdn Bhd in 1996 but remained as Business Development Director until his resignation in 1998.

Since his departure from Westbury Tubular (M) Sdn Bhd in 1998, he mainly oversaw Linetech's operation as director until July 1999. He remains as a director and shareholder of Linetech, which became inactive in 2019, and is dormant as at LPD.

In August 1999, he joined MTS Fibromat as a General Manager where he was responsible for managing the daily operations of the company, securing contracts with clients, liaising with suppliers to procure project materials and overseeing the fulfilment of the projects. He was subsequently promoted and designated as Managing Director and Chief Executive Officer of MTS Fibromat in January 2001 and later appointed to the board of MTS Fibromat in July 2001. He became an indirect substantial shareholder of MTS Fibromat in July 2001 through his shareholdings in Containment Engineering Sdn Bhd and he subsequently became a direct substantial shareholder of MTS Fibromat since January 2011.

He is the father of Ng Chun Hou (our Executive Director) and Ng Chun Yew (our Senior Operation Manager).

Kindly refer to Section 5.2.3(a) for his involvement in other business activities outside our Group.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

(b) Mohd Tarmim Bin Sidek

Mohd Tarmim Bin Sidek, a Malaysian, aged 60, is our Promoter and Executive Director. He was appointed to our Board on 24 October 2012 and is responsible for overseeing the business development department of our Group.

He obtained a Diploma in Agriculture from Universiti Putra Malaysia (formerly known as Universiti Pertanian Malaysia) in 1986.

He commenced his career as a Landscape Supervisor of Syarikat Perniagaan Peladang (KADA) Sdn Bhd in 1987 where he was involved in landscape planning, implementation and maintenance of Kompleks Kota Darul Naim, Kelantan and Dataran Merdeka, Kuala Lumpur during the Commonwealth Heads of Government Meeting conference. Subsequently, he left the company in 1988 and took a career break.

In 1990, he founded MTS Constructions and Trading (a sole proprietorship) to carry out the trading of building materials, landscaping, construction and installation of various types of water tanks. As the business expanded, he co-founded MTS Constructions and Trading Sdn Bhd (now known as Landasan Jaya Sdn Bhd) in 1994 to undertake engineering works for water tanks and supply of equipment to the Malaysian army. He subsequently ceased the sole proprietorship of MTS Constructions and Trading in 2016 and resigned as a director of MTS Constructions and Trading Sdn Bhd in 2017, and subsequently ceased to be a shareholder of the company in 2018, to focus on the operations of our Group.

In 1999, he co-founded MTS Fibromat with his spouse and has played an instrumental role in driving the business development, growth and expansion of MTS Fibromat since its inception. He is responsible for the planning and overseeing our Group's business development through promoting and generating interest in and awareness of our Group's geotechnical solutions as well as geosynthetics and erosion control products to potential customers and government agencies. His business development department works closely with our sales and marketing department to ensure effective customer acquisition and maximisation of our Group's sales.

Kindly refer to Section 5.2.3(b) for his involvement in other business activities outside our Group.

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5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.1.3 Changes in Promoters' and/ or substantial shareholder's shareholdings

The changes in our Promoters' and/ or substantial shareholder's shareholdings in our Company since our incorporation are as follows:

	[1]As at incorporation				[2]As at 31 December 2021				[2]As at 31 December 2022			
	Direct		Indirect		Direct		Indirect		Direct		Indirect	
Name	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%
Promoter and substantial shareholder												
Ng Kian Boon	1	33.3	-	-	188,046,891	87.1	-	-	189,880,894	87.9	-	-
Promoter												
Mohd Tarmim Bin Sidek	1	33.3	-	-	4,000,005	1.9	-	-	2,916,002	1.3	-	-

	[2]As at 31 December 2023				[2]As at 31 December 2024				[2]Before IPO			
	Direct		Indirect		Direct		Indirect		Direct		Indirect	
Name	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%
Promoter and substantial shareholder												
Ng Kian Boon	184,427,898	85.4	-	-	182,867,098	84.7	-	-	182,867,098	84.7	-	-
Promoter												
Mohd Tarmim Bin Sidek	2,916,002	1.3	-	-	2,916,002	1.3	-	-	2,916,002	1.3	-	-

	[3]After IPO			
	Direct		Indirect	
Name	No. of Shares	%	No. of Shares	%
Promoter and substantial shareholder				
Ng Kian Boon	158,040,098	63.7	[4]400,000	0.2
Promoter				
Mohd Tarmim Bin Sidek	3,316,002	1.3	-	-

Notes:

(1) Based on our share capital of 3 Shares as at incorporation.

(2) Based on our existing share capital of 216,000,000 Shares.

(3) Based on our enlarged share capital of 248,276,000 Shares after our IPO.

(4) By virtue of the Shares held by Ng Chun Yew, his son and our Group's Senior Operation Manager, pursuant to Section 59(11)(c) of the Act.

5.1.4 Persons exercising control over the corporation

Save for our Promoters as set out in Section 5.1.1, there is no other person who is able to, directly or indirectly, jointly or severally, exercise control over our Company. As at LPD, there is no arrangement between our Company, the Promoters and/ or substantial shareholder with any third-party which may result in a change in control of our Company at a date subsequent to our Listing.

5.1.5 Amounts or benefits paid or intended to be paid or given to our Promoters and/ or substantial shareholder

Save for the dividends paid or intended to be paid to our Promoters and/ or substantial shareholder as disclosed below, and aggregate remuneration and benefits paid or proposed to be paid for services rendered to our Group in all capacities as disclosed in Section 5.2.4, there are no other amounts or benefits that have been paid or intended to be paid to our Promoters and/ or substantial shareholder within the 2 years preceding the date of this Prospectus:

	Dividends declared and paid				
Promoters and/ or substantial shareholder	**FYE 2021 RM'000**	**FYE 2022 RM'000**	**FYE 2023 RM'000**	**FYE 2024 RM'000**	**1 January 2025 up to LPD RM'000**
Ng Kian Boon	4,314	2,658	1,899	1,829	-
Mohd Tarmim Bin Sidek	93	41	29	29	-

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.2 DIRECTORS

5.2.1 Directors' shareholdings

The shareholdings of our Directors in our Company before and after our IPO assuming that they will fully subscribe for their respective entitlements under the Pink Form Allocations are set out below:

		[1]As at LPD/ Before IPO				[2]After IPO			
		Direct		Indirect		Direct		Indirect	
Name	Designation/ Nationality	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%
Dr. Fauziah Binti Ahmad	Independent Non-Executive Chairperson/ Malaysian	-	-	-	-	150,000	<0.1	-	-
Ng Kian Boon	Managing Director and Chief Executive Officer/ Malaysian	182,867,098	84.7	-	-	158,040,098	63.7	[3]400,000	0.2
Mohd Tarmim Bin Sidek	Executive Director/ Malaysian	2,916,002	1.3	-	-	3,316,002	1.3	-	-
Ng Chun Hou	Executive Director/ Malaysian	-	-	-	-	1,200,000	0.5	-	-
Chao Kar Po	Independent Non-Executive Director/ Malaysian	-	-	-	-	20,000	<0.1	-	-
Loo Pak Soon	Independent Non-Executive Director/ Malaysian	-	-	-	-	150,000	<0.1	-	-
Ilham Binti Umar Thabii	Independent Non-Executive Director/ Malaysian	-	-	-	-	20,000	<0.1	-	-

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

Notes:

(1) Based on our existing share capital of 216,000,000 Shares.

(2) Based on our enlarged share capital of 248,276,000 Shares after our IPO.

(3) By virtue of the Shares held by Ng Chun Yew, his son and our Group's Senior Operation Manager, pursuant to Section 59(11)(c) of the Act.

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5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.2.2 Profiles of Directors

The profile of Ng Kian Boon (our Managing Director and Chief Executive Officer) and Mohd Tarmim Bin Sidek (our Executive Director), is set out in Section 5.1.2. The profiles of our other Directors are as follows:

(a) Dr. Fauziah Binti Ahmad

Dr. Fauziah Binti Ahmad, a Malaysian, aged 63, is our Independent Non-Executive Chairperson. She was appointed to our Board on 8 March 2019.

She graduated with a Bachelor of Science (Honours) in Civil Engineering from University of Strathclyde, UK in 1985. Subsequently, she was conferred the Doctor of Philosophy ("**PhD**") for research in the Department of Civil Engineering from the same university in 1989. She is a registered Graduate Engineer in Civil Engineering of the Board of Engineers Malaysia since 1991.

She began her career as a Technical Assistant in civil engineering division of Majlis Perbandaran Seberang Perai (now known as Majlis Bandaraya Seberang Perai) in January 1983 after completion of her Diploma in Civil Engineering from Universiti Teknologi Malaysia. During her tenure there, she was responsible for supervising construction sites. In July 1983, she left Majlis Perbandaran Seberang Perai to pursue her studies in UK.

Upon the completion of her PhD, she became a lecturer in geotechnical engineering in Universiti Sains Malaysia ("**USM**") from June 1989 to February 1998. While at USM, she was also a Research Officer in geotechnical engineering for University of Oxford, UK from March 1991 to October 1991. In March 1998, she was promoted to Associate Professor of USM and was subsequently promoted to Professor of USM in 2010. She retired in 2022 and remained as Honorary Professor of USM in geotechnical engineering as at LPD. Throughout her tenure of 35 years with USM, her scope of work includes teaching undergraduates and postgraduates, research in geotechnical engineering, supervision of postgraduates for the Masters and PhD programmes, publishing research papers for journals and providing consultancy services for geotechnical and civil engineering. She is also involved in providing service to the community through involvement in societies and associations as well as conducting seminars and workshops.

She does not have any involvement in business activities or directorships outside our Group.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

(b) Ng Chun Hou

Ng Chun Hou, a Malaysian, aged 35, is our Executive Director. He was appointed to our Board on 8 March 2019 and is responsible for overseeing the sales and marketing department of our Group.

He graduated with a Bachelor of Business Management from University of Queensland, Australia in 2011.

He commenced his career with MTS Fibromat as a Marketing Executive in 2012. He became the director of MTS Fibromat in 2015 and was promoted to General Manager in 2016. He is responsible for securing contracts, maintaining customer relationships and managing our Group's portfolio of clients. He is also tasked in identifying potential customers to penetrate into new markets and seizing business opportunities through the export of our Group's geosynthetics and erosion control products to overseas market. His sales and marketing department works closely with the business development department to ensure effective customer acquisition and maximisation of our Group's sales.

He is the son of Ng Kian Boon (our Promoter, substantial shareholder and Managing Director and Chief Executive Officer) and the brother of Ng Chun Yew (our Senior Operation Manager).

He does not have any involvement in business activities or directorships outside our Group.

(c) Chao Kar Po

Chao Kar Po, a Malaysian, aged 55, is our Independent Non-Executive Director. She was appointed to our Board on 27 August 2024. She is the Chairperson of our Audit and Risk Management Committee and a member of our Nominating Committee and Remuneration Committee.

She graduated with a Bachelor of Accounting (Honours) from University of Malaya in 1995. She has been a Member of MIA since 1999.

She began her career with Pos Malaysia (now known as Pos Malaysia Berhad, and listed on the Main Market) as an Accountant in April 1995 where she was responsible for preparation of accounts for Pos Malaysia. In October 1995, she left Pos Malaysia and joined Lysaght Galvanized Steel Berhad (listed on the Main Market) as an Accounts Executive and was subsequently promoted to Group Accountant in 1999. During her tenure in the company, she was responsible for the group's accounts, treasury, payroll, internal control and office administration.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

In 2002, she left Lysaght Galvanized Steel Berhad and joined Chongai Knitting Company Sdn Bhd (a subsidiary of Eksons Corporation Berhad, which is listed on the Main Market) as a Group Accountant. She was then transferred to Eksons Corporation Berhad as a Group Accountant in 2003 and was promoted to Group Financial Controller in 2004. During her tenure there, she was responsible for overseeing the group's corporate governance compliances and risk assessments as well as the corporate secretarial, HR and internal audit departments.

In March 2005, she left Eksons Corporation Berhad and joined B. P. Clinical Lab Sdn Bhd as an Accountant and became the Financial Controller from June 2005, where she was responsible for, amongst others, preparation of management accounts, procurement of financing as well as overseeing HR department. Subsequently in 2009, she left B.P. Clinical Lab Sdn Bhd and joined Hovid Berhad (previously listed on the Main Market) as an Accountant where she mainly focused on preparing and managing the accounts.

In 2010, she left Hovid Berhad and joined Old Town International Sdn Bhd as the Financial Controller. She was subsequently transferred to Oldtown Berhad (which was acquired by Jacobs Douwe Egberts Holdings Asia NL. B.V., a part of the group of companies of JDE Peet's which is listed on Euronext Amsterdam) as a Financial Controller in 2011. She was transferred to Kopitiam Asia Pacific Sdn Bhd in January 2012 and was subsequently promoted to General Manager, Finance and Accounts in April 2012, followed by a promotion to Senior General Manager in 2017. During her tenure with the company, she was responsible for overseeing the company's finance and accounts, corporate secretarial, HR, information technology, procurement and internal audit departments. In 2020, she was transferred to White Cafe Sdn Bhd where she was tasked to ensure business continuity during the integration and transition period to retain critical business knowledge of the group of companies. She left White Cafe Sdn Bhd in 2021 and assumed the role of Finance Advisor of Super FI (M) Sdn Bhd, a subsidiary of Jacobs Douwe Egberts Holdings Asia NL. B.V., from January 2022 until her early retirement in April 2022.

Kindly refer to Section 5.2.3(c) for her involvement in other business activities outside our Group.

(d) Loo Pak Soon

Loo Pak Soon, a Malaysian, aged 63, is our Independent Non-Executive Director. He was appointed to our Board on 22 August 2019 as Executive Director. He was subsequently designated as Non-Independent Non-Executive Director on 31 March 2021 and was redesignated to his present position of Independent Non-Executive Director on 1 April 2024. He is the Chairperson of our Nominating Committee and a member of our Audit and Risk Management Committee and Remuneration Committee.

He graduated with a Bachelor of Commerce (Honours) in Business Administration from University of Windsor, Canada in 1984.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

In 1984, he commenced his career in the banking industry by joining Arab-Malaysian Credit Berhad (now known as AmCard Services Berhad) as an Assistant Credit Officer where he was responsible for marketing leasing and hire purchase facilities. In 1987, he was transferred to Arab-Malaysian Merchant Bank Berhad (now known as AmInvestment Bank Berhad) as a Credit Officer where he was responsible for the marketing of merchant bank products. In January 1989, he left Arab-Malaysian Merchant Bank Berhad and joined Lee Wah Bank Limited (now known as United Overseas Bank (Malaysia) Berhad) as a Bank Officer and was subsequently promoted to Assistant Manager in August 1989. He was responsible for marketing of loans in the corporate banking division. In 1990, he left Lee Wah Bank Limited and joined Bank Buruh (Malaysia) Berhad (now known as BSNC Corporation Berhad) as an Assistant Credit Manager and he was subsequently promoted to Deputy Manager in 1991 where he was responsible for overseeing and managing the Credit Processing Department, up to his departure in 1992.

In 1992, he joined NCK Corporation Berhad (now known as APB Resources Berhad and listed on the Main Market) as a Finance Manager and was involved in the restructuring and listing exercise of NCK Corporation Berhad. He was subsequently appointed as the Development Manager of NCK Corporation Berhad in March 1993 where he was responsible for providing financial advisory, preparing financial forecast, liaising with merchant banks and authorities as well as procuring new projects.

In July 1993, he left NCK Corporation Berhad and joined Powernet Industries Sdn Bhd as a Financial Controller, where he was tasked to oversee the finance and accounting functions of the company as well as the listing exercise of Kumpulan Powernet Berhad (now known as Reneuco Berhad and listed on the Main Market) in 2002. He became the Executive Director and Special Assistant to the Group Chairman cum Managing Director of Kumpulan Powernet Berhad from 2002 to 2015 where he was responsible for overseeing the group's financial operations and strategic planning. In 2004, he was also appointed as a Chief Operating Officer of Powernet Properties Sdn Bhd, which was a wholly-owned subsidiary of Kumpulan Powernet Berhad, where he oversaw the company's operations.

In 2016, he left Kumpulan Powernet Berhad and joined MTS Fibromat as Chief Operating Officer, where he was responsible for the overall operations of MTS Fibromat. He resigned as Chief Operating Officer of MTS Fibromat in 2021.

Separately, he was the Non-Independent and Non-Executive Director of Ken Holdings Berhad (listed on the Main Market) from 1996 to 2006 and was re-appointed as the Non-Independent Non-Executive Director of Ken Holdings Berhad in 2019.

In May 2023 and March 2024, he was appointed as the Independent Non-Executive Director of Malpac Holdings Berhad and Advance Synergy Berhad respectively, both are listed on the Main Market.

As at LPD, he does not sit on the board of directors of any private companies in Malaysia. Kindly refer to Section 5.2.3(d) for his involvement in other directorships outside our Group.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

(e) Ilham Binti Umar Thabii

Ilham Binti Umar Thabii, a Malaysian aged 38, is our Independent Non-Executive Director. She was appointed to our Board on 27 August 2024. She is the Chairperson of our Remuneration Committee and a member of our Nominating Committee and Audit and Risk Management Committee.

She graduated with a Bachelor of Laws (Honours) from International Islamic University Malaysia in 2010 and she has also obtained a Diploma in Shariah Law and Practice from the same university in 2014.

Upon her graduation in 2010, she commenced her pupillage at Zain & Co. She was admitted to the High Court of Malaya as an Advocate and Solicitor in 2011.

In 2011, she joined Mazlan & Associates as a Legal Assistant of the corporate department, which handled mergers and acquisitions, capital markets proposals and establishment of private equity funds.

In 2013, she left Mazlan & Associates and joined Cyril & Co (later known as Cyril Zhafri & Co) as a Partner where she was involved in handling civil litigation cases. In 2014, she left Cyril Zhafri & Co and co-founded a law firm known as Ilham Lee in 2015. As the co-founder and a Partner of the firm, she provides legal advisory services for initial public offering, mergers and acquisitions, private equity funds, real estate and capital markets.

Kindly refer to Section 5.2.3(e) for her involvement in other directorships outside our Group.

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5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.2.3 Principal business performed outside our Group

Save as disclosed below, none of our Directors has any other principal directorship and/ or principal business activities performed outside our Group in the past 5 years up to LPD:

(a) Ng Kian Boon

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Present involvement						
Catonic (M) Sdn Bhd	General contractor for steelwork fabrications	Shareholder	3 October 2002	Resigned as director on 30 August 2020	20.0	-
Containment Engineering Sdn Bhd	Dormant (with no intended future principal activities, previously intended to undertake repair and maintenance of equipment, architectural and engineering activities and related technical consultancy)	Director/ Shareholder	29 May 1989	-	50.0	-
Federation of Malaysian Manufacturers	Represent the interests of manufacturers in Malaysia	Director	21 March 2019	-	-	-
Linetech	Dormant (with no intended future principal activities, previously involved in marketing, retailing, promoting and maintaining of storage tanks)	Director/ Shareholder	5 January 1988	-	50.0	-
Westbury Tubular (M) Sdn Bhd	Dormant (with no intended future principal activities, previously involved in manufacturing of steel tube fittings)	Shareholder	-	-	2.7	-

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Past involvement						
Allways Travel Network Sdn Bhd	Air ticketing, reservation and conducting tours	Director	8 June 2004	5 July 2024	-	-
Catonic Fabricators Sdn Bhd	Wound up on 2 January 2024, previously involved in steelwork fabrications	Shareholder	-	-	25.0	(1)10.0

Note:

(1) Deemed interested through his direct shareholding in Catonic (M) Sdn Bhd pursuant to Section 8 of the Act.

(b) Mohd Tarmim Bin Sidek

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Present involvement						
Nil						
Past involvement						
Tasa Explorer Resources	Expired on 28 June 2021, previously involved in boat rental, fishing and boat equipment supply and marketing	Sole proprietor	24 June 2020	28 June 2021	-	-
Young Learning & Development Sdn Bhd	Personal development and motivational course	Shareholder	-	15 October 2024	5.0	-

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

(c) Chao Kar Po

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Present involvement						
Anson Hartamas Sdn Bhd	Real estate activities with owned or leased property and construction of buildings	Director/ Shareholder	4 May 2020	-	30.0	-
Past involvement						
April Eight (China) Limited[1][2]	Investment holding of shares in company	Director	1 July 2019	1 January 2022	-	-
Conneczone Sdn Bhd[1]	Dissolved on 1 November 2022, previously an operator of cafe outlets	Director	1 June 2018	1 November 2021	-	-
Dynasty Confectionery Sdn Bhd[1]	Dissolved on 31 December 2023, previously involved in central bakery and confectionery processing centre	Director	1 July 2019	1 November 2021	-	-
Dynasty Kitchen Sdn Bhd[1]	Dissolved on 4 November 2020, previously involved in wholesale of foodstuffs	Director	8 June 2018	4 November 2020	-	-
Emperor's Kitchen Sdn Bhd[1]	Dissolved on 31 December 2023, previously involved in central food processing centre and trading of food products	Director	1 July 2019	1 November 2021	-	-
Esquire Chef Sdn Bhd[1]	Dissolved on 22 October 2021, previously involved in manufacturing of food products	Director	1 July 2019	22 October 2021	-	-

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Gongga Food Sdn Bhd[1]	Manufacturer of roasted coffee powder and procurement of food items, central bakery and confectionery processing centre, central food processing centre and trading of food products	Director	1 July 2019	1 November 2021	-	-
Kopitiam Asia Pacific Sdn Bhd[1]	Franchisor of cafe outlets and provision of management services and training provider	Director	1 July 2019	1 November 2021	-	-
Oldtown Logistics Sdn Bhd[1]	Investment holding of shares in company	Director	8 June 2018	1 November 2021	-	-
OldTown Sdn Bhd	Investment holding of shares in companies	Director	1 July 2019	1 November 2021	-	-
Oldtown Singapore Pte Ltd[1][3]	General wholesale trade, supply of food and beverage and provision of management services; cafes and coffee houses	Director	25 September 2018	1 November 2021	-	-
Oldtown White Coffee Limited[1][2]	Marketing of beverages	Director	1 July 2019	10 June 2022	-	-
Old Town Kopitiam Butterworth Sdn Bhd[1]	Dissolved on 1 November 2022, previously an operator of cafe outlets	Director	8 June 2018	1 November 2021	-	-
Old Town Kopitiam Cheras Sdn Bhd[1]	Dissolved on 4 November 2020, previously involved in the business of cafeterias/ canteens	Director	8 June 2018	4 November 2020	-	-
Old Town Kopitiam Kuala Lumpur Sdn Bhd[1]	Dissolved on 4 November 2020, previously involved in the business of cafeterias/ canteens	Director	8 June 2018	4 November 2020	-	-

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Old Town Kopitiam Sdn Bhd[1]	Operator of cafe outlets	Director	8 June 2018	1 November 2021	-	-
Old Town (M) Sdn Bhd[1]	Investment holding of shares in company	Director	1 July 2019	1 November 2021	-	-
OTK Eatery Sdn Bhd[4]	Operator of cafe outlets	Director	26 June 2018	8 September 2020	-	-
OTK (HK) Investment Limited[1][2]	Investment holding of shares in companies	Director	1 July 2019	1 January 2022	-	-
Plus One Solution Sdn Bhd[4]	Provision of information technology services	Director	26 June 2018	1 November 2021	-	-
White Cafe Marketing Sdn Bhd[1]	Marketing of beverages	Director	1 July 2019	1 November 2021	-	-
White Cafe Sdn Bhd[1]	Manufacturing of beverages	Director	8 June 2018	1 November 2021	-	-

Notes:

(1) A subsidiary of Oldtown Sdn Bhd.

(2) A company incorporated in Hong Kong.

(3) A company incorporated in Singapore.

(4) An associate company of Oldtown Sdn Bhd.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

(d) Loo Pak Soon

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Present involvement						
Advance Synergy Berhad (listed on the Main Market)	Investment holding company of subsidiaries principally involved in property development and investment, hotel management and operations, information and communications technology, travel and tours, financial services and other businesses involving design, building and fabrication of coaches and bus maintenance and related services, owns and operates language centre and related services	Independent Non-Executive Director/ Shareholder	22 March 2024	-	-	(1)3.6
Eighth Review (M) Sdn Bhd	Investment holding of shares in a company	Shareholder	21 October 1996	1 March 2016	50.0	-
Ken Holdings Berhad (listed on the Main Market)	Investment holding company of subsidiaries principally involved in property development and investment holding, specialist engineering services, turnkey contracts, building and civil engineering works, land reclamation, dredging and marine engineering, property management and car park management	Non-Independent Non-Executive Director	17 September 2019	-	-	-

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Malpac Holdings Berhad (listed on the Main Market)	Investment holding company of subsidiaries principally involved in investment holding such as properties and shares	Independent Non-Executive Director	30 May 2023	-	-	-

Past involvement

Nil

Note:

(1) Deemed interested by virtue of his shareholding in Eighth Review (M) Sdn Bhd pursuant to Section 8 of the Act.

(e) Ilham Binti Umar Thabii

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Present involvement						
Eggstra Lazeez Enterprise	Selling ready-to-serve and prepared food, selling farm animals (Sole proprietorship established on 10 October 2023)	Sole proprietor	10 October 2023	-	100.0	-
Pusat Didikan Tunas Mukmin	Children's religious education and tuition centre	Sole proprietor	18 March 2016	-	100.0	-
Ilham Lee	Provision of legal services	Co-founder and partner	1 January 2015	-	-	-

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholdings held	
					Direct	Indirect
Past involvement						
Al Waad Travel and Tours Sdn Bhd	Dissolved on 16 September 2022, previously involved in business as travel agents and tour operators and providing facilities in travelling touring and transport services	Director/ Shareholder	22 March 2016	16 September 2022	99.9	-
Alwaad Trading (M) Sdn Bhd	Dissolved on 16 September 2022, previously involved in general trading of food, beverages, clothing and household goods	Director/ Shareholder	22 July 2016	16 September 2022	50.0	-

As at LPD, the directorships of our Directors in other companies are in compliance with Rule 15.06 of the AMLR as they do not hold more than 5 directorships in public listed companies on Bursa Securities.

The involvement of our Directors in those business activities outside our Group does not give rise to any conflict of interest situation with our business. The involvement of our Executive Directors in the business outside our Group does not preclude them from allocating or committing their time and effort to our Group as they are not involved in the day-to-day operations of the companies. Therefore, their involvement in the companies do not require a significant amount of time, and hence does not affect their ability to fulfil their executive roles and responsibilities to our Group.

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5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.2.4 Directors' remuneration and benefits

The remuneration of our Directors including fees, salaries, bonuses, other emoluments and benefits-in-kind, must be reviewed and recommended by our Remuneration Committee and subsequently, be approved by our Board. The Director's fees and any benefits payable to Directors shall be subject to annual approval by our shareholders pursuant to an ordinary resolution passed at a general meeting in accordance with our Constitution. Please refer to Section 15.3 for further details.

The aggregate remuneration and material benefits-in-kind paid and proposed to be paid to our Directors for services rendered in all capacities to our Group for FYE 2022 to 2025 are as follows:

	Directors' fees	Salaries	Bonuses	Other emoluments	Benefits-in-kind	Total
	RM'000					
FYE 2022 (Paid)						
Dr. Fauziah Binti Ahmad	25	-	-	-	-	25
Ng Kian Boon	20	216	-	35	-	271
Mohd Tarmim Bin Sidek	20	73	-	39	-	132
Ng Chun Hou	20	97	-	17	-	134
Loo Pak Soon	20	-	-	-	-	20
FYE 2023 (Paid)						
Dr. Fauziah Binti Ahmad	25	-	-	-	-	25
Ng Kian Boon	20	228	10	37	-	295
Mohd Tarmim Bin Sidek	20	132	4	47	-	203
Ng Chun Hou	20	120	10	20	-	170
Loo Pak Soon	20	-	-	-	-	20
FYE 2024 (Paid)						
Dr. Fauziah Binti Ahmad	25	-	-	-	-	25
Ng Kian Boon	20	240	20	39	13	332
Mohd Tarmim Bin Sidek	20	132	11	22	-	185
Ng Chun Hou	20	144	12	24	21	221
Chao Kar Po	[(1)]8	-	-	-	-	8
Loo Pak Soon	20	-	-	-	-	20
Ilham Binti Umar Thabii	[(1)]8	-	-	-	-	8

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

	Directors' fees	Salaries	Bonuses	Other emoluments	Benefits-in-kind	Total
	RM'000					
FYE 2025 (Proposed)						
Dr. Fauziah Binti Ahmad	30	-	-	-	-	30
Ng Kian Boon	24	264	20	43	13	364
Mohd Tarmim Bin Sidek	24	132	6	22	-	184
Ng Chun Hou	24	156	12	26	13	231
Chao Kar Po	24	-	-	-	-	24
Loo Pak Soon	24	-	-	-	-	24
Ilham Binti Umar Thabii	24	-	-	-	-	24

Note:

(1) Pro-rated based on their date of appointment to our Board.

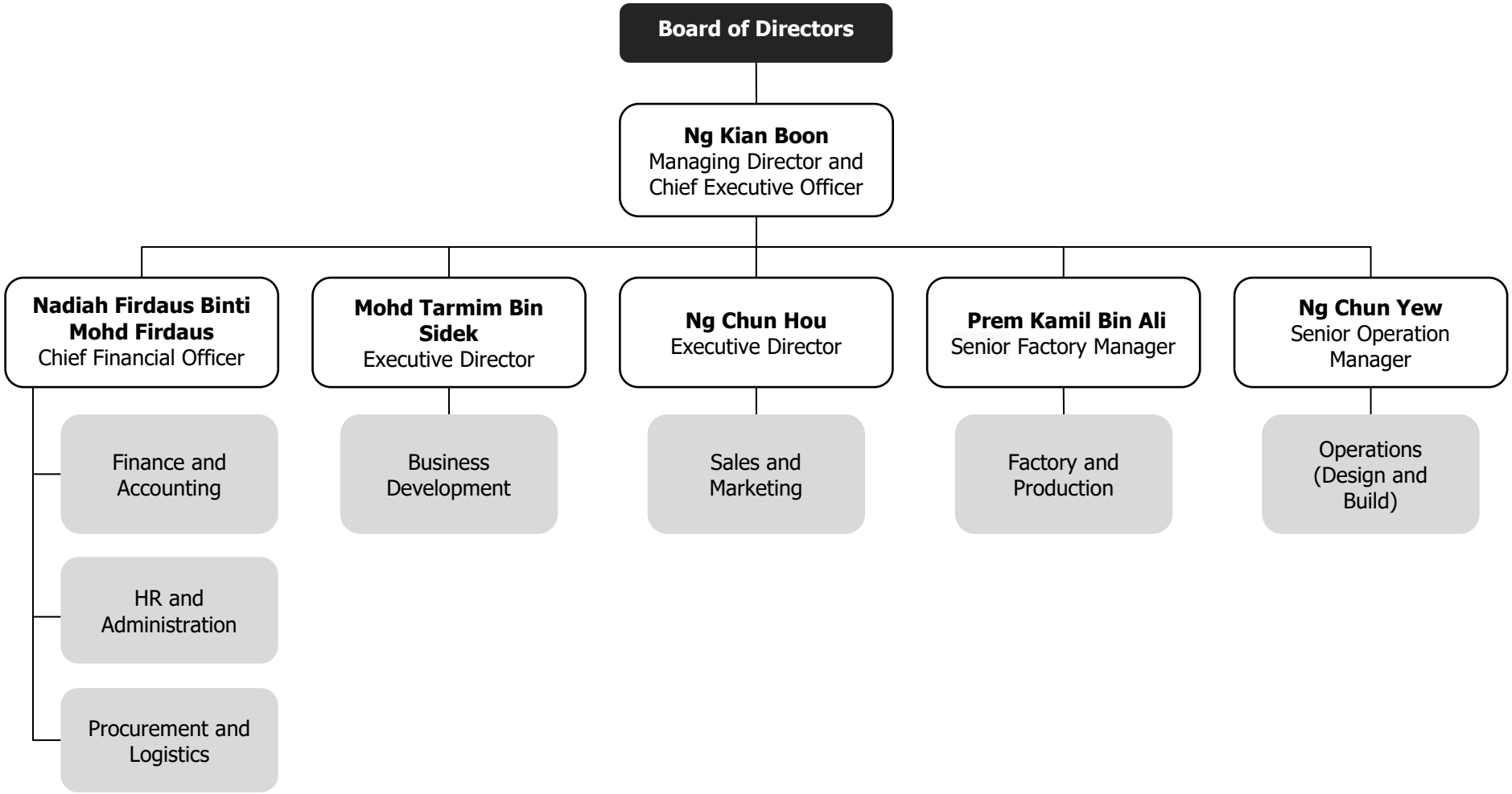
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5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.3 KEY SENIOR MANAGEMENT

5.3.1 Management structure

The management reporting structure of our Group is as follows:



5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.3.2 Key senior management shareholdings

The shareholdings of our key senior management in our Group, save for our Executive Directors which are disclosed in Sections 5.1.1 and 5.2.1, before and after our IPO assuming that they will fully subscribe for their respective entitlements under the Pink Form Allocations are set out below:

		As at LPD/ Before IPO				[(1)]After IPO			
		Direct		Indirect		Direct		Indirect	
Name	Designation/ Nationality	No. of Shares	%	No. of Shares	%	No. of Shares	%	No. of Shares	%
Nadiah Firdaus Binti Mohd Firdaus	Chief Financial Officer/ Malaysian	-	-	-	-	1,000,000	0.4	-	-
Ng Chun Yew	Senior Operation Manager/ Malaysian	-	-	-	-	400,000	0.2	-	-
Prem Kamil Bin Ali	Senior Factory Manager/ Malaysian	-	-	-	-	200,000	0.1	-	-

Note:

(1) Based on our enlarged share capital of 248,276,000 Shares after our IPO.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.3.3 Profiles of key senior management

Save for the profiles of our Executive Directors which are set out in Sections 5.1.1 and 5.2.1, the profiles of the other key senior management of our Group are as follows:

(a) Nadiah Firdaus Binti Mohd Firdaus

Nadiah Firdaus Binti Mohd Firdaus, a Malaysian, aged 41, is our Chief Financial Officer, responsible for our Group's finance and accounting department, HR and administration department as well as procurement and logistics department.

She obtained her Diploma in Business Studies from Universiti Teknologi MARA, Malaysia in 2006 and graduated with a Bachelor of Accounting (Honours) from the Universiti Tenaga Nasional, Malaysia in 2012 and a Master of Business Administration from the Anglia Ruskin University, UK in 2017. She has been a Member of MIA and ASEAN Chartered Professional Accountants since 2015 and 2017, respectively.

After completing her diploma, she commenced her career in 2006 at Halim Ahmad & Co as an Audit Assistant and was subsequently promoted to Audit Semi Senior in 2008 where she assisted in various audit assignments.

In 2009, she left Halim Ahmad & Co and pursued her undergraduate degree at Universiti Tenaga Nasional, Malaysia. Upon completion, she joined Wan Nadzir & Co as an Auditor in 2012 where she was involved in various statutory audit engagements. She left the firm in 2013 and joined MTS Fibromat as an Internal Audit Officer. She was subsequently promoted to Accounts Manager in 2015, Senior Accounts Manager in 2017 and Chief Financial Officer in 2021, a position that she continues to hold to-date.

Kindly refer to Section 5.3.4(a) for her involvement in other business activities outside our Group.

(b) Ng Chun Yew

Ng Chun Yew, a Malaysian, aged 31, is our Senior Operation Manager, responsible for overseeing our Group's operations (design and build) department.

He graduated with a Bachelor of Engineering (Honours) in Mechanical Engineering from University of Nottingham, UK in 2016.

In 2016, he commenced his career in PMT Industries Sdn Bhd (now known as Wasco AgroTech Sdn Bhd) as a Sales Engineer in the steam turbine generator division where he was tasked to develop new markets, customer base and business opportunities, prepare quotations and tender proposals, monitor project execution and provide technical support.

In 2018, he left PMT Industries Sdn Bhd and joined JJ-Lapp (M) Sdn Bhd as a Sales Engineer where he was responsible for developing new customer base, preparation of quotations and attending negotiations for distribution of electrical and data cables and accessories.

In 2020, he left JJ-Lapp (M) Sdn Bhd and became a trading representative of CGS-CIMB Securities Sdn Bhd (now known as CGS International Securities Malaysia Sdn Bhd) where he assisted in reviewing applications for CDS account and client's credit limit.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

In 2021, he left CGS-CIMB Securities Sdn Bhd and joined MTS Fibromat as Operation Manager where he was responsible for overseeing our Group's project planning and management, resource planning and coordination of site operations to meet the project requirements in accordance with project schedules, layouts and specifications. He was subsequently promoted to Senior Operation Manager in 2024, a position that he continues to hold to-date.

He is the son of Ng Kian Boon (our Promoter, substantial shareholder, Managing Director and Chief Executive Officer) and the brother of Ng Chun Hou (our Executive Director).

Kindly refer to Section 5.3.4(b) for his involvement in other business activities outside our Group.

(c) Prem Kamil Ali

Prem Kamil Ali, a Malaysian, aged 47, is our Senior Factory Manager, responsible for overseeing our Group's factory and production department.

He obtained a Diploma in Electrical and Electronic Engineering from Workers Institute of Technology, Malaysia (now known as Kolej W.I.T) in 1999.

He began his career as a Technician in Today's Plastics Industries Sdn Bhd in 1999 where he was responsible for the maintenance of machines for manufacturing of plastic products. In 2000, he left Today's Plastics Industries Sdn Bhd and joined Bando Electronics (Malaysia) Sdn Bhd as a Technician where he was responsible for the maintenance of machines for manufacturing of power transformers and reactors.

In September 2001, he left Bando Electronics (Malaysia) Sdn Bhd and joined ACE Polymers Industries Sdn Bhd (a manufacturer of plastic related products for automotive industry) as an Assistant Supervisor in the Production Department where he supervised the company's injection moulding process and assembly line. In December 2001, he was transferred to the Logistics Department with the same position as an Assistant Supervisor where he was responsible for supervising the warehouse and storage of materials and finished goods. He was transferred to the Production Planning and Control Department as Executive in 2003 and was subsequently promoted to Manager in 2005, where he was tasked to plan and control the procurement of materials, incoming materials and production of finished goods. Subsequently in 2007, he was promoted to Senior Manager for Production Planning and Control Department and Logistic Department, where his responsibilities were extended to include storage of materials and finished goods as well as overseeing the delivery of finished goods to customers.

In 2010, he left ACE Polymers Industries Sdn Bhd and founded Pusat Tuisyen Sains Dan Teknologi (which ceased business in 2014) and Pusat Tuisyen Dunia Ilmu (which ceased business in 2017) where he managed and operated 5 tuition centres.

In 2014, he joined MTS Fibromat as a Research, Development and Innovation Executive where he was responsible for the research, development, testing, QC and quality assurance of our Group's products. He was promoted to Assistant Manager in 2016 where he was responsible to assist the then Factory Manager in our factory and production department as well as our laboratory. In 2023, he was promoted as our Group's Factory Manager. In March 2025, he was promoted to our Group's Senior Factory Manager, a position that he continues to hold to-date.

He does not have any involvement in business activities or directorships outside our Group.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.3.4 Principal business performed outside our Group

Save as disclosed in Section 5.2.3 and below, none of our key senior management has any other principal directorship and/ or principal business activities performed outside our Group within the last 5 years up to LPD.

The involvement of our key senior management in those business activities outside our Group does not give rise to any conflict of interest situation with our business. Their involvement in those business activities does not require a significant amount of time, and hence does not affect their ability to fulfil their roles and responsibilities to our Group.

(a) Nadiah Firdaus Binti Mohd Firdaus

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholding held	
					Direct	Indirect
Present involvement						
All Land Integrated Ventures Sdn Bhd	Dormant (with no intended future principal activities, previously intended to undertake export and import of freshwater aquatic animals, raising, breeding and production of chicken and broiler)	Director/ Shareholder	7 September 2020	-	50.0	(1)50.0
Past involvement						
Nil						

Note:

(1) Deemed interested by virtue of her spouse's shareholding in All Land Integrated Ventures Sdn Bhd pursuant to Section 8 of the Act.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

(b) Ng Chun Yew

Company	Principal activities	Position held	Date of appointment	Date of resignation/ cessation	% of shareholding held	
					Direct	Indirect
Present involvement						
Linetech	Dormant (with no intended future principal activities, previously involved in marketing, retailing, promoting and maintaining of storage tanks)	Director	14 January 2022	-	-	-
Past involvement						
Nil						

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5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.3.5 Key senior management's remuneration and benefits

The remuneration of our key senior management including salaries, bonuses, other emoluments and benefits-in-kind, must be reviewed and recommended by our Remuneration Committee and subsequently, be approved by our Board.

The aggregate remuneration and material benefits-in-kind (in bands of RM50,000) paid and proposed to be paid to our key senior management (save for our Directors which are disclosed in Section 5.2.4) for services rendered in all capacities to our Group for FYE 2022 to 2025 are as follows:

	(1)Remuneration band			
	FYE 2022 (Paid)	**FYE 2023 (Paid)**	**FYE 2024 (Paid)**	**(2)FYE 2025 (Proposed)**
	RM'000			
Nadiah Firdaus Binti Mohd Firdaus	100 – 150	150 – 200	200 – 250	200 – 250
Ng Chun Yew	50 – 100	100 – 150	150 – 200	150 – 200
Prem Kamil Ali	50 – 100	50 – 100	100 – 150	100 – 150

Notes:

(1) The remuneration for key senior management includes salaries, bonuses, allowances and other emoluments.

(2) The bonuses for FYE 2025 are on an estimated basis. Such bonuses, if any, will be finalised at a later date based on the individual's performance as well as our Group's performance, and will be subject to recommendation of our Remuneration Committee and approval by our Board.

5.4 BOARD PRACTICE

5.4.1 Board

Our Board has adopted the following responsibilities for effective discharge of its functions:

(a) to provide leadership and oversee the overall conduct of our Group's businesses to ensure that our businesses are being properly managed;

(b) to review and adopt strategic plans for our Group and to ensure that such strategic plans and the risk, performance and sustainability thereon are effectively integrated and appropriately balanced;

(c) to review and adopt corporate governance best practices throughout our Group in all its business dealings in respect of our shareholders and other stakeholders and to ensure compliance with applicable laws and regulations;

(d) to ensure that our Company has effective Board committees as required by the applicable laws, regulations, rules, directives and guidelines and as recommended by the MCCG;

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

(e) to review and approve our annual budget, financial statements and annual reports;

(f) to monitor the relationship between our Group and our management, shareholders and stakeholders, and to develop and implement an investor relations programme or effective shareholders' communications policy for our Group;

(g) to ensure that our key senior management has the necessary skills and experience, and there are measures in place to provide for the orderly succession of our Board and key senior management;

(h) to ensure the integrity of our Group's financial and non-financial reporting; and

(i) to appoint our Board committees, to delegate powers to such committees, to review the composition, performance and effectiveness of such committees, and to review the reports prepared by our Board committees and deliberate on the recommendations thereon.

In accordance with our Constitution, an election of Directors shall take place each year. At the first AGM of the Company, all the Directors shall retire from office, and at the AGM in every subsequent year, 1/3rd of the Directors for the time being or, if their number is not 3 or a multiple of 3, then the number nearest to 1/3rd shall retire from office and be eligible for re-election provided always that all Directors shall retire from office at least once in every 3 years but shall be eligible for re-election. A retiring Director shall retain office until the close of the meeting at which he retires whether adjourned or not.

Details of the date of expiration of the current term of office for each of our Directors and the period that each of our Directors has served in office up to LPD are as follows:

Name	Date of appointment	Date of expiration of the current term in office	Tenure up to LPD
Dr. Fauziah Binti Ahmad	8 March 2019	At the 2025 AGM of our Company	6 years
Ng Kian Boon	24 October 2012	At the 2026 AGM of our Company	12 years, 5 months
Mohd Tarmim Bin Sidek	24 October 2012	At the 2027 AGM of our Company	12 years, 5 months
Ng Chun Hou	8 March 2019	At the 2026 AGM of our Company	6 years
Chao Kar Po	27 August 2024	At the 2025 AGM of our Company	Less than 7 months
Loo Pak Soon	22 August 2019	At the 2025 AGM of our Company	5 years, 7 months
Ilham Binti Umar Thabii	27 August 2024	At the 2025 AGM of our Company	Less than 7 months

The members of our Board are set out in Section 5.2. The composition of our Board is in compliance with the MCCG.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

The Board and each board committee have clearly defined roles and responsibilities aligned with MCCG's principles and practices, ensuring consistent governance practices. Our Board comprises 3 Executive Directors, 4 Independent Non-Executive Directors and thus, more than half of our Board comprises independent directors. Further, 3 board members are female, which represent more than 30.0% women directors in place. Further, the tenure of independent directors in our Board does not exceed a cumulative term limit of 9 years, after which our independent director may continue to serve on our Board as a non-independent director.

5.4.2 Audit and Risk Management Committee

The members of our Audit and Risk Management Committee are as follows:

Name	Designation	Directorship
Chao Kar Po	Chairperson	Independent Non-Executive Director
Loo Pak Soon	Member	Independent Non-Executive Director
Ilham Binti Umar Thabii	Member	Independent Non-Executive Director

The main function of our Audit and Risk Management Committee is to assist our Board in fulfilling its oversight responsibilities. Our Audit and Risk Management Committee has full access to internal and external auditors who in turn have access at all times to the Chairperson of our Audit and Risk Management Committee.

The key duties and responsibilities of our Audit and Risk Management Committee include, amongst others, the following:

(a) to review the engagement, compensation, performance, qualification and independence of our external auditors, its conduct of the annual statutory audit of our financial statements, and the engagement of external auditors for all other services;

(b) to review and recommend our quarterly and annual financial statements for approval by our Board before announcement to regulatory bodies, focusing in particular on any changes in or implementation of major accounting policies and practices, significant and unusual events, significant adjustments arising from our audit, going concern assumption and compliance with accounting standards and other regulatory or legal requirements;

(c) to review and monitor any related party transaction/ business dealings entered into by our Group and any conflict of interest situation that arose, persist or may arise within our Group including any transaction, procedure or course of conduct that raises questions of management integrity, and the measures taken to resolve, eliminate, or mitigate such conflicts;

(d) to oversee and recommend the risk management framework of our Group;

(e) to review and recommend changes as needed to ensure that our Group has in place at all times a risk management policy which address the strategies, operational, financial and compliance risk;

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

(f) to implement and maintain a sound risk management framework which identifies, assesses, manages and monitors our Group's business risks;

(g) to review the risk profile of our Group and to evaluate the measure taken to mitigate the business risks;

(h) to review the adequacy of our management's response to issues identified to risk registers, ensuring that our risks are managed within our Group's risk appetite;

(i) to perform the oversight function over the administration of whistleblowing policy that is approved and adopted by our Board and to protect the values of transparency, integrity, impartiality and accountability where our Group conducts its business and affairs;

(j) to discuss and review the major findings of internal investigations and our management's response;

(k) to do the following:

  (i) consider and approve the appointment of internal auditors and any question of resignation;

  (ii) review the adequacy of the scope, competency and resources of the internal audit function and that it has the necessary authority to carry out its work;

  (iii) review the internal audit plan and results of the internal audit assessments and investigation undertaken, and ensure that the appropriate action is taken on the recommendation of the internal auditors;

  (iv) consider the internal audit reports and findings by the internal auditors, fraud investigation and actions and steps taken by our management in response to audit findings;

  (v) appraise or assess the performance of members of the internal audit function; and

  (vi) monitor the overall performance of our Company's internal audit function.

(l) to consider other areas as defined by our Board or as may be prescribed by Bursa Securities or any other relevant authority from time to time; and

(m) to perform such other functions that may be mutually agreed upon by our Audit and Risk Management Committee and our Board.

The recommendations of our Audit and Risk Management Committee are subject to the approval of our Board.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.4.3 Nominating Committee

The members of our Nominating Committee are as follows:

Name	Designation	Directorship
Loo Pak Soon	Chairperson	Independent Non-Executive Director
Chao Kar Po	Member	Independent Non-Executive Director
Ilham Binti Umar Thabii	Member	Independent Non-Executive Director

Our Nominating Committee undertakes, amongst others, the following functions:

(a) to assist our Board in ensuring that our Board is of an effective composition, size and commitment to adequately discharge its responsibilities and duties;

(b) to ensure appropriate selection criteria and processes and to identify and recommend to our Board, candidates for directorships of our Company and members of the relevant Board committees;

(c) to evaluate the effectiveness of our Board and our Board committees;

(d) to undertake formal assessment on the effectiveness of our Board as a whole and the effectiveness of each Director;

(e) to ensure that all Directors receive appropriate continuous training in order to broaden their perspectives and to keep abreast with developments in the market place and with changes in new statutory and regulatory requirements;

(f) to ensure an appropriate framework and succession planning for our Board, including our Executive Directors; and

(g) to consider and examine such other matters as our Nominating Committee considers appropriate.

The recommendations of our Nominating Committee are subject to the approval of our Board.

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5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.4.4 Remuneration Committee

The members of our Remuneration Committee are as follows:

Name	Designation	Directorship
Ilham Binti Umar Thabii	Chairperson	Independent Non-Executive Director
Chao Kar Po	Member	Independent Non-Executive Director
Loo Pak Soon	Member	Independent Non-Executive Director

The main function of our Remuneration Committee is to assist our Board in fulfilling its responsibility on matters relating to our Group's compensation, bonuses, incentives and benefits. The Remuneration Committee's duties and responsibilities as stated in its terms of reference include, amongst others, the following:

(a) to recommend a remuneration framework for our Executive Directors and key senior management for our Board's approval to ensure corporate accountability and governance with respect to our Board's remuneration and compensation. There should be a balance in determining the remuneration package, which should be sufficient to attract and retain Directors of calibre, and yet not excessive. The framework should cover all aspects of remuneration including Director's fee, salaries, allowance, bonuses, options and benefits-in-kind;

(b) to recommend specific remuneration packages for our Executive Directors and key senior management. The remuneration package should be structured such that it is competitive. Salary scales drawn up should be within the scope of the general business policy and not be dependent on short-term performance to avoid incentives for excessive risk-taking. As for independent directors, the level of remuneration should be linked to their level of responsibilities undertaken and contribution to the effective functioning of our Board;

(c) to ensure the establishment of a formal and transparent procedure for developing policies, strategies and framework for the remuneration of our Executive Directors and key senior management;

(d) to implement the policies and procedures on remuneration including reviewing and recommending matters relating to the remuneration of our Board and key senior management; and

(e) to perform any other functions as defined by our Board.

The recommendations of our Remuneration Committee are subject to the approval of our Board.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

5.5 RELATIONSHIPS AND/ OR ASSOCIATIONS

Save as disclosed below, there are no associations and/ or family relationships between any of our Promoters, substantial shareholder, Directors and key senior management as at LPD:

(a) Ng Kian Boon (our Promoter and Managing Director and Chief Executive Officer) and Ng Chun Hou (our Executive Director) are father and son;

(b) Ng Kian Boon (our Promoter and Managing Director and Chief Executive Officer) and Ng Chun Yew (our Senior Operation Manager) are father and son; and

(c) Ng Chun Hou (our Executive Director) and Ng Chun Yew (our Senior Operation Manager) are brothers.

5.6 EXISTING OR PROPOSED SERVICE AGREEMENTS

As at LPD, there are no existing or proposed service agreements entered into between our Company with any Directors or between any companies within our Group with any key senior management which provide for benefits upon termination of employment.

5.7 DECLARATIONS FROM PROMOTERS, DIRECTORS AND KEY SENIOR MANAGEMENT

As at LPD, none of our Promoters, Directors or key senior management is or has been involved in any of the following events (whether within or outside Malaysia):

(a) in the last 10 years, a petition under any bankruptcy or insolvency law filed (and not struck out) against him or any partnership in which he was a partner or any corporation of which he was a Director or a member of key senior management;

(b) disqualified from acting as a Director of any corporation, or from taking part directly or indirectly in the management of any corporation;

(c) in the last 10 years, charged and/ or convicted in a criminal proceeding or is a named subject of a pending criminal proceeding;

(d) in the last 10 years, any judgment that was entered against him, or finding of fault, misrepresentation, dishonesty, incompetence or malpractice on his part, involving a breach of any law or regulatory requirement that relates to the capital market;

(e) in the last 10 years, was the subject of any civil proceeding, involving an allegation of fraud, misrepresentation, dishonesty, incompetence or malpractice on his part that relates to the capital market;

(f) being the subject of any order, judgment or ruling of any court, government, or regulatory authority or body temporarily enjoining him from engaging in any type of business practice or activity;

(g) in the last 10 years, has been reprimanded or issued any warning by any regulatory authority, securities or derivatives exchange, professional body or government agency; and

(h) has any unsatisfied judgment against him, save for the judgment for the litigation case involving Ng Kian Boon, our Promoter, substantial shareholder and Managing Director and Chief Executive Officer as set out below.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

In relation to Section 5.7(h) above, there is an unsatisfied judgment involving Ng Kian Boon (our Promoter, substantial shareholder and Managing Director and Chief Executive Officer) as at LPD, details of which are as set out below.

On 29 September 2022, CIMB Bank Berhad ("**CIMB**") (the lender) obtained a judgment in default of appearance ("**Judgment**") against Catonic Fabricators Sdn Bhd ("**Catonic Fabricators**") (the borrower) and its guarantors (namely, Catonic (M) Sdn Bhd, Ng Kian Boon, Khairudin Bin Ahmad and Roslan Bin Ngah) (collectively, the "**Defendants**") due to Catonic Fabricators' default in the repayment for a term loan of RM1,000,000.00 granted by CIMB to Catonic Fabricators. Under the Judgment, the Defendants are required to jointly and severally pay the outstanding amount of RM927,711.73, interest of 11.1% per annum and default interest of 1.0% per annum from 9 August 2022 until full settlement as well as the cost of RM1,386.00 to CIMB.

Catonic Fabricators was wound up on 2 January 2024 by its supplier due to payment default for goods supplied. Before Catonic Fabricators was wound up, Ng Kian Boon held 25.0% of equity interest in Catonic Fabricators directly and 10.0% of equity interest in Catonic Fabricators indirectly through his 20% direct shareholding in Catonic (M) Sdn Bhd. He was not a director of Catonic Fabricators and Catonic (M) Sdn Bhd at the material time. He was merely a guarantor of the loan obtained by Catonic Fabricators by virtue of him being a shareholder. The other directors and individual shareholders of Catonic Fabricators and Catonic (M) Sdn Bhd are as follows:

(a) Roslan Bin Ngah (a director and shareholder of Catonic Fabricators);

(b) Khairudin Bin Ahmad (a director and shareholder of Catonic Fabricators and Catonic (M) Sdn Bhd); and

(c) Fadzullah Bin Hassan (a shareholder of Catonic Fabricators as well as director and shareholder of Catonic (M) Sdn Bhd). For avoidance of doubt, he is not a party to the Judgment.

Ng Kian Boon is not related to any of the directors and other shareholders of Catonic Fabricators and Catonic (M) Sdn Bhd.

On 4 December 2024, CIMB agreed to accept the payment of RM750,000.00 as full and final settlement sum to be paid by the Defendants on or before 30 November 2026. As at LPD, the Defendants have paid RM93,750.00. As at LPD, no bankruptcy proceedings is pending and no letter of demand has been issued by CIMB against Ng Kian Boon.

5. INFORMATION ON PROMOTERS, SUBSTANTIAL SHAREHOLDER, DIRECTORS AND KEY SENIOR MANAGEMENT *(Cont'd)*

Based on the above assessment and settlement with CIMB, our Board is of the view that the unsatisfied Judgment will not have any impact on the suitability of Ng Kian Boon as our Managing Director and Chief Executive Officer as such matter pertains solely to the affair of Ng Kian Boon outside our Group and is unrelated to his roles and responsibilities within our Group. In addition, the settlement with CIMB and/ or Judgment obtained against Ng Kian Boon has no impact on our Group's operations and/ or financial conditions.

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6. INFORMATION ON OUR GROUP

6.1 INFORMATION ON OUR COMPANY

Our Company was incorporated in Malaysia under the Companies Act 1965 on 24 October 2012 as a public limited company under its present name and is deemed registered under the Act. Our Company has been listed on the LEAP Market since 30 May 2019.

Our Company is principally an investment holding company. Through our subsidiary, we are principally involved in the provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining. Our Group's geotechnical solutions comprise design, manufacturing and installation of geotechnical solutions using geosynthetics, erosion control and/ or biomass products. We are also involved in the trading of geosynthetics and erosion control products. There are no changes in the principal activities of our Group since our listing on the LEAP Market. Please refer to Section 7.1 for detailed information of our Group's history.

As at LPD, our share capital is RM44,700,000 comprising 216,000,000 Shares, which have been issued and fully paid-up. The movements in our share capital since the date of our incorporation are set out below:

Date of allotment	No. of Shares allotted	Consideration/ Types of issue	Cumulative share capital
			RM
24 October 2012	3	RM3/ Subscribers' Shares	3
1 April 2019	-(1)	Nil/ Subdivision of Shares	3
4 April 2019	194,399,985	RM38,435,997/ Consideration for the Acquisition of MTS Fibromat	38,436,000
23 May 2019	21,600,000	RM6,264,000/ Shares issued pursuant to the listing on the LEAP Market	44,700,000

Note:

(1) Subdivision of every 1 Share into 5 Shares, which comprised 15 Shares.

As at LPD, we do not have any outstanding warrants, options, convertible securities and uncalled capital. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

Upon completion of our IPO, our enlarged share capital will increase to RM62.5(1) million comprising 248,276,000 Shares.

Note:

(1) Prior to the capitalisation of estimated listing expenses of approximately RM0.5 million, being the listing expenses that are directly attributable to new issuance of Shares, which will be capitalised against the share capital of our Group.

6. INFORMATION ON OUR GROUP *(Cont'd)*

6.2 DETAILS OF THE TRANSFER OF LISTING

Our Company will undertake the Transfer of Listing, comprising the Withdrawal and Listing. On 23 August 2024, an EGM was held in relation to the Transfer of Listing and our shareholders had voted in favour of the Transfer of Listing.

6.2.1 Withdrawal

Requirements for the Withdrawal pursuant to the LMLR

Pursuant to Rule 8.05 of the LMLR, Bursa Securities may grant our Company the request to withdraw our listing status from the LEAP Market. In accordance with Rule 8.06(1) of the LMLR, our Company may not request to withdraw our listing from the LEAP Market unless:

(a) our Company convenes a general meeting to obtain the shareholders' approval and the circular sent to the shareholders includes the information set out in Appendix 8B of the LMLR;

(b) the passing of the resolution for the withdrawal of listing is subject to the following conditions:

  (i) the resolution is approved by a majority of shareholders and holders of any other class of listed securities, if applicable, in number, representing 75% of the total number of issued securities held by the shareholders and other securities holders respectively, present and voting either in person or by proxy at each meeting; and

  (ii) the number of votes cast against the resolution, if any, by each class of listed securities respectively, if applicable, is not more than 10% of the total number of issued securities held by the shareholders and other securities holders respectively, present and voting either in person or by proxy at each meeting;

(c) the shareholders and holders of any other class of listed securities, if applicable, are offered a reasonable cash alternative or other reasonable alternative ("**Exit Offer**"); and

(d) our Company appoints an independent adviser to advise and make recommendations for the consideration of the shareholders and holders of any other class of listed securities, if applicable, in connection with the withdrawal of our listing as well as the fairness and reasonableness of the Exit Offer ("**Appointment of IA**").

6.2.2 Exemptions

The Proposer, via the Proposal Letter, had expressed that it is not his intention to extend the Exit Offer to our Minority Shareholders pursuant to the Withdrawal. Accordingly, the Appointment of IA will not be necessary as the scope of independent adviser will be limited given that there will be no fairness and reasonableness to be assessed by the independent adviser pertaining to the Exit Offer.

Pursuant thereto, our Company had sought the approval of Bursa Securities for an exemption from having to comply with the requirement for our Major Shareholder to extend an Exit Offer to our Minority Shareholders pursuant to Rule 8.06(1)(c) of the LMLR and for the Appointment of IA pursuant to Rule 8.06(1)(d) of the LMLR ("**Exemptions**").

6. INFORMATION ON OUR GROUP *(Cont'd)*

To support the Exemptions, our Minority Shareholders had provided their undertaking letters dated between 22 May 2024 and 4 June 2024 whereby they irrevocably and unconditionally undertake the following:

(a) to waive the requirements for the Exit Offer and the Appointment of IA;

(b) to vote in favour of the Transfer of Listing at our Company's EGM convened;

(c) to continue to hold and will not dispose of, transfer of or reduce their entire shareholdings in our Company until the completion of the Transfer of Listing[(1)]; and

(d) not to withdraw their written undertakings before the completion of the Transfer of Listing.

Note:

[(1)] For avoidance of doubt, Ng Kian Boon, being our Promoter and Selling Shareholder, had also provided his written undertakings that he will continue to hold and will not dispose of, transfer or reduce his entire shareholding in our Company until the completion of the Transfer of Listing, save for the Offer Shares pursuant to the Offer for Sale which will be undertaken in conjunction with our Listing.

The Exemptions were approved by Bursa Securities vide its letter dated 26 June 2024, subject to the condition that the Undertaking Letters from our Minority Shareholders remain valid and binding until the completion of the Withdrawal.

6.2.3 Listing

Our Listing entails the listing of and quotation for the entire enlarged issued share capital of our Company on the ACE Market pursuant to Rules 3A.02(1) and 3A.02(2) of the AMLR.

In accordance with Rule 3A.02(1) of the AMLR, a transfer applicant must comply with the following requirements:

No.	Requirements	Status of compliance
(a)	Transfer applicant must have been listed for at least 2 years on the LEAP Market at the time of application for transfer of listing;	Complied. We have been listed on the LEAP Market for more than 2 years since 30 May 2019.
(b)	Transfer applicant must be considered as suitable for listing after the assessment by a Sponsor (as defined in the AMLR) or both the Sponsor and Recognised Approved Adviser (as defined in the AMLR) as Joint Transfer Sponsor (as defined in the AMLR) pursuant to Rule 4.07 of the AMLR;	Complied. Our Sponsor has completed the listing suitability assessment of our Company, which involves amongst others assessing our Company's business and industry prospects, corporate governance records, systems, procedures, policies, controls and resources to comply with the AMLR as well as our governance, internal control and risk management systems.

6. INFORMATION ON OUR GROUP *(Cont'd)*

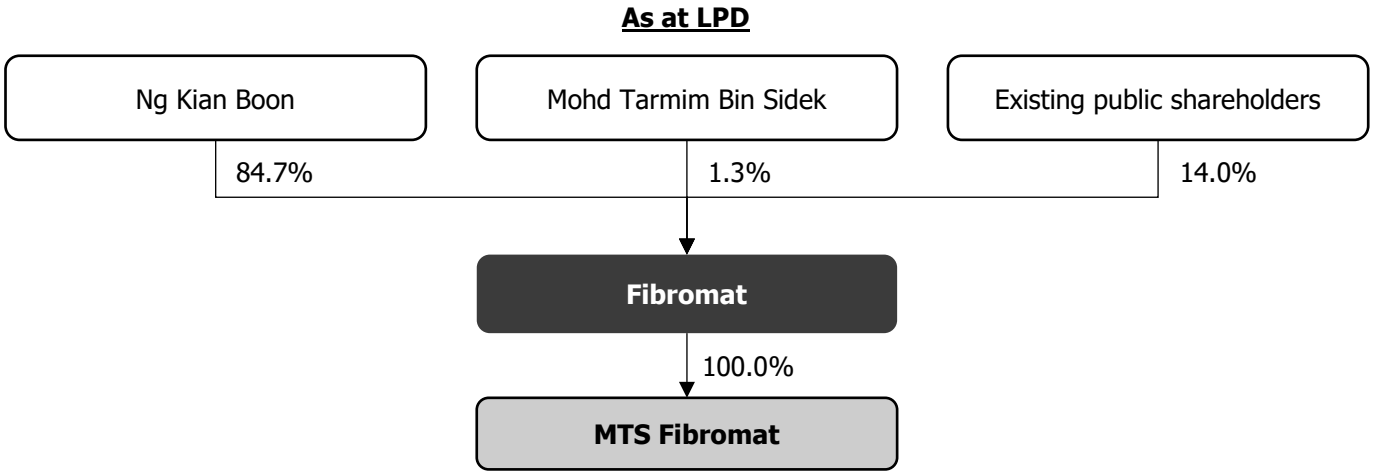
No.	Requirements	Status of compliance
(c)	Transfer applicant must comply with Chapters 3 and 3A of the AMLR, as the case may be, subject to the additional requirements, modifications or exceptions set out in Chapter 3A of the AMLR;	Noted and to be complied.
(d)	Transfer applicant must undertake an issue of shares to the general public as part of its transfer of listing; and	To be complied. The Public Issue and Offer for Sale will be undertaken in conjunction with our Listing. Kindly refer to Section 4.3.1 for further details on the Public Issue and Offer for Sale.
(e)	Transfer applicant must comply with the relevant admission procedures and requirements as may be prescribed by Bursa Securities.	Noted and to be complied.

Further, in accordance with Rule 3A.02(2) of the AMLR, our Board has appointed M&A Securities as the Sponsor for the Transfer of Listing.

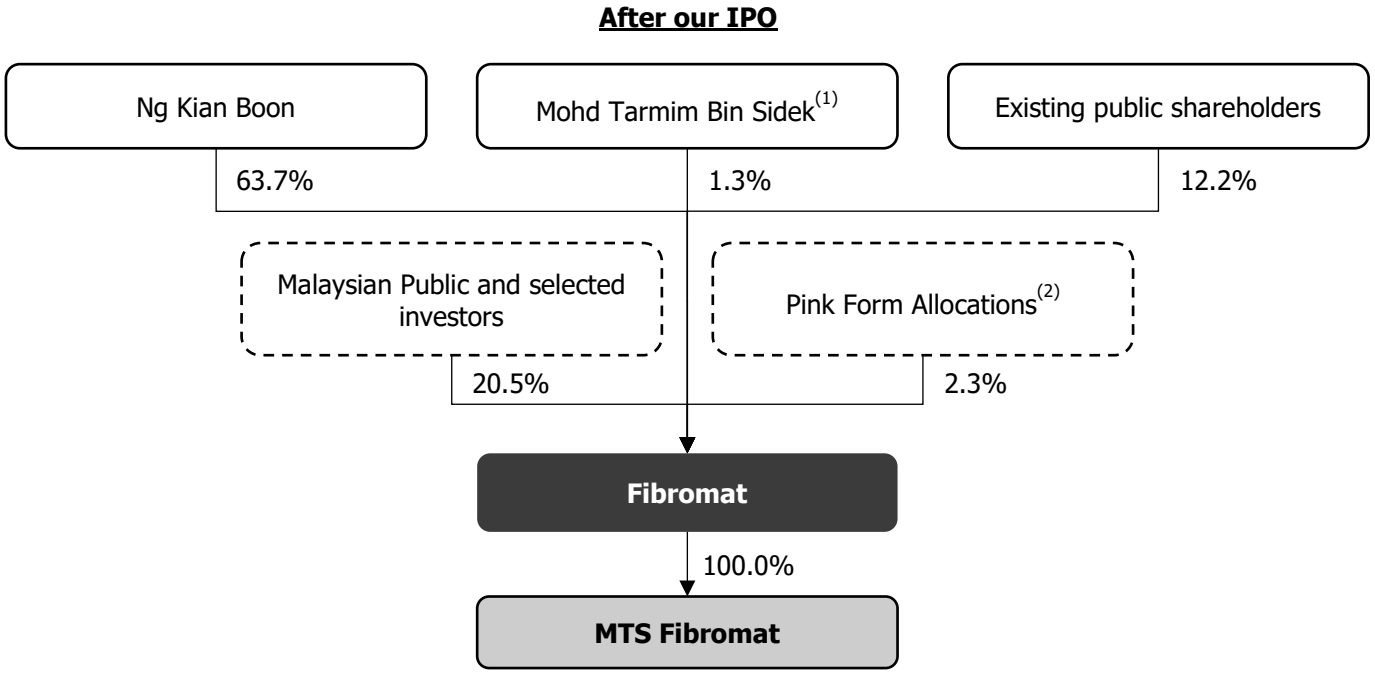
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6. INFORMATION ON OUR GROUP *(Cont'd)*

6.3 GROUP STRUCTURE



6. INFORMATION ON OUR GROUP *(Cont'd)*



Notes:

New shareholders pursuant to the Public Issue and Offer for Sale.

(1) Assuming that he will subscribe for the Pink Form Allocations.

(2) Assuming that all Eligible Persons will subscribe for the Pink Form Allocations.

6. INFORMATION ON OUR GROUP *(Cont'd)*

6.4 SUBSIDIARY AND ASSOCIATED COMPANY

Details of our subsidiary as at LPD are summarised as follows:

Company/ Registration No.	Date/ Place of incorporation	Issued share capital	Effective equity interest	Principal activities/ Principal place of business
		RM	%	
MTS Fibromat/ 199901016602 (491502-K)	16 August 1999/ Malaysia	6,500,000	100.0	Provision of geotechnical solutions (design, manufacturing and installation) for erosion control, ground improvement, as well as sediment control, filtration and containment lining; and trading of geosynthetics and erosion control products/ Malaysia

Details of the share capital of our subsidiary are set out in Section 15.2.

As at LPD, we do not have any associated company.

6.5 MATERIAL CONTRACTS

Save as disclosed below, there were no contracts which are or may be material (not being contracts entered into in the ordinary course of business) entered into by our Group for FYE 2021 to 2024 and up to LPD:

(a) settlement agreement dated 23 April 2021 entered into by Yeong Li Lih, MTS Fibromat, Khong Shao Feng and Khong Zhi Yun in relation to the settlement of an amount of RM277,661.24 ("**Settlement Amount**"), being part of the debt owed to MTS Fibromat by KSS Construction & Trading (a partnership, of which Yeong Li Lih is a partner, that appointed MTS Fibromat as its subcontractor for a project to construct reinforced fibrogrid-geogrid system wall in Senai, Johor), by transferring to MTS Fibromat a serviced apartment unit bearing the address of #01-04, Menara E, Pangsapuri Tepian Bayu, Jalan Sultanah Aminah, Taman Iskandar, 80050 Johor Bahru, Johor, measuring approximately 1,344 sq ft ("**Wave Serviced Apartment Unit**"), pursuant to the sale and purchase agreement in Section 6.5(b) below. The settlement agreement was completed on 3 June 2021;

(b) sale and purchase agreement dated 23 April 2021 between Khong Shao Feng and Khong Zhi Yun (as vendors) and MTS Fibromat (as purchaser) in relation to the acquisition of the Wave Serviced Apartment Unit for a purchase consideration of RM666,661.00, which was partly settled by the Settlement Amount as set out in Section 6.5(a) above. The sale and purchase agreement was completed upon the payment of the balance purchase consideration of RM388,999.76 to the vendors on 26 September 2022;

6. INFORMATION ON OUR GROUP *(Cont'd)*

(c) sale and purchase agreement dated 9 August 2024 between MTS Fibromat (as vendor) and Law Foong Fah and Law Chee Kian (as purchasers) in relation to the disposal of an apartment unit bearing the postal address of A-12-06, Block A, Pangsapuri Damai Vista, Jalan Damai Perdana 1/1, 56000 Kuala Lumpur, measuring approximately 1,000 sq ft for a purchase consideration of RM500,000.00. As at LPD, the property has been assigned to the purchasers through a deed of assignment dated 18 December 2024 and the sale and purchase agreement is pending payment of the balance purchase price of RM166,979.52 from the purchasers to MTS Fibromat;

(d) sale and purchase agreement dated 2 September 2024 between MTS Fibromat (as vendor) and Shaggy Wong Suet Chyi and Choo Chi Hoong (as purchasers) in relation to the disposal of an apartment unit bearing the postal address of A-10-03, Block A, Pangsapuri Damai Vista, Jalan Damai Perdana 1/1, 56000 Kuala Lumpur, measuring approximately 1,000 sq ft for a purchase consideration of RM550,000.00. The sale and purchase agreement became unconditional on 24 February 2025 and is pending payment of the balance purchase price of RM495,000.00 from the purchasers to MTS Fibromat as at LPD. The sale and purchase agreement is expected to complete by 2nd quarter of 2025;

(e) letter of offer dated 6 March 2025 between Klinik Seri Indah (Samudra) Sdn Bhd (as vendor) and MTS Fibromat (as purchaser) in relation to the acquisition of a 4-storey shop office bearing the postal address of 575, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor, measuring approximately 5,720 sq ft, for a cash consideration of RM2,344,000.00. As at LPD, MTS Fibromat has paid an earnest deposit of RM46,880.00 (representing 2.0% of the purchase consideration). Subsequent to LPD, the parties have entered into a sale and purchase agreement on 20 March 2025 and paid the balance deposit of RM187,520.00 (representing 8.0% of the purchase consideration). The sale and purchase agreement is pending completion and is subject to the State authority's consent on the sale and transfer of the property. The sale and purchase agreement is expected to complete by 3rd quarter of 2025;

(f) solar photovoltaic engineering, procurement, construction and commissioning and operation and maintenance service agreement dated 15 February 2022 between MTS Fibromat and Milieu Solar Sdn Bhd for the development of 252 kilowatt peak solar photovoltaic system for net energy metering including design, supply, installation, testing and commissioning and maintenance at the Rasa Factory at a contract price of RM907,200.00. As at LPD, the solar photovoltaic system has been installed and commissioned at the Rasa Factory;

(g) letter of offer dated 10 October 2024 from Bursa Malaysia RAM Capital Sdn Bhd ("**BR Capital**") (a debt fundraising platform operator and a joint venture company between Bursa Malaysia Berhad and RAM Holdings Berhad ("**BR Capital Platform**")), which was accepted by MTS Fibromat on 14 October 2024, whereby MTS Fibromat sought for the Shariah-compliant business term financing of up to RM5.0 million ("**Islamic Term Financing**") raised through the BR Capital Platform ("**Debt Fundraising**") to finance our Group's working capital requirements. The Debt Fundraising was successful and completed on 28 January 2025, being the date of receipt of the subscription sum for the Debt Fundraising. Our Group has executed the following agreements:

(i) Corporate guarantee dated 20 January 2025 from Fibromat to BR Capital in respect of the Islamic Term Financing;

(ii) Murabahah sale contract dated 28 January 2025 between MTS Fibromat and BR Capital; and

6. INFORMATION ON OUR GROUP *(Cont'd)*

(iii) Islamic investment note dated 28 January 2025 issued by MTS Fibromat to all the investors of the Debt Fundraising for a tenure of 2 years with the maturity date on 28 January 2027; and

(h) underwriting agreement dated 19 March 2025 between our Company and M&A Securities for the underwriting of 18,621,000 Issue Shares for an underwriting commission of 3.0% of the IPO price multiplied by the number of Issue Shares underwritten.

6.6 PUBLIC TAKE-OVERS

During the last financial year and the current financial year up to LPD, there were:

(a) No public take-over offers by third parties in respect of our Shares; and

(b) No public take-over offers by our Company in respect of other companies' shares.

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6. INFORMATION ON OUR GROUP *(Cont'd)*

6.7 MAJOR APPROVALS AND LICENCES

As at LPD, there are no other major approvals, licences and permits issued to our Group in order for us to carry out our operations other than those disclosed below:

No.	Licensee	Issuing authority	Date of issue or commencement/ Date of expiry	Nature of approval/ licences	Equity and/ or major conditions imposed	Status of compliance
(a)	MTS Fibromat	MITI	28 January 2019 (effective from 22 October 2018)[(1)]/ None	Manufacturing licence for erosion control and geosynthetics products and cocopeat at the Rasa Factory	1. MITI and Malaysian Investment Development Authority shall be notified of any sale of shares in MTS Fibromat	Complied as MITI was updated on the sale of shares in MTS Fibromat pursuant to the Acquisition of MTS Fibromat, to reflect the new shareholder in 2019 through the Malaysian Investment Development Authority portal
					2. MTS Fibromat shall ensure that its capital investment per employee (CIPE) is at least RM140,000	Complied
					3. The total full-time workforce of MTS Fibromat must consist of at least 80% Malaysians. The employment of foreign workers including outsourced workers is subject to current policies	Complied as MTS Fibromat has 93.0% Malaysian employees and does not have any outsourced foreign workers as at LPD. All foreign workers are employed under MTS Fibromat

6. INFORMATION ON OUR GROUP *(Cont'd)*

No.	Licensee	Issuing authority	Date of issue or commencement/ Date of expiry	Nature of approval/ licences	Equity and/ or major conditions imposed	Status of compliance
(b)	MTS Fibromat	Hulu Selangor Municipal Council	31 December 2024/ 31 December 2025	Business licence to sell, provide services, manufacture, process, wholesale and store soil erosion control blanket, geosynthetic, PVD and gabion, for administrative office and non-illuminated horizontal advertisement at the Rasa Factory	The business is operated by the licensee only and transfer of ownership is not allowed except with the permission of the Chairman of the Hulu Selangor Municipal Council	Complied
(c)	MTS Fibromat	Hulu Selangor Municipal Council	31 December 2024/ 31 December 2025	Business licence to sell and provide laboratory test operation services, and for administrative office at the Rasa Factory	The business is operated by the licensee only and transfer of ownership is not allowed except with the permission of the Chairman of Hulu Selangor Municipal Council	Complied
(d)	Fibromat	Selayang Municipal Council	25 November 2024/ 31 December 2025	Business licence for administrative office and illuminated advertisement at 574-B and 574-C, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor	None	Not applicable
(e)	MTS Fibromat	Selayang Municipal Council	25 November 2024/ 31 December 2025	Business licence for administrative office at 573-B and 573-C, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor	None	Not applicable
(f)	MTS Fibromat	Selayang Municipal Council	25 November 2024/ 31 December 2025	Business licence for administrative offices and illuminated advertisements at 574, 574-A, 574-B and 574-C, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor	None	Not applicable

6. INFORMATION ON OUR GROUP *(Cont'd)*

No.	Licensee	Issuing authority	Date of issue or commencement/ Date of expiry	Nature of approval/ licences	Equity and/ or major conditions imposed	Status of compliance
(g)	MTS Fibromat	CIDB	8 May 2024/ 2 June 2027	Certificate of Registration To certify that MTS Fibromat is a registered contractor with CIDB to undertake the following work: **Grade** / **Category** / **Specialisation** G7(1) / B(2) / B04(5) G7(1) / CE(3) / CE08(6), CE14(7), CE21(8), CE36(9) G7(1) / ME(4) / M15(10) **Notes:** (1) No limit (2) Building (3) Civil engineering (4) Mechanical and electrical engineering (5) Construction work on buildings (6) Slope protection and stabilisation system (7) Landscape outside building (8) Civil engineering construction (9) Earthwork (10) Miscellaneous mechanical equipment	1. The registration certificate issued is not transferrable 2. The contractor cannot undertake to build any construction project that exceeds the value of the construction work specified under his registration grade and cannot carry out any construction project outside his registration category 3. The contractor must appoint skilled construction workers and site supervisors who are accredited and certified by CIDB(2) 4. All construction site workers must have a valid construction personnel card issued by CIDB(2)	Complied Complied Complied. As at LPD, our Group has 3 skilled construction workers and 1 site supervisor who are accredited and certified by CIDB Complied

6. INFORMATION ON OUR GROUP *(Cont'd)*

<table>
<tr><th>No.</th><th>Licensee</th><th>Issuing authority</th><th>Date of issue or commencement/ Date of expiry</th><th>Nature of approval/ licences</th><th>Equity and/ or major conditions imposed</th><th>Status of compliance</th></tr>
<tr><td>(h)</td><td>MTS Fibromat</td><td>Ministry of Domestic Trade and Cost of Living of Kuala Kubu Bahru</td><td>25 May 2024 to 24 May 2025

<u>Renewed period:</u>

25 May 2025 to 24 May 2026</td><td>Special permit for scheduled controlled goods

To purchase and store scheduled controlled goods as detailed below at the Rasa Factory(3):

<table><tr><th>Type of goods</th><th>Quantity/ Frequency of purchase</th><th>Name/ Address of gas station</th></tr><tr><td>RON 95</td><td>25 litres per day</td><td rowspan="2">Lian Hoe Heng Filling Station, PT881, Jalan Besar Batang Kali - Rasa, 44200 Rasa, Hulu Selangor, Selangor</td></tr><tr><td>Diesel</td><td>50 litres per day</td></tr></table></td><td>1. Purchase or possess scheduled controlled goods not exceeding the quantity allowed in the permit.

2. Purchase scheduled controlled goods specified in the permit for its own use and not for resale purpose.

3. The permit is non-transferrable.</td><td>Complied

Complied

Complied</td></tr>
<tr><td>(i)</td><td>MTS Fibromat</td><td>DOSH</td><td>10 October 2024/ 27 November 2025</td><td>Certificate of fitness for pressure vessel

To certify that the air receiver with registration number SL PMT 81685 has been inspected and satisfied the requirement under the OSHA</td><td>None</td><td>Not applicable</td></tr>
</table>

6. INFORMATION ON OUR GROUP *(Cont'd)*

No.	Licensee	Issuing authority	Date of issue or commencement/ Date of expiry	Nature of approval/ licences	Equity and/ or major conditions imposed	Status of compliance
(j)	MTS Fibromat	DOSH	10 October 2024/ 27 November 2025	Certificate of fitness for pressure vessel To certify that the air receiver with registration number SL PMT 81983 has been inspected and satisfied the requirement under the OSHA	None	Not applicable
(k)	MTS Fibromat	DOSH	10 October 2024/ 27 November 2025	Certificate of fitness for pressure vessel To certify that the air receiver with registration number SL PMT 88621 has been inspected and satisfied the requirement under the OSHA	None	Not applicable
(l)	MTS Fibromat	DOSH	10 October 2024/ 27 November 2025	Certificate of fitness for pressure vessel To certify that the air receiver with registration number SL PMT 88622 has been inspected and satisfied the requirement under the OSHA	None	Not applicable

6. INFORMATION ON OUR GROUP *(Cont'd)*

Notes:

(1) MTS Fibromat obtained its first manufacturing licence dated 17 October 2014 (effective from 15 October 2014) for the manufacturing of sand filled mattress, non-woven geotextile and gabion at the Rasa Factory. However, the manufacturing activities only commenced after obtaining CCC in December 2017. During the period between December 2017 and October 2018, MTS Fibromat only manufactured products which were stated in its first manufacturing licence, and observed and complied with its terms and conditions, which include amongst others, that any disposal of shares shall be informed to MITI and Malaysian Investment Development Authority and the company shall undertake the activities as approved in accordance with the other relevant laws and regulations in Malaysia. MTS Fibromat applied for redefinition of products as set out in the manufacturing licence and obtained a new manufacturing licence dated 28 January 2019 (effective from 22 October 2018) for the manufacturing of erosion control and geosynthetics products and cocopeat at the Rasa Factory.

(2) Our Company has established the CIDB Compliance Plan Standard Operating Procedures to ensure ongoing compliance with the Lembaga Pembangunan Industri Pembinaan Malaysia Act 1994 and the CIDB requirements, which include subcontractor registration, CIDB green card verification, project declarations and levy management. Continuous training and certification for staff are emphasised in order for our Group to stay updated on compliance requirements, alongside adherence to guidelines for accredited personnel employment.

(3) RON 95 and diesel are used for our Group's forklift and machinery at the Rasa Factory.

As at LPD, our Group has obtained all the requisite approvals, licences and permits for our business operations and our Group has not faced any issues in relation to renewal of our approvals, licences and permits.

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6. INFORMATION ON OUR GROUP *(Cont'd)*

6.8 INTELLECTUAL PROPERTIES

6.8.1 Trademarks

As at LPD, our Group does not own and has not applied for the registration of any other trademarks other than those disclosed below:

No.	Trademark	Registered owner or applicant/ Trademark or application no.	Approving authority/ Place of application or registration	Class/ Description	Status	Validity period
(a)	FIBROMAT	MTS Fibromat/ 99010005	MyIPO/ Malaysia	22/ Nets, sacks, padding or stuffing materials (fibres, straws, coconut fibres); raw fibrous textile materials; all included in class 22	Registered	8 October 2019 to 8 October 2029
(b)	fibromat EROSION CONTROL | GEOSYNTHETIC	MTS Fibromat/ TM2024022272	MyIPO/ Malaysia	1/ Acrylic resins, unprocessed; additives, chemical, to drilling muds; chemical additives to drilling muds; polymer resins, unprocessed	Registered	25 July 2024 to 25 July 2034
(c)	fibromat EROSION CONTROL | GEOSYNTHETIC	MTS Fibromat/ TM2024022273	MyIPO/ Malaysia	37/ Construction; construction consultancy; installation and repair of flood protection equipment; installation of utilities in construction sites; building inspection in the course of building construction; advisory services relating to the construction of buildings and other structures; commercial construction; construction management supervision; on-site building project management, construction supervision; provision of construction advice	Registered	25 July 2024 to 25 July 2034

Our Group's business operations and profitability are not dependent on the abovementioned trademarks.

6. INFORMATION ON OUR GROUP *(Cont'd)*

6.8.2 Patents

As at LPD, our Group does not own and has not applied for the registration of any other patents other than those disclosed below:

No.	Patent	Registered owner/ Grant no.	Approving authority/ Place of application or registration	Description	Status	Validity period
(a)	Title of invention Erosion protection and soil enhancement hybrid geotextile	MTS Fibromat/ MY-185906-A	MyIPO/ Malaysia	Abstract A geotextile for soil erosion prevention and soil fertility enhancement comprising: a woven polypropylene layer (20) which has a tensile strength of 15 to 100 kilonewtons per meter (kN/m) and being water permeable, such that the woven layer (20) is woven fibrous layer (30) derived from any one or a combination of palm fibre, rice straw and coconut fibre having a mass per unit area of 100 to 500 grams per sqm (g/m2) being stacked and stitched to the woven layer (20), such that water penetrates through the woven layer (20) wets the fibrous layer (30), while the woven polymeric layer (20) protects able to withstand the impact of rainfall while allowing water to seep there through; and a biodegradable non-15 the fibrous layer (30) from drying	Granted	3 May 2016 to 3 May 2036[(1)]

Note:

(1) A patent is protected for a period of 20 years from the date of filing and the patent is required to be renewed annually. The next renewal for the patent will be before 14 June 2025. The patented product i.e. composite weed control mat is not our Group's major product and our Group's business operations and profitability are not materially dependent on the abovementioned patent. For FYE 2021, the composite weed control mat contributed less than 0.1% to our Group's total revenue. For FYE 2022 to 2024 and up to LPD, there was no revenue generated from the composite weed control mat.

6. INFORMATION ON OUR GROUP *(Cont'd)*

6.9 PROPERTY, PLANT AND EQUIPMENT

6.9.1 Properties owned by our Group

The summary of the material properties owned by our Group as at LPD is set out below:

No.	Registered owner/ Postal address/ Title details	Description of property/ Existing use/ Expiry of lease (if any)/ Category of land use (if any)	Approximate land area/ Approximate built-up area	Date of purchase/ Date of CCC	Express conditions/ Restrictions-in-interest/ Encumbrance	Audited NBV as at 31 December 2024
			sq ft			RM'000
(a)	MTS Fibromat/ 2, Jalan Zurah 4, Kawasan Perindustrian Zurah, 44200 Rasa, Selangor/ HSD 53708, PT 604, Bandar Rasa, Daerah Ulu Selangor, Negeri Selangor	A 3-storey office building, a single storey factory annexed, a guard house, a pump house, an electrical substation and a refuse chamber/ Factory, warehouse and office (Rasa Factory)/ Leasehold for 99 years expiring on 29 December 2115 (90 remaining years as at LPD)/ Industrial	133,957/ 69,389	22 May 2012/ 22 December 2017	Medium industry/ The land can be transferred, leased or charged after obtaining the approval of the State authority/ Charged by MTS Fibromat in favour of AmBank (M) Berhad with presentation no. 001SC78736/2020 registered on 17 November 2020	5,500
(b)	MTS Fibromat/ 4, Jalan Zurah 4, Kawasan Perindustrian Zurah, 44200 Rasa, Selangor/ HSD 53709, PT 605, Bandar Rasa, Daerah Ulu Selangor, Negeri Selangor	A 3-storey office, single storey warehouse and a refuse chamber/ Factory, warehouse and office (Rasa Factory)/ Leasehold for 99 years expiring on 29 December 2115 (90 remaining years as at LPD)/ Industrial	108,113/ 68,496	22 May 2012/ 22 December 2017	Medium industry/ The land can be transferred, leased or charged after obtaining the approval of the State authority/ Charged by MTS Fibromat in favour of AmBank (M) Berhad with presentation no. 001SC78737/2020 registered on 17 November 2020	4,439

6. INFORMATION ON OUR GROUP *(Cont'd)*

No.	Registered owner/ Postal address/ Title details	Description of property/ Existing use/ Expiry of lease (if any)/ Category of land use (if any)	Approximate land area/ Approximate built-up area	Date of purchase/ Date of CCC	Express conditions/ Restrictions-in-interest/ Encumbrance	Audited NBV as at 31 December 2024
			sq ft			RM'000
(c)	MTS Fibromat/ 574, 574-A, 574-B and 574-C, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor/ Pajakan Mukim 2991, Lot 55252, Batu 7 ½, Jalan Batu Caves, Bandar Selayang, Daerah Gombak, Negeri Selangor	4-storey shop office/ Headquarters/ Leasehold for 99 years expiring on 25 August 2090 (65 remaining years as at LPD)/ Building	1,539/ 6,006	18 August 2017/ 22 January 1998 and 3 May 2021[1]	Commercial building/ The land cannot be transferred, leased or charged except with the approval of the State authority/ Charged by MTS Fibromat in favour of AmBank (M) Berhad with presentation no. 091SC1462/2018 registered on 29 March 2018	1,492
(d)	Registered owner/ Developer Euroland & Development Sdn Bhd[2] Beneficial owner MTS Fibromat A-10-03, Block A, Pangsapuri Damai Vista, Jalan Damai Perdana 1/1, 56000 Kuala Lumpur[3]/ GM 8232, Lot 66147, Batu 13, Jalan Cheras, Mukim Cheras, Daerah Ulu Langat, Negeri Selangor	1 unit of apartment/ Investment property (vacant)/ Freehold/ Building	-/ 1,000	25 January 2017/ 11 January 2023	Residential building/ Nil/ Nil	644

6. INFORMATION ON OUR GROUP *(Cont'd)*

No.	Registered owner/ Postal address/ Title details	Description of property/ Existing use/ Expiry of lease (if any)/ Category of land use (if any)	Approximate land area/ Approximate built-up area	Date of purchase/ Date of CCC	Express conditions/ Restrictions-in-interest/ Encumbrance	Audited NBV as at 31 December 2024
			sq ft			RM'000
(e)	Registered owner/ Developer Perbadanan Pengurusan Pangsapuri Tepian Bayu[4] Beneficial proprietor MTS Fibromat #01-04, Menara E, Pangsapuri Tepian Bayu, Jalan Sultanah Aminah, Taman Iskandar, 80050 Johor Bahru, Johor/ GRN 564662, Lot 207922 (formerly known as HS(D) 520197 PTD 216427), Mukim Plentong, Daerah Johor Bahru, Johor	1 unit of apartment/ Investment property (vacant)/ Freehold/ Building	-/ 1,344	23 April 2021/ 17 December 2018	Multi-story commercial buildings for shops/ serviced apartment/ Once any building parcels is transferred to a Bumiputera individual or company, it shall not be sold, leased or transferred to a non-Bumiputera individual or company without the State authority's consent. Building parcels shall not be sold or transferred to any non-citizen or foreign company without the State authority's consent/ Charged by MTS Fibromat in favour of AmBank (M) Berhad with presentation no. 71323/2022 registered on 5 September 2022	618

6. INFORMATION ON OUR GROUP *(Cont'd)*

Notes:

(1) The CCC dated 22 January 1998 is a principal CCC issued prior to renovation. The CCC dated 3 May 2021 was issued for the renovation undertaken by MTS Fibromat for all the abovementioned units.

(2) The title of the property is still registered under the developer's name as strata title of the property has not been issued.

(3) MTS Fibromat (as vendor) entered into a sale and purchase agreement dated 2 September 2024 with Shaggy Wong Suet Chyi and Choo Chi Hoong (as purchasers) to dispose the property, further details of which are as set out in Section 6.5(d).

(4) The strata title of the property has been issued which is under the developer's name and MTS Fibromat is in the midst of arranging for registration of transfer into its name.

The properties owned by our Group are not in breach of any land use conditions, statutory requirements, land rules or building regulations/ by-laws, which will have material adverse impact on our operations as at LPD. We have obtained all the necessary licences and certificates for our properties.

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6. INFORMATION ON OUR GROUP *(Cont'd)*

6.9.2 Properties rented by our Group

The summary of the material properties rented by our Group as at LPD are set out below:

No.	Postal address	Landlord/ Tenant	Description/ Existing use	Approximate land area/ Approximate built-up area	Date of CCC	Period of tenancy/ Rental per annum
				sq ft		
(a)	573-B and 573-C, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor ("**Units 573-B and 573-C**")	Chong Kee Lim/ MTS Fibromat	First floor and second floor of a 3½-storey shop office/ Headquarters	1,539/ 2,800	22 January 1998	1 May 2023 to 30 April 2025[(1)]/ RM21,000 per annum Renewal period Nil
(b)	7A, Jalan Angsana 2, Taman Seri Rasa, 44200 Rasa, Selangor	Visual Equity Sdn Bhd/ MTS Fibromat	First floor of 2-storey shoplot/ Accommodation for our 6 foreign employees[(2)]	1,432/ 1,432	13 November 2019	1 August 2024 to 31 July 2025/ RM12,000 per annum Renewal period 1 year from 1 August 2025 to 31 July 2026
(c)	Lot A-7-7, Tower A, 7th Floor, Benoni Garden Apartment, Jalan Papar Baru, 89600 Papar, Sabah	Ku Hoo Sing and Chan Su Ling/ MTS Fibromat	1 unit of apartment/ Accommodation for our Group's project supervisors	-/ 1,000	10 April 2019	12 December 2024 to 11 December 2025/ RM26,400 per annum Renewal period Nil

Notes:

(1) 2 new tenancy agreements dated 11 March 2025 were entered into between the landlord and MTS Fibromat for the renewal of Units 573-B and 573-C at the rental of RM11,400 per annum and RM10,800 per annum respectively commencing from 1 May 2025 to 30 April 2027 with an option for further renewal of 1 year from 1 May 2027 to 30 April 2028.

(2) Our Group has obtained the certificate for accommodation dated 2 December 2024 issued by the Department of Labour Peninsular Malaysia in accordance with the Employees' Minimum Standards of Housing, Accommodations and Amenities Act 1990 to house up to 7 foreign employees which is valid from 2 December 2024 to 2 December 2027.

Our properties are rented from non-related party. The properties rented by our Group are not in breach of any other land use conditions, statutory requirements, land rules or building regulations/ by-laws, which will have material adverse impact on our operations as at LPD.

6.9.3 Acquisition of properties

Save as disclosed in Sections 6.5(b), 6.5(e) and 6.9.1(e), our Group has not acquired nor entered into any agreements to acquire any properties during FYE 2021 to 2024 and up to LPD.

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6. INFORMATION ON OUR GROUP *(Cont'd)*

6.9.4 Material capital expenditures and divestitures

(a) Material capital expenditures

Save for the expenditures disclosed below, there were no other capital expenditures made by us for FYE 2021 to 2024 and up to LPD:

	At cost				
Capital expenditures	**FYE 2021 RM'000**	**FYE 2022 RM'000**	**FYE 2023 RM'000**	**FYE 2024 RM'000**	**1 January 2025 up to LPD RM'000**
Motor vehicles	209	107	(1)648	(1)1,070	-
Plant and machinery	(2) 2,841	(3)1,571	305	(4)1,173	196
Furniture and fittings, computer equipment and office equipment	14	8	21	172	34
Equipment and tools	5	-	31	47	-
Moulds and dies	2	5	-	-	-
Renovation	111	88	6	-	17
Right-of-use assets	40	-	40	-	-
	3,222	**1,779**	**1,051**	**2,462**	**247**

Notes:

(1) Purchase of trucks for our design and installation projects and cars for our site supervisor and site engineers in line with the expansion of our Group's operations.

(2) Mainly relates to the purchase of plastic extrusion line and replacement parts for other machinery at our Rasa Factory as well as sand suction pump and PVC pipes for installation of geotubes for our Group's projects.

(3) Mainly relates to the purchase of solar panels and forklift for our Rasa Factory as well as sand suction pump for installation of geotubes for our Group's projects.

(4) Mainly relates to the purchase of hydroseeder machines, forklift for our Rasa Factory and road roller machine for our Group's projects and replacement parts for other machinery at our Rasa Factory.

The above capital expenditures were primarily financed by a combination of bank borrowings and internally generated funds. Our capital expenditures are mainly driven by our business growth as well as for replacement purposes.

6. INFORMATION ON OUR GROUP *(Cont'd)*

(b) Material capital divestitures

Save for the divestitures disclosed below, there were no other capital divestitures made by us for FYE 2021 to 2024 and up to LPD:

	At cost				
Capital divestitures	**FYE 2021 RM'000**	**FYE 2022 RM'000**	**FYE 2023 RM'000**	**FYE 2024 RM'000**	**1 January 2025 up to LPD RM'000**
Motor vehicles[1]	178	313	713	160	-
Plant and machinery	13	-	-	88	-
Furniture and fittings, computer equipment and office equipment	-	-	5	[2]110	-
	191	**313**	**718**	**358**	**-**

Notes:

(1) Mainly relates to the disposal of motor vehicles that are no longer in good condition.

(2) Mainly relates to the disposal of furniture and fittings, computer equipment and office equipment that are no longer in good condition.

All our capital divestitures were carried out in the ordinary course of business as part of the periodic review of our fixed asset register to identify and eliminate those assets which have been fully depreciated or no longer in use or obsolete or surpassed their useful lives.

As at LPD, other than the proposed utilisation of proceeds from our Public Issue for our capital expenditure as disclosed in Section 4.9.1, we do not have any material capital expenditures and divestitures currently in progress, within or outside Malaysia.

6.9.5 Material plans to construct, expand or improve our property, plant and equipment

Save for the proposed utilisation of proceeds from our Public Issue to finance the capital expenditure as set out in Section 4.9.1, our Group does not have any other immediate plans to construct, expand or improve our property, plant and equipment as at LPD.

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6. INFORMATION ON OUR GROUP *(Cont'd)*

6.10 RELEVANT LAWS, REGULATIONS, RULES OR REQUIREMENTS

The following is an overview of the major laws, regulations, rules and requirements governing the conduct of our Group's business and environmental issue which may materially affect our business operations:

(a) Industrial Co-ordination Act 1975 ("ICA")

Pursuant to the ICA and the Guideline on Application for Exemption from Manufacturing Licence (ICA 10) issued by Malaysian Investment Development Authority, all manufacturing companies with shareholders' funds of more than RM2.5 million or engaging more than 75 full-time paid employees are required to apply for a manufacturing licence. The ICA defines "manufacturing activity" as the "making, altering, blending, ornamenting, finishing or otherwise treating or adapting any articles or substance with a view to its use, sale, transport, delivery or disposal and includes the assembly parts and ship repairing but shall not include any activity normally associated with retail or wholesale trade".

Any person who carries on any manufacturing activity without a manufacturing licence under the ICA is an offence and shall upon conviction be liable to a fine not exceeding RM2,000 or to a term of imprisonment not exceeding 6 months and to a further fine not exceeding RM1,000 for every day during which such default continues.

As at LPD, our Group has obtained manufacturing licence for the Rasa Factory as disclosed in Section 6.7.

(b) Local Government Act 1976 ("LGA")

The LGA and the by-laws of the respective local councils and authorities set out the requirements to obtain business and signage licences. Every licence or permit granted by the local authority may be subject to such conditions and restrictions as the local authority may think fit and shall be revocable by the local authority at any time without assigning any reason.

Our Rasa Factory and Batu Caves HQ located in Selangor fall under the jurisdictions of Hulu Selangor Municipal Council and Selayang Municipal Council, respectively. Our Group is required to comply with the Licensing of Trades, Businesses and Industries (Hulu Selangor District Council) By-Laws 2007 and Licensing of Trades, Businesses and Industries (Selayang Municipal Council) By-Laws 2007 (collectively the "**By Laws**"). The By-Laws provide that any person who operates any activity of trade, business and industry without a valid licence issued by the local authority may be liable to a fine not exceeding RM2,000 or to imprisonment for a term not exceeding 1 year or to both and in the case of a continuing offence to a fine not exceeding RM200 for each day during which such offence is continued after conviction.

As at LPD, our Group holds valid business licences and signage licences issued by the respective local authorities for all the premises occupied for our businesses as disclosed in Section 6.7.

6. INFORMATION ON OUR GROUP *(Cont'd)*

(c) Lembaga Pembangunan Industri Pembinaan Malaysia Act 1994 ("CIDB Act") and Registration of Contractors (Construction Industry) Regulations 1995 ("Regulations 1995")

The CIDB Act and the regulations made the CIDB Act govern the establishment of the CIDB and provide for its function in relation to the construction industry and all matters in connection therewith.

The CIDB Act prescribes that a contractor must register with the CIDB and hold a valid certificate of registration issued by the CIDB under the CIDB Act in order to carry out or complete, undertake to carry out or complete any construction works or hold himself as a contractor. Failure to comply with such provision may render a person liable to a fine of not less than RM10,000 but not more than RM100,000.

As at LPD, our Group maintains a valid Grade G7 certificate of registration as a contractor with CIDB as disclosed in Section 6.7.

The CIDB Act also provides that every contractor shall declare and submit to CIDB any contract which it has been awarded on any construction works. Failure to do so may render a contractor liable to a fine of not exceeding RM50,000.

The CIDB Act and the Lembaga Pembangunan Industri Pembinaan Malaysia (Imposition of Levy) Order 2024 require that a contractor shall be liable to pay to CIDB a levy at the rate of 0.125% of the contract sum, for every contract having a contract sum of above RM500,000. Failure to pay any levy due within the prescribed period by CIDB shall be guilty of an offence and on conviction, be liable to a fine of not exceeding RM50,000 or 4 times the amount of such levy payable, whichever is higher.

Our Group has declared and submitted all the existing contracts which have been awarded to us and we have paid all the relevant levies to CIDB. As at LPD, our Group has not been subject to any fines or issued with any notices of non-compliance from CIDB.

(d) Street, Drainage and Building Act 1974 ("SDBA") and Uniform Building By-Laws 1984 ("UBBL")

The SDBA is enforced by the local authorities of Peninsular Malaysia and it provides for the requirement of having a CCC for the occupation of any building or any part of a building.

Pursuant to the SDBA, any person who occupies or permits to be occupied any building or any part of a building without a CCC may be liable to a fine not exceeding RM250,000 or to imprisonment for a term not exceeding 10 years or to both.

As at LPD, all of our Group's owned and rented properties have their respective CCCs or certificates of fitness.

6. INFORMATION ON OUR GROUP *(Cont'd)*

(e) OSHA

The OSHA provides that it shall be the duty of every employer to ensure, so far as is practicable, the safety, health and welfare at work of all his employees as well as to protect others from risks to safety or health related to the activities of persons at work. The employer shall formulate a written safety and health policy with respect to the safety and health at work of his employees. Any failure to comply with the general duties of employers as prescribed under the OSHA constitutes an offence and the employer may be liable to a fine not exceeding RM50,000 or to imprisonment for a term not exceeding 2 years or to both.

The employer shall also establish a safety and health committee at the place of work if there are 40 or more persons employed at the place of work. A person who contravenes such provisions may be liable to a fine not exceeding RM100,000 or to imprisonment for a term not exceeding 1 year or to both. As at LPD, our Group has formulated a written safety and health policy and established a safety and health committee to monitor the safety and health related matter of our Group at the Rasa Factory.

The OSHA also requires any person who operates any plant (such as steam boiler, pressure vessel and lifting machinery) to have a certificate of fitness issued by an officer or any person licenced to carry out inspection and issue a certificate of fitness in respect of the plant inspected. Any person who operates any plant without a certificate of fitness may be liable to a fine not exceeding RM100,000 or to imprisonment for a term not exceeding 1 year or to both. An officer may also serve a written notice on the person prohibiting operation of the plant or may render the plant inoperative until a certificate of fitness is issued.

As at LPD, our Group also holds 4 valid certificates of fitness issued under the OSHA for the relevant machinery as disclosed in Section 6.7.

(f) Environmental Quality Act 1974 ("EQA")

The EQA sets out provisions in respect of prevention, abatement, control of pollution and enhancement of the environment. It is an offence under the EQA for any person, unless licenced to do so, to among others:

(i) emit or discharge environmentally hazardous substances, pollutants or wastes into the atmosphere, any inland waters or the Malaysian waters;

(ii) emit or cause or permit to be emitted any noise greater in volume, intensity or quality; or

(iii) pollute or cause or permit to be polluted any soil or surface of any land,

in contravention of the acceptable conditions specified in the EQA.

6. INFORMATION ON OUR GROUP *(Cont'd)*

The EQA also empowers the minister charged with the responsibility for environment protection to make regulations specifying acceptable conditions for the emission, discharge or deposit of environmentally hazardous substances, pollutants or wastes or the emission of noise into the environment.

As at LPD, our Group has not received any notices, penalties or reprimands from the Department of Environment for non-compliance of the environmental laws and regulations.

(g) Employees' Minimum Standards of Housing, Accommodations and Amenities Act 1990 ("EMSHAAA")

The EMSHAAA prescribes the minimum standards of housing, nurseries and accommodation for employees (and their dependants, if applicable) as well as requires employers to provide health, hospital, medical and social amenities to their employees.

Employers are required to provide minimum space requirement for workers' accommodation, basic facilities as well as safety and hygiene standards.

Pursuant to the EMSHAAA, no accommodation shall be provided to an employee unless certified with a certificate for accommodation issued by the Department of Labour. An employer who contravenes such provision may be liable to a fine not exceeding RM50,000.

As at LPD, our Group has obtained the certificate for accommodation for the hostel occupied by our foreign employees in Rasa, Selangor.

(h) Immigration Act 1959/63

The Immigration Act 1959/63 is enacted to regulate matters in respect of immigration, including the issuance of visit pass of foreign employees employed by Malaysian employers.

Pursuant to Section 6 of the Immigration Act 1959/63, no person other than citizen shall enter Malaysia unless the person is in possession of a valid entry permit or valid pass lawfully issued to him to enter Malaysia or has been granted an exemption under the Immigration Act 1959/63. The Immigration Act 1959/63 further provides that any person who employs one or more persons, other than a citizen or a holder of an entry permit, who is not in possession of a valid pass may be liable to a fine of not less than RM10,000 but not more than RM50,000 or to imprisonment for a term not exceeding 12 months or to both for each such employee.

As at LPD, all of our 6 foreign employees have obtained valid entry passes issued by the Immigration Department of Malaysia to work as factory workers at the Rasa Factory.

6. INFORMATION ON OUR GROUP *(Cont'd)*

(i) Laws relating to intellectual property in Malaysia

(i) Trademarks Act 2019 ("TMA 2019")

Trademark matters in Malaysia are governed by the TMA 2019 and Trademarks Regulations 2019 as well as other subsidiary legislation under the TMA 2019.

Registration of a trademark will give the registered owner of such trademark, the exclusive rights and protection for its registered trademarks such as to secure the rights to use the trademark. Once a trademark is successfully registered, the TMA 2019 grants the registered owner of the trademark the exclusive rights to use the trademark and to authorise other persons to use the trademark in relation to the goods or services for which the trademark is registered in his name. With such registration of the trademark, the registered owner has the right to obtain relief for infringement of his trademark.

A successfully registered trademark is valid for a period of 10 years from the date of its application and may be renewed for every 10 years upon its expiry. A renewal for the registered trademark may be made on or before the date of expiry of the registration (within 6 months before the end of the registration date) but in no event, later than 6 months after the date of expiry of the registration.

(ii) Patents Act 1983 ("PA 1983")

The PA 1983 provides that an invention is patentable if it is new and not anticipated by any prior art, involves an inventive step which would not have been obvious to a person having ordinary skill in the art and is industrially applicable where it can be made or used in any kind of industry. A patent is protected 20 years from the filing date of the patent application.

The owner of a patent shall have the exclusive rights in relation to the patent to exploit the patented invention, to assign or transmit the patent, to conclude licence contracts, and to deal with the patent as the subject of a security interest. Where the patent has been granted in respect of a product, "exploitation" of a patented invention means making, importing, offering for sale, selling or using the product, or stocking such product for the purpose of offering for sale, selling or using. An infringement of a patent occurs when a person other than the owner of the patent does any of such act in relation to a product falling within the scope of protection of the patent without the consent of the owner of the patent.

If the owner of the patent proves that an infringement has been committed or is being committed, he shall have the right to claim for damages and seek an order of injunction to prevent further infringement.

6. INFORMATION ON OUR GROUP *(Cont'd)*

As at LPD and save as disclosed below, our Group has complied with the TMA 2019 and PA 1983 governing our Group's trademarks and patent, and there is no infringement by our Group of any third-party intellectual property which will materially affect our business operation:

Allegation on the patent infringement over Patent No.: MY-159271-A for an invention entitled "Impregnated Cloth" ("Concrete Canvas Patent") and copyright infringement over the marketing material of Concrete Canvas Technology Ltd ("Concrete Canvas") by our Group

On 9 July 2024, our Group received a letter ("**Letter**") from the solicitors of Concrete Canvas (the proprietor of Concrete Canvas Patent) alleging that our Group's product known as "Fibrocrete" or "Fibrocrete Cement Blanket" had infringed its Concrete Canvas Patent and our Group's brochure related to "Fibrocrete" or "Fibrocrete Cement Blanket" had reproduced the literary works/ artworks with copyright that belong to Concrete Canvas without its consent.

Concrete Canvas, through its solicitors, has requested our Group to, among others, immediately cease all business activities in relation to the "Fibrocrete" or "Fibrocrete Cement Blanket", cease to use our brochure and test report relating to "Fibrocrete" or "Fibrocrete Cement Blanket" as well as literary works/ artworks that belong to Concrete Canvas, deliver all the "Fibrocrete" or "Fibrocrete Cement Blanket" including our test report, brochure and materials involving the alleged copyright infringement for destruction, and execute a letter of undertaking in respect of such matter.

On 18 July 2024, we replied to Concrete Canvas' allegation through our Group's solicitors that we are not the manufacturer of "Fibrocrete" or "Fibrocrete Cement Blanket" and were not aware of any possible infringement alleged by Concrete Canvas. Notwithstanding the alleged infringement, our Group agreed to amicably settle the matter, strictly without prejudice and without admission of any liability, to cease dealing with "Fibrocrete" or "Fibrocrete Cement Blanket" as well as to cease and remove our brochure, test report and any other marketing materials promoting "Fibrocrete" or "Fibrocrete Cement Blanket".

On 27 August 2024, we have provided a signed letter of undertaking to Concrete Canvas through our solicitors on our agreement above. On that premise, the matter shall be deemed resolved.

As at LPD, our Group had ceased and discontinued any dealings of "Fibrocrete" or "Fibrocrete Cement Blanket".

6. INFORMATION ON OUR GROUP *(Cont'd)*

As at LPD, Concrete Canvas has not commenced any legal action or claim against our Group. In the event the matter proceeds to legal action, our Board is of the view that the amount of such potential claim will be minimal and will not materially affect our Group's business operations and financial condition. As advised by our Group's solicitors, the burden of proof for the alleged infringement lies with Concrete Canvas and Concrete Canvas may only seek for restitution against profit made from the sale and distribution of "Fibrocrete" or "Fibrocrete Cement Blanket".

Additionally, our Group has been in the business of manufacturing geosynthetics and erosion control products for 26 years. Our products including our latest manufactured item, PVD (introduced in 2018), are predominantly generic in nature. Details of our Group's manufactured products are also readily accessible on our Company's website.

Our Group has maintained a strong market presence, serving customers locally and exporting our products to various countries such as Singapore, South Korea, Hong Kong, India, UK, Solomon Islands and Thailand. Apart from the abovementioned allegation which pertains solely to a product that we had sourced from a third-party manufacturer, there has been no other claim of patent or copyright infringement against our Group.

Besides, we have adopted a manual on Preventing Intellectual Property Infringement to establish a systematic approach for identifying and avoiding any potential infringement of intellectual property rights to protect our Group from legal disputes and ensure compliance with intellectual property laws. The key processes and control include, amongst others:

(a) creating awareness and conducting training on the relevant intellectual property laws and procedures to prevent potential intellectual property infringement;

(b) conducting intellectual property searches to identify any existing intellectual property rights before the commencement of any new project or product development;

(c) implementing review process for all new designs, technologies and processes to identify and address any potential intellectual property issues;

(d) maintaining records of all design reviews, intellectual property assessments and any modifications made to address intellectual property concerns;

(e) ensuring all promotional materials, brochures and test reports are reviewed for intellectual property compliance before publication; and

(f) conducting periodic audits of intellectual property management practices to ensure ongoing compliance with legal requirements.

Premised on the above, our Board is of the view that the abovementioned allegation has been adequately addressed and is not expected to materially affect our Group's business operations and financial condition.

6. INFORMATION ON OUR GROUP *(Cont'd)*

6.11 ENVIRONMENTAL, SOCIAL AND GOVERNANCE PRACTICES ("ESG")

Our primary goal is to promote sustainable development among our stakeholders, the promotion of innovation, and the empowerment of our employees and the community. As a responsible public governance entity, we are fully devoted towards achieving sustainable development goals. Our Group has implemented, and are in the midst of implementing, the following practices:

(a) Environmental

Our Group believes in preserving and caring for the environment by adopting sustainable practices in our business activities. In managing environmental matters, we will focus on, amongst others, the following:

(i) to minimise energy consumption and reduce our carbon footprint by investing in renewable energy sources and enhancing our energy efficiency measures;

(ii) to reduce our overall water consumption by promoting water conservation practices;

(iii) to adhere to all relevant environmental regulatory and legal requirements; and

(iv) to ensure responsible waste management and disposal.

(b) Social

Our Group is committed to act responsibly to all our stakeholders in our business operations as well as to the community in which we operate in. We recognise that our employees are valuable assets and as such, we strive to retain and nurture skilled talent through the following practices:

(i) to cultivate a secure, healthy and supportive workplace environment for our employees;

(ii) to eliminate improper conduct and practices, including but not limited to workplace bullying, discrimination against individual differences, discriminatory and sexual harassment, intimidation and victimisation;

(iii) to ensure equal access to opportunities regardless of one's age, gender, ethnicity, religion, national origin, sexual orientation, disability or any other relevant characteristics;

(iv) to respect and uphold the fundamental workers' rights through the elimination of child labour and forced labour of all forms;

(v) to empower our workforce by supporting their personal and professional growth;

(vi) to cultivate a diverse and inclusive culture that recognises and values individuality; and

(vii) to contribute to the well-being and development of the surrounding community through corporate social responsibility programmes and donation.

6. INFORMATION ON OUR GROUP *(Cont'd)*

(c) Governance

Our Group is committed to conduct our business ethically and in compliance with all relevant laws, regulations, rules and requirements as disclosed in Section 6.10. In maintaining high standards of corporate governance, our Board has progressively adopted all the applicable principles and practices as promulgated in the MCCG in particularly on embracing board gender diversity.

In addition, our Group has adopted the Anti-Bribery and Anti-Corruption policy towards bribery where we have put in place the policies and procedures to ensure strict compliance with the Malaysian Anti-Corruption Commission Act 2009. In relation to our Group's risk management, our Group has put in place a risk management framework to monitor closely on the risk associated with our Group's business as well as the Whistleblowing Policy and Personal Data Protection Policy to ensure and promote fairness in business dealings.

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6. INFORMATION ON OUR GROUP *(Cont'd)*

6.12 EMPLOYEES

As at LPD, we have a total workforce of 88 employees, which consists of permanent and contractual employees. Save for 6 foreign employees, all of whom carry valid working permits, majority of our employees are local.

The breakdown of our employees as at 31 December 2024 and LPD are as follows:

	No. of employees			
	Permanent		Contractual	
	Local	Foreigner	Local	Foreigner
As at 31 December 2024				
Executive Directors	3	-	-	-
Key senior management	3	-	-	-
Finance and accounting	5	-	-	-
HR and administration	11	-	-	-
Procurement and logistics	1	-	-	-
Business development	2	-	-	-
Sales and marketing	4	-	-	-
Factory and production	24	-	-	6
Operations (design and build)	15	-	15	-
Total	**68**	**-**	**15**	**6**

	No. of employees			
	Permanent		Contractual	
	Local	Foreigner	Local	Foreigner
As at LPD				
Executive Directors	3	-	-	-
Key senior management	3	-	-	-
Finance and accounting	5	-	-	-
HR and administration	11	-	-	-
Procurement and logistics	1	-	-	-
Business development	2	-	-	-
Sales and marketing	4	-	-	-
Factory and production	24	-	-	6
Operations (design and build)	16	-	13	-
Total	**69**	**-**	**13**	**6**

There were no significant changes in the number of employees of our Group from 31 December 2024 and up to LPD.

None of our employees belong to any labour union and over FYE 2021 to 2024 and up to LPD, there has been no labour dispute between our management and our employees. Additionally, over FYE 2021 to 2024 and up to LPD, there has not been any incident of work stoppage that has materially affected our operations.

6. INFORMATION ON OUR GROUP *(Cont'd)*

6.13 OTHER INFORMATION ON OUR LISTING ON THE LEAP MARKET

6.13.1 Details and status of the utilisation of proceeds from our listing on the LEAP Market

The details of utilisation of proceeds raised from our listing on the LEAP Market and the status are as follows:

	Timeframe for utilisation upon our listing on the LEAP Market	Amount raised	Utilisation as at LPD	Deviation	Balance
		RM'000	RM'000	RM'000	RM'000
Working capital[(1)]	Within 12 months	5,064	5,064	-	-
Listing expenses	Within 6 months	1,200	1,200	-	-
Total		**6,264**	**6,264**	**-**	**-**

Note:

(1) Being the payment to subcontractors and suppliers.

Our Company has raised total gross proceeds of RM6.3 million through the issuance of 21,600,000 new Shares of RM0.29 per Share whereby RM5.1 million and RM1.2 million have been allocated for working capital requirements and to defray listing expenses respectively.

As at LPD, our Company has fully utilised the proceeds raised from our listing on the LEAP Market within the intended timeframe as mentioned above.

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6.13.2 Details and status of the business future plans disclosed in the Information Memorandum pursuant to our listing on the LEAP Market

Section/ Disclosures in the Information Memorandum	Current status
2.10(i) We will continue to enhance our position in the erosion control solutions industry in Malaysia/ We will continue our focus in the erosion control solutions industry in Malaysia where our growth prospects are promising due to the anticipated construction industry growth, particularly in infrastructure projects. According to the Independent Market Research Report by SMITH ZANDER, between 2013 and 2017, the erosion control industry in Malaysia illustrated a compounded annual growth rate of 0.55%, growing from RM452.89 million in 2013 to RM462.90 million in 2017. Moving forward, the growth of the industry is expected to be driven by the growth in construction activities which will be spurred by positive economic developments that lead to increase in business activities and average income of the population. As erosion control solutions are required in infrastructure projects, the construction of highways and railways will create significant opportunities for our Group. As at LPD, our Group has already participated or supplied products to the following projects: • North-South Expressway • Kuala Lumpur-Kuala Selangor Expressway (LATAR) • Pan-Borneo Highway • KL-Karak Highway • East Coast Expressway	We offer geotechnical solutions to multiple segments of the construction industry such as residential and commercial development, infrastructure development, land reclamation, road construction, railway construction, soil stabilisation, landscaping, and river and coastal protection. We have undertaken projects and supplied our products to all of the aforementioned segments. We have completed or are still in the midst of participating in the following projects:

Project	Percentage of completion as at LPD	Expected or actual completion date	Contract value/ unbilled contract value as at LPD (RM' million)
North-South Expressway Supply of non-woven geobags	[(1)]N/A	[(2)]21 March 2023	[(1)]N/A
Kuala Lumpur-Kuala Selangor Expressway (LATAR) Supply of erosion control blankets and hydroseeds	[(1)]N/A	[(2)]January 2018	[(1)]N/A

6. INFORMATION ON OUR GROUP *(Cont'd)*

Section/ Disclosures in the Information Memorandum

- Mass Rapid Transit (MRT)
- East Coast Rail Line (ECRL)
- River of Life (Sungai Bunus, Kuala Lumpur)
- Kelau Dam, Pahang

Moving forward, we will continue to focus on expanding our market presence in Malaysia, including securing more projects spurred by the Government's infrastructure construction projects.

Current status

Project	Percentage of completion as at LPD	Expected or actual completion date	Contract value/ unbilled contract value as at LPD (RM' million)
Pan-Borneo Highway			
(i) Pan-Borneo Sabah Highway: Package 30 – Road upgrading works from Sapi Nangoh to Sg. Baota	9.0%	30 August 2025	2.4/ 2.2
(ii) Pan-Borneo Sabah Highway – Road upgrading works from Bogawan to Papar (WP04)	7.1%	30 December 2025	4.0/ 3.7
(iii) Pan-Borneo Sabah Highway: Package 28 – Road upgrading works from Sandakan to Mile 32 to Moynod	8.0%	30 December 2025	7.5/ 6.9
(iv) Pan-Borneo Sabah Highway: Package 29 – Road upgrading works from Moynod to Sapi Nangoh	12.5%	30 December 2025	4.1/ 3.6
(v) Project development and upgrading of Proposed Pan-Borneo Highway in the state of Sarawak turfing works at WPC 1	100.0%	12 December 2020	0.2/ -

6. INFORMATION ON OUR GROUP *(Cont'd)*

Section/ Disclosures in the Information Memorandum | **Current status**

Project	Percentage of completion as at LPD	Expected or actual completion date	Contract value/ unbilled contract value as at LPD (RM' million)
KL-Karak Highway Supply of erosion control blankets, hydroseeds and non-woven geotextiles	[(1)]N/A	[(2)]13 June 2024	[(1)]N/A
East Coast Expressway Supply of erosion control blankets, hydroseeds and non-woven geotextiles	[(1)]N/A	[(2)]22 May 2023	[(1)]N/A
Mass Rapid Transit (MRT) Project Mass Rapid Transit Route 2: Sungai Buloh-Serdang-Putrajaya (SSP) Package V204: Construction and completion of viaduct guideway and other associated works from Bandar Malaysia South Portal to Kampung Muhibah	100.0%	25 August 2021	0.1/ -

6. INFORMATION ON OUR GROUP *(Cont'd)*

Section/ Disclosures in the Information Memorandum

Current status

Project	Percentage of completion as at LPD	Expected or actual completion date	Contract value/ unbilled contract value as at LPD (RM' million)
East Coast Rail Line (ECRL) Supply of fibrogrids, woven geotextiles, non-woven geotextiles and PVDs[3]	[1]N/A	[2]28 February 2025	[1]N/A
River of Life (Sungai Bunus, Kuala Lumpur) River of Life - Phase 2, Taman Tasik Titiwangsa, Kuala Lumpur	100.0%	30 November 2018	<0.1/ -
Kelau Dam, Pahang Pahang-Selangor Raw Water Transfer Project – Lot 1-2, Kelau Dam and related works	100.0%	13 October 2013	5.1/ -

Notes:

(1) Not applicable as our Group supplies products to the project.

(2) Referring to the last date of supply of products to the project.

(3) Our Group started supplying the project on 3 October 2022.

Section/ Disclosures in the Information Memorandum	Current status
	We will also continue to enhance our production capabilities in manufacturing erosion control blankets through our industry know-how. This comprises the introduction of a fully biodegradable erosion control blanket based on our understanding and knowledge of the local geotechnical solutions industry, including local project requirements, industry standards and regulations, and ground and soil conditions throughout Malaysia. This also forms part of our Group's sustainability initiative where we will be able to meet the demand for biodegradable products from local and international customers. The fully biodegradable erosion control blanket which our Group intends to introduce comprises erosion control blankets using jute netting. Erosion control blankets using jute netting are made from interwoven fibres of jute plants, a natural material, thus giving rise to higher biodegradable properties, as compared to our Group's current erosion control blankets which uses photodegradable polypropylene netting and is a form of synthetic material. We have not in the past manufactured or sourced erosion control blankets using jute netting, for sale to customers. We plan to introduce this product pursuant to the purchase of 2 new units of erosion control blanket stitching machines, utilising the proceeds from the Public Issue as detailed under Section 4.9.1(a), whereby the 2 units of machinery will primarily be used for the manufacturing of erosion control blankets using jute netting. Please refer to Section 7.15.1 for further details on the expansion of our offering of erosion control blanket. Over the years, we continued to expand our presence in East Malaysia by securing more design and installation contracts. Please refer to Section 7.15.3 for further details on the expansion of our market presence in East Malaysia. The total revenue generated from East Malaysia projects for FYE 2021 to 2024 were RM0.5 million, RM2.8 million, RM3.8 million and 3.5 million respectively.

Section/ Disclosures in the Information Memorandum	Current status
2.10(ii) We intend to expand into in-house design and installation services of PVDs/ PVD are manufactured from polypropylene and/ or polyethylene core wrapped in a layer of non-woven geotextile and are installed on soft ground in construction sites to quicken the consolidation of the ground. This will result in reduction of construction time in a construction project. We offer design and installation services of PVDs which include the supply and installation works of PVD at our customers' site via subcontracted services. The contribution from PVD installation works amounted to 19.73% (RM8.7 million) and 13.02% (RM6.3 million) of our revenue for the FYE 31 December 2016 and FYE 31 December 2017, respectively. In April 2018, we commenced the trial run for the manufacturing of our own PVD products. Prior to manufacturing our in-house PVDs, we supplied third-party PVDs to our customers. We have invested approximately RM800,000 in machinery to manufacture PVDs and has commenced manufacturing in the 3rd quarter of 2018. Along with the manufacturing of PVDs, we also intend to provide in-house design and installation services of PVDs. The total value of our subcontracted PVD installation works for the FYE 31 December 2016 and FYE 31 December 2017 were RM5.33 million and RM6.43 million respectively. With the provision of in-house design and installation services of PVDs, we will be able to reduce our reliance on third-party contractors and potentially improve our profit margin.	Since the establishment of our Group's own in-house manufacturing of PVD in 2018, to strengthen our market position, we have continued, and intend to continue expanding our design and installation services of PVDs. We have been providing design and installation services for PVDs since 2015. Notwithstanding that, we had in the past, been engaging subcontractors to carry out PVD installation works at project sites while our Group's project team manages and oversees the installation works. As such, we intend to expand our in-house capabilities to include PVD installation by setting up a PVD installation team and purchasing 5 units of hydraulic excavator, utilising the proceeds from the Public Issue as detailed in Section 4.9.1(a). Please refer to Section 7.15.2 for further details on the expansion of our in-house capabilities to include PVD installation. In 2021, our Group secured a contract for the design and installation of PVDs for earthworks, ground improvement works and associated works for a proposed development at Kota Bayuemas, Klang, Selangor which has a total contract value of RM2.8 million. In the same year, our Group also secured a contract for the design and installation of PVDs for construction of Sarawak Second Trunk Road Package B1 – construction of a highway from Sebuyau, Sarawak to Lingga Samarahan and Sri Aman, Sarawak which has a total contract value of RM7.7 million. Both contracts have been completed. In 2022, our Group provided design and installation of PVDs for a project at the Aerofront City Housing Development, Selangor which has a total contract value of RM3.0 million. In the same year, our Group also provided supply, delivery and installation services of PVDs for earthworks for a proposed mixed development at Tanjung Dua Belas, Kuala Langat, Selangor which has a total contract value of RM1.6 million.

6. INFORMATION ON OUR GROUP *(Cont'd)*

Section/ Disclosures in the Information Memorandum	Current status
	In 2023, our Group provided design and installation of PVDs for earthworks for a proposed mixed development on Lot 68054, Kuala Langat, Selangor which has a total contract value of RM3.4 million. In 2024, our Group secured another project to provide design and installation of PVDs for Aerofront City Housing Development, Selangor which has a total contract value of RM1.5 million, as well as for a mixed development project in Cyberjaya, Selangor which has a total contract value of RM1.4 million.
2.10(iii) We will continue to expand our business in the provision of design and installation services/ We commenced manufacturing of erosion control products in 1999. In 2014, we embarked on the provision of design and installation services. Thus, we have become an erosion control solutions provider that can cater to customer needs, beginning with the project design of suitable erosion control solutions to the supply and installation of erosion control products. As part of our expansion plans and to continue the growth of our Group's profitability, we intend to focus and further expand our business in the provision of design and installation services, as it yields good profit margins as well as promoting usage of our manufactured and trading products, which had contributed to the increase in our Group' revenue. Please refer to Sections 5.2.2 and 5.2.4 of this Information Memorandum for further details on our Group's segmental revenue and profit margin contribution, respectively, from design and installation services. We believe that our focus and expansion on design and installation services will enable our Group to further increase our profit margins, thereby enhancing our Group's overall sustainability and financial performance. It will also allow us to become more competitive in both the local and regional markets.	We remain steadfast in our commitment to expand our business in the provision of design and installation of geotechnical solutions, which includes project design works, integration of our geosynthetics and erosion control products and project installation works. Since the commencement of our business in 1999, we have successfully grown and evolved from a geosynthetics and erosion control-based manufacturing company to a geotechnical solutions provider, offering our customers geosynthetics and erosion control products as well as design and installation of geotechnical solutions. For FYE 2021 to 2024, design and installation of geotechnical solutions was our Group's largest revenue contributor, which contributed 40.0%, 39.2%, 50.0% and 48.7% of our Group's revenue respectively.

Section/ Disclosures in the Information Memorandum

Current status

Below sets out our Group's revenue contributions by business segments:

	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Design and installation of geotechnical solutions	18,324	40.0	18,801	39.2	34,185	50.0	36,755	48.7
Trading of geosynthetics and erosion control products	17,522	38.3	17,788	37.1	25,325	37.1	25,557	33.9
Manufacturing and sale of in-house products	9,941	21.7	11,364	23.7	8,790	12.9	13,151	17.4
	45,787	**100.0**	**47,593**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**

Please refer to Section 12.2.3(a) for further details on analysis of our Group's revenue by business segments.

Subsequent to the listing of our Company on the LEAP Market in 2019, our Group has undertaken several design and installation works such as construction of temporary coastal protection structure, ground improvement works, ground treatment, slope stabilisation and soil nailing works. Please refer to Section 7.1 for our Group's business and products expansion, and Section 7.2.3 for our Group's list of on-going and completed projects.